

JSW Energy Ltd. (JSWENERGY)

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"JSW Energy Limited Q1 FY24 Earnings Conference
Call"
July 14, 2023

MANAGEMENT : MR. PRASHANT JAIN – JOINT MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER
MR. PRITESH VINAY – DIRECTOR OF FINANCE AND
CHIEF FINANCIAL OFFICER
MR. BIKAS H CHOWDHURY – HEAD INVESTOR
RELATIONS AND TREASURY

MODERATOR : MR. SUDHANSHU BANSAL – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day and welcome to Q1 FY24 Earnings Conference Call of JSW Energy hosted by JM Financial. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sudhanshu Bansal from JM Financial. Thank you and over to you.

Sudhanshu Bansal: Thank you, Yashashree. Good evening, everybody. On behalf of JM Financial, I welcome you all to the conference call of JSW Energy Limited to discuss the first 1Q FY24 results. We have with us the leadership team of JSW Energy comprising of Mr. Prashant Jain, Joint Managing Director and CEO, Mr. Pritesh Vinay, Director of Finance and CFO, Mr. Bikash Chowdhury, Head, Investor Relations and Treasury. Thank you so much sirs for your kind presence and giving JM Financial the opportunity to host the call. With this I would like to hand over the call to Mr. Prashant Jain for opening remarks and taking the call forward. Over to you, sir.

Prashant Jain: Thank you. Good evening, ladies and gentlemen. During the quarter gone by, we saw the power demand growth very muted at 1%, primarily due to unseasonal rains in the month of April and May and the power demand was close to flat or negative. However, the power demand improved in the month of June at 4.5% and in the July also it is going robust at 5.5%.

The total installed capacity in the sector stands now at 422 GW. During the quarter, there was a total capacity addition of 5.8 GW, of which 4.5 GW was renewable capacity with 1.1 GW of wind and 3.3 GW of the solar. During the quarter gone by, the total energy generation was up by 14% for the company. Of that, 911 million units came from Mytrah portfolio, another 106 million units from Group Captive and SECI 10 portfolio, and 421 million units additional came from Ratnagiri.

However, there was a lower water flow at all our hydropower plants which has been the case at other hydro plants around the country. This has been an issue and there was a drop of 428 million units from our hydro business. And in the Barmer plant, there was a scheduled maintenance because of which 136 million units were down. With that, the total generation from the company during the quarter was 6.7 billion units.

In terms of the EBITDA, which was up by 18% YoY, the INR 374 crores EBITDA additional came from Mytrah portfolio. Actually, the proforma EBITDA for the quarter for Mytrah was INR400 crores but two of our SPVs they were got consolidated later in part of the April and June month because of that that is 30 crores is not there in consolidated EBITDA. There is also as I mentioned because of Barmer as well as hydro lower generation was there, but these two assets are under the long -term PPA. There is a INR80 crores EBITDA, lower EBITDA as compared to previous year, but this entire INR80 crores EBITDA will get recouped in the subsequent quarters.

Because in the two -part tariff PPA in our Barmer plant, we get our capacity charge based on

80% availability and we will be achieving the 80% availability, so this will get recouped. Similarly, the energy generation, when we generate beyond the design energy, which we have been achieving all these years and which we will be achieving this financial year also. So the
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INR66 crores EBITDA reduction as compared to the previous year in hydro and INR14 crores in Barmer both will get recouped during the rest of this financial year.

The INR91 crores impact came because of the lower merchant sales, because of the subdued demand in the month of April and May,

but we are quite confident that the tariffs are quite robust and the spreads are also very good. And during the rest of the financial year, we will be achieving what we have budgeted and planned for in terms of the merchant sales.

In the country we have been seeing the good trends for the solar generation. The CUF for the country as a whole has been consistently improving. Our facilities both at Vijayanagar as well as Mytrah, they did exceptionally well. As compared to the P90 level, Vijayanagar solar plant generated 145 million units as compared to P90 generation of 134 million unit. Similar was the trend in Mytrah. We improved our solar plant availability by 70 bps and in Mytrah, first time it generated 216 million unit in the first quarter, which is as compared to 193 million units of P90 generation.

So the Mytrah plant integration as well as the plant performance is better than what we had planned earlier. Similar was the trend in the wind. In case of Mytrah, when we took over the assets in the month of March, on 29th of March. The total machine availability was in the range of 85%, which has been improved and as I am speaking, the machine availability is 97.5%. And by middle of next month, we will be achieving 99% availability, which we have planned for. During the quarter the total machine availability was improved by 680 bps and we generated 695 million units. There were total 80 turbines which were out of order. Right now only three turbines are out of order. And we are quite confident that the plan which we have envisaged for Mytrah in terms of the EBITDA improvement as well as in terms of the total generation improvement, we are on track ahead of the schedule.

The planned EBITDA of INR 1,650 crores which we had guided for the next year, we will be seeing a very encouraging trend during the current financial year itself and we will be increasing the trend and improving the trend expeditiously. In terms of the project updates, the Ind-Barath performance is on the project integration is quite encouraging and quite good. We were planning to start both the units by end of the financial year.

I'm happy to share, when we opened the turbines for the maintenance as well as the boiler, we got very positively surprised with the condition of the plant. And we are on putting the unit on bar within this month. And with the transmission line and other things we are expecting that by October or maybe in the current quarter itself we will be commissioning the first unit.

The second unit is also expected to get commissioned in the current financial year so we are expecting that we will be having generation for one unit of 350 megawatt in the second half of the year, which will be improving our generation as well as our EBITDA profile going forward.

We have already started participating in the auctions in the IB Valley and MCL. And some of the coal we have already secured and balance coal we are securing in due course of time.

Update on Kutehr is quite good. We have already completed 98.5% or 99% of the tunneling and powerhouse erection has already been started and it is moving as per the schedule. The recent
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rains in Himachal Pradesh, they disrupted because of certain landslides in and around our Kutehr project but things are getting normalized and in next seven days time we will be back to normal. And on our operating assets also in Himachal there was no impact of the rains other than there was a preventive shutdown, we had to take because of higher silt level, which was there in the basin. And, but the both plant as well as the people are absolutely safe and there was no impact whatsoever.

On our SECI projects, as of now 150 MW is fully commissioned. We are on track, what we have guided for, and then all three sites in Karnataka and two sites in Tamil Nadu the erection and commissioning is

going on in full swing. In terms of the merchant market, which I just touched upon in the initial remarks, which is looking quite attractive. The rates are also quite attractive during the quarter, the rates were very good at close to INR5.50. The volumes were also up by

34%, during the quarter.

And also going forward, the way the demand trend and the prices we are seeing, as we are speaking in the monsoon month, we are seeing the good prices of close to INR 5 to INR5.50, on a RTC basis, which are quite remunerative for our company. And so we remain quite optimistic. To recoup what we have seen, a little blip as compared to the previous year in the few months. In the rest of the year, our merchant volumes will be quite good and same will be the spread. Now I am asking Pritesh to take over and explain on the financial performance.

Pritesh Vinay: Thank you, Prashant. A very good evening to all the participants. You know, so maybe I'll take a leap out of where Prashant stated about the overall generation. So if you look at the total net generation for the quarter was up by 14%, at about 6.7 billion units. The total revenues for the quarter stood at just over INR3,000 crores, which was actually down by 3% YoY, compared to a higher net generation. But this is primarily because you would be aware that, for our thermal businesses the fuel cost is a pass-through. So on a Y-o-Y basis, the coal prices have come down sharply and therefore from a pass-through point of view, that reflects in lower tariffs and therefore lower realizations.

However, that is largely EBITDA neutral. So that was on the revenue side. Prashant has already talked about EBITDA for the quarter stood at INR1,307 crores. I'd just like to spend a minute more on that. If you have access to our results presentation, which was uploaded sometime back. And if you look at slide number eight, there we've given an EBITDA bridge. This kind of captures, what were the moving parts.

Prashant mentioned that, if you look at Mytrah portfolio as a whole, actually for the quarter, Mytrah as sets delivered an EBITDA of INR400 crores. However, from a consolidation impact point of view, one of the SPVs got acquired on 6th of April and the second 150 MW SPV got acquired on 15th of June. So, that was available only for the last 15 days of the quarter.

So, therefore, on a prorated basis from a consolidation accounting point of view, we've shown INR370 crores, but the underlying performance is actually INR400 crores. INR30 crores was the additional EBITDA that we got from the new solar project, 225 megawatt, as well as the SECI projects of 150 megawatt, which were operational through the quarter. Prashant did talk JSW Energy Limited

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about the impact of lower hydrology at hydro, which impacted generation, hydro generation was down by 27% YoY, but in terms of EBITDA, that was a drag of INR66 crores.

However, if you look at our past track record, as long as we are able to meet the design energy, which we have consistently done every single year for the 20-year and the 12-year operating track record at both Baspa and Kar cham Wangtoo. We are able to recover this in subsequent quarters.

Incidentally, while the PLFs were lower, the plant availability during the quarter stood at a very healthy 108% against a normative requirement of 90%, to recover the full capacity charge. Similarly, for Barmer, due to certain planned shutdowns, the availability was lower and therefore there was no full recovery of capacity charge was not there.

However, again, like we have done for every single year in the past, this item is dependent on availability for the entire fiscal year and we are very confident that, like every single year in the past, for the in the remaining nine months, we will be able to get to overall availability. And therefore, I would like to treat these INR80 crores as more of a timing mismatch

ches, likely to be recouped in the remaining nine months of the year.

And of course, Prashant did talk about the impact of lower merchant sales, which was about INR90 crores drag. And of course, the increase in O&M expenses, etcetera. That is the bridge on EBITDA side. I'd like to also take a minute on explaining the finance cost for the quarter.

If you look at the headline, what was INR193 crores last year Q1 has landed at INR486 crores. So if you look at slide number nine, where we've given a detailed bridge to explain the impact of that. INR170 crores is the incremental interest due to the debt on the Mytrah portfolio, which we had explained last time that was done at the time of acquisition.

On account of a very attractive refinancing and debt sizing that we have done, we prepaid the older lenders of Mytrah portfolio because of which there was a one-time refinancing impact of about INR40 crores. This is a one-time item, will not be recurring going forward in subsequent quarters. And the impact of additional debt due to Ind-Barath acquisition as well as, the leveraging up of the thermal balance sheet that we are doing to fund our growth projects in the form of sponsors equity contribution, that was a combined impact of about INR80 crores.

So, on a recurring basis, everything else remaining the same, the summer is likely to be more in the order of INR445 crores going forward unless we lever up the thermal assets a bit more, which will again get added. So that's only finance cost bridge and therefore coming all the way down to the profit after tax for the quarter on a headline basis Q1 of last year, the profit after tax stood

at INR560 crores.

But last year, first quarter, we had received a repayment of a loan that was given to a third party in the prior years, and therefore, that was an exceptional gain of INR120 crores. Stripped of that, the underlying profit after tax for the first quarter of last year was INR440 crores.

Again this on the same slide number nine, if you look at the bottom portion, the PAT bridge explains in detail that how the Mytrah assets and the new renewable assets that we are adding

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added about INR85 crores at the PAT level on a combined basis. There was a roughly INR55 - 60 crores drag due to the timing mismatch of the full capacity charge recovery at Hydro and Barmer and likely to be recouped in the remaining part of the year.

And the impact of, Ind-Barat has as well as the one-time refinancing impact. The lower merchant sales and profitability impacted PAT on a YoY basis by almost close to INR100 crores. So that is the PAT bridge. The next number that I would like to talk about is the leverage and the leverage profile.

So, if I request you to look at slide number 11, which shows a net debt movement on a sequential basis of what has happened since March to June. You'll see that, on the operating assets, which is the dark portion on the bottom portions of the chart, the net debt stood at over INR10,146 crores. This has gone up by almost INR160 crores QoQ, due to additional debt on the operating businesses.

On the Mytrah portfolio actually, the net debt has come down by about INR350 crores on a QoQ because of, as Prashant was saying, all the higher generation due to better availability of machines translating into higher EBITDA and some working capital release in terms of liquidation of receivables. So therefore, the cash has gone up. There's been some amount of debt repayment as well.

And for the blue portion, which is the amount of debt which is sitting for capital work in progress, which is likely to accrue revenue and EBITDA in future years. That went up about INR920 crores QoQ to just over INR4,500 crores. So net debt, if you look at on the operating businesses, there's about INR18,400 crores of debt sitting, which is being serviced by a normalized cash flow of close

to INR5,300 crores, which translates to a net debt to EBITDA on the operating business of 3.5x. This is consistent with the guidance that we had shared earlier with the markets as part of our strategy 2.0, that when we pursue growth, we would expect our sustained normalized net debt to EBITDA to stand in that 3.5x to 4.0x range.

If you look at slide number 12, this shows a bunch of metrics, but I'd just like to point out two. One is the top right-hand chart, where we track the cash returns on the underlying business. So we continue to track at more than 17% cash returns on adjusted net worth for the last several quarters. And if you look at the weighted average cost of debt, excluding the Mytrah portfolio that stood at just about 8.5% and including the Mytrah portfolio is at about 8.7%.

And the last number, I'd like to talk about before I throw the floor open for questions is on the receivables. So if you look at slide number 13, on a QoQ basis the headline receivables have come down by 20%, but in terms of days sales outstanding, it is largely similar. You know, it was 60 days in March, it stands at about 58 days at the end of June. But the encouraging trend is this that the overdue proportion is coming down, the share of overdues are lower. As a matter of fact, in the first two weeks after the end of the quarter, there's been a strong collection. We've already received close to INR240 crores. And as we are speaking today, the overdues are nil. Similarly, on the Mytrah portfolio, I'd just like to request you to look at slide number 60, where we've shown what's happening with the Mytrah receivables cycle. There again, there's a very

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encouraging trend. If you look at the bottom portion, every month consistently, what we are collecting vis-a-vis what we are billing is between 125% to 200% of that. So again, that liquidation of receivable trend continues to be healthy.

So with that, I'll take a pause, and the operator will request you to open the floor for Q&A, please.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Good evening, sir. Sir, congratulations on significant progress on some of the under construction assets. My first question is on the EBITDA of Mytrah. I understand that this is a wind dominated portfolio. So do we think -- and the first quarter seems to be a decent number. My question is,

do we think that we are on target to achieve 16 billion EBITDA in FY24, or do you think it is likely to materialize in FY25 full year?

Prashant Jain : Thank you, thank you for your question. So there are the two aspects of it. One aspect is that you know, the putting the turbines on track and improving the availability of the assets. So what was envisaged to go and reach up to a 99% availability was by December 2023. As against that I have already given a guidance that as we are speaking only three turbines are down and then by 15th of August we will be at 99% of availability. So what we plan, we will be achieving five months or six months ahead of schedule. So that's part A.

Same is the situation in terms of the solar. And we had given a guidance that we will be achieving INR1,650 crores EBITDA in FY25. So our guidance still remains INR1,650 crores for the FY 25. Current year, we are expecting that the big since majority of the wind season is up will or part of the wind season will also be captured in during this year. We will be doing better than what we had planned. Originally, we have talked about 18 months to 24 months timeframe, EBITDA improvement, but I think, we are reaching on a achievement side is close to six months to seven months timeframe. But some of the wind season is going away by the time all these things are there, but we will be doing better than what we have planned.

Prashant Jain : Thank you, thank you for your question. So there are the two aspects of it. One aspect is that you know, the putting the turbines on track and improving the availability of the assets. So what was envisaged to go and reach up to a 99% availability was by December 2023. As against that I have already given a guidance that as we are speaking only three turbines are down and then by 15th of August we will be at 99% of availability. So what we plan, we will be achieving five months or six months ahead of schedule. So that's part A.

Mohit Kumar: Second question on the PSP, so have you financially closed that project and or have you broken, have you started the work on that particular project and how many PSP sites are under our control in the sense these sites that we handed over to us?

Prashant Jain : So we have already close to 9,000 MW of the pumped storage projects have been allocated to us and of that 80% of the projects, we have already prepared the DPR and then they are in a different stage of approval. And two of the projects we have already received the terms of reference. One of the projects we have already completed EIA, EMP and public hearing is also completed and then forest land approval is in process. And we are expecting that in the current financial year, at least, one project we will be starting the construction for which we will be doing the, taking the necessity approval and entering into a final PPA there by the financial closure.

And next year, we are expecting two projects should go into that position by end of next financial year. So this is how it is there. So each project is at a different stage but one project will achieve

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all approvals and PPAs and as well as other things to start the construction and that will be a project which we will be building for our group captive and which is our within our steel plant, where majority of the land and other things are also in place and we are all EIA, EMP has been completed.

The second project will be where we have already secured LOI from government of Karnataka. And the third project is under the bidding stage and various approval stage.

Mohit Kumar: My last question is given that a lot of new projects where a lot of new tenders from SECI are coming RTC, hybrid, we haven't seen you participating in the solar bids. Do you think that our participation will increase materially under the hybrid RTC given that we have portfolio of projects we have, which should be ideally more competitive?

Prashant Jain : So we are looking at all bids and also the cost of doing the project and we are in a process of building a future pipeline beyond December 2024. Because all the existing projects which are under commissioning will be over by December 2024. So we are now in a process of building a pipeline. We are evaluating the group captive requirement, which we have come across because of the decarbonization strategy for the JSW Group. And we have received certain inbound queries from our JSW Group to evaluate and work on that, as well as the SECI bids. And then within that metrics, we will be closing that pipeline in next one or two quarters which will be filling up for FY25, FY26, FY27 project execution.

Mohit Kumar: Understood sir. Thank you and best of luck sir, thank you.

Moderator: Thank you. We have our next question from the line of Karan Gupta from Cavi Capital. Please go ahead.

Karan Gupta: Yes, thank you for the opportunity. I just wanted to check, so given the current seasonal rain, what does that imply for availability of water for your Hydro projects for the coming quarter?

Prashant Jain : They are running at 110% all projects.

Karan Gupta: Okay, great. And then on merchant power tariffs and the current coal prices which have crashed significantly, what are your thoughts for the next year?

Prashant Jain: We are making a good spread because the coal prices have also come down substantially so but the only thing is that post the monsoon period as the demand revives, it will be quite healthy.

And as regards to during even in the monsoon period, the current tariffs are very good.

Karan Gupta: So is there any sort of a conversion of the coal prices to the margins that you generate on merchant power like is there something that you can share along those lines?

Prashant Jain: No I think what I'm trying to say is that there is a posit

ive spread based on the current imported

coal prices as well as the prevailing merchant power prices. So the prices wise, I think we are not concerned, we are more concerned about the demand per se in order to push more volumes. As the demand improves, there will be a good money to be made into the merchant market.

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Karan Gupta: Fair enough. And then lastly, recently there was an announcement by the UP government that they're setting up a new coal power plant. I think it was about 1.6 GW. The pricing on that was a little surprising. It was a little more than INR11 crores a MW. So just wanted to get your thoughts on that?

Prashant Jain: Tough for me to comment on anybody's plan, but I think it takes anything between INR4.5 crores to INR4.8 crores or INR5 crores per MW now, including the cost of FGD and considering the cost of inflation. And the power prices based on new projects are also going to be close to north of INR4.5. And if you see the recent tender which has been done and concluded for the medium term, the power tariffs that have been discovered in the range of INR5.20 paisa to INR5.50 paisa at bus.

Moderator: Thank you. We have our next question from the line of Anuj Upadhyay from Investec. Please go ahead.

Anuj Upadhyay: Yes, thanks for the opportunity, sir. Can you elaborate something on the green hydrogen project and also on the model manufacturing things? I guess we have shifted the base from Odisha to some other state. So could you show some light on that front, sir?

Prashant Jain: So we will be building this project in the state of Rajasthan. We have already identified the land and the proposal with the government of Rajasthan for necessary incentives and other things are in final stage of approval. And also the plant and machinery negotiations are going on. So project is on track to be commissioned by March 2025. And as regards to the hydrogen project, the preliminary work has already been started. Detailed engineering is going on. And the ordering of the electrolyzers and commercial negotiations are going on. We are on track to commission the project in the quarter ending March '25. So both these projects will be being commissioned by that time.

Anuj Upadhyay: Okay, so the off taker for the green hydrogen would be our group company or we are also looking out for some commercial energy?

Prashant Jain: We have already disclosed and declared after the board approval of between JSW Steel and JSW Energy this will be used for the making of the green steel. It is on a cost plus basis on a 15% RoE for the project for a seven year contract and the total project cost has been amortized over a period of seven years and post that it will be mutually discussed.

Anuj Upadhyay: Okay, sir. And lastly, on the battery project which we have won, I believe 40% of that capacity is still open. So, any guidance on that, sir, whether we are looking for another long-term arrangement for that or do you guys are keeping it in the short-term market?

Prashant Jain: No, we are purposely keeping that in the short-term market at this point of time because we see quite a big arbitrage. I don't know whether you are seeing the trend in the market now. The fluctuation between the off time and a peak time power prices is anywhere around INR4 and there is another ancillary market for POSOCO management also wherein there are certain incentives for the battery projects, so we believe that for some more time, there will be a huge opportunity for money to be made in this particular segment.

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However, we are also mindful about if there are any great opportunity, we can lock in that capacity. But we feel that it will be quite remunerative at this point of time. It is a similar situation like Ind-Barat h, we so many inbound calls for doing a long-term PPA from

Ind-Barat h but don't

want to do the PPA at this point of time, we want to keep the capacity open in the merchant.

Anuj Upadhyay: Thank you, sir. And if you may please allow me to chip in another question, sir. It's related to the new capacity. So like we already have a lot of -- I mean, SECI IX and X which is to be scheduled. But considering the fact that the government has mandated around 50 gigs of renewable capacity to be flowed in from the current fiscal. Are we aggressively looking into those kind of projects or for the time being we are focused largely on the Pump hydro or the green hydrogen?

Prashant Jain: So I believe you are aware about our strategy 2.0 wherein we have very categorically talked

about that how we are seeing the capital expenditure every year and also we are talking about the capacity addition. In my comments to a previous caller I have explained that post December '24, we are now building the book in between the group capital as well as various other opportunities.

There are, there is a certain amount on ly we can do as a capital expenditure every year due to availability of the capital as well as the execution which is possible because of the connectivity as well as resources which are available with us. So we are trying to balance out considering the maximization of our returns.

So we are carefully selecting the options and opportunity so that we make best possible ROEs and equity IRRs. So this is what we are doing and in next one or two quarters you will see we are building a book which is beyond December 2024 and you will get a visibility of another 4 to 6 GW to be built over a period of next three years beyond December 2024 or March 2025. So you will get the visibility up to FY27 and FY 28.

Moderator: Thank you. We have a next question from the line of Shreyans Daga from Barclays. Please go ahead.

Shreyans Daga: Hi, thank you for my question. So, I know you answered a question on hydro projects, but specifically there was a media report that Karcham Wangtoo and Baspa II have been closed due to the floods in Himachal. So, can you give us some light on the two projects?

Prashant Jain: So, there was no floods basically you need to understand every year during this time when the rain happen or cloudburst happen because these this particular basin is having is coming from Spiti Valley and if you have been to that site then it is purely the sand mountains, so because of which the sand level or silt level goes up into the water.

And as a precaution, there is a grid code. The moment the sand level goes beyond 5,000 to 6,000 ppm, all the plants open their gate and then they go in an auto flush mode so that there is no impact on the turbine. It happens irrespective of the heavy rains, it always happens during this time.

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So the units were down for 72 hours approximately and then the moment of silt level went down to permissible limit. They all started running and all of them are running in a full load at 110% load and as I said that both asset as well as the people everybody is safe and there is no disruption of whatsoever whether temporary or permanent.

In case of Kutehr because of the landslide there is a little bit of disconnectivity and which is being restored some of the connectivity has been restored balance will be restored in next four to five days will it will become normal.

Pritesh Vinay: So Shreyans to be specific if I may add as Prashant mentioned you know the Baspa units went on full load as of 3.30 p.m. yesterday and Karcham Wangtoo all the four units went into full load at 5 p.m. yesterday so prior to that for 72 hours purely from a grid code and safety, etcetera, point of view. Due to high silt levels, they were shut down.

Moderator: Thank you. We have our next question from the line of Manas Arora from Deniro Wealth. Please go ahead.

Manas Arora: Hello

o. Good evening, sir. So I have a question about wind energy. So, sir, I wanted to know, are we planning any further capex into wind energy apart from our under-construction projects?

Prashant Jain: Yes, as I said that we are – we have planned to do close to 1.5 to 2.2 GW of the project every year. And beyond December '24, we have to build a book. We are absolutely in a comfortable position to build that book. As I said that there is a group captive requirement of close to 5 to 6 GW to be built over a period of next three to four years timeframe, as well as there are other opportunities which we are having in terms of the hybrid and other SECI bids.

So we are carefully evaluating and seeing the equity IRRs where we can maximize our return. And in next two quarters, we will build a book beyond FY25 and you will see that thing happening and there will be a complete visibility of that book which will be executed.

You know that we have been always talking about that we don't build the book well in advance which cannot be executed over a period of next 24 to 30 months time frame. We build the book only when we can execute immediately. So this is how we have been because most of the time, if you are building the book ahead of the schedule, and then you are forced to compromise on a returns and that's what we are have not been doing and we have been very picky and choosy about it. So there will be a big book you will be seeing to be built in next one or two quarters.

Manas Arora: My next question is are we going to participate in SECI 2.5 gigawatt tenders, the wind ones?

Prashant Jain: So we are mindful of the tariffs we have seen encouraging tariffs in the recent time and we are seeing that the module prices are also going down and then there is a it's quite encouraging so we will balance out because we want mid-teen to high-teen kind of returns and that's how we always look for.

Moderator: Thank you. We'll take our last question from the line of Chirag Kachhadiya, an individual investor. Please go ahead.
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Chirag Kachhadiya: Hello. Due to the disturbances in Northern side, what impact in the generation we are expecting?

Prashant Jain: No more impact now. Whatever was supposed to happen has happened and now the demand is also picking up and as compared to last year, the July demand is as of now for the month as a whole is close to 5.5% up.

Chirag Kachhadiya: Okay, and sir I want to understand about the battery storage business in which we followed recently. So can you share some basic understanding like what it meant to be later on for our company and what is the potential of that business?

Prashant Jain: So storage is a big opportunity to be built upon as per CEA by 2030. In order to manage the grid, we are in 500 gigawatt of the renewable capacity will be there. You need 320 GWh of the total storage capacity, which will be met by both BESS as well as PSP, Pump Storage Projects.

And which talks about if 320 gigawatt hour for six hour storage it means you are talking about more than 50,000 MW capacity. And so we see this is a great opportunity for JSW Energy and we have ventured both in BESS as well as PSP segments.

And both segments we have got the first tender with us. And so it's quite encouraging and we have got a large resource pool and we will be growing our company in this particular segment going forward.

Chirag Kachhadiya: And sir, what capex we incurred for this venture?

Prashant Jain: It is depending upon the capacity. Typically, if you are building a pump storage project anything between 3.85 crores per MW to 7 crores per MW depending upon the configuration of the project size of the project location and the storage capacity. So this is how these projects are built and typically five and a half hours to eight hours of the storage capacity and 75% to 85% of the efficiency.

In

terms of the battery projects, it depends on the battery prices and anything between USD300 to USD400 dollars per kilowatt hour of the system cost at this point of time, which will be certainly going down to USD150 to USD300 going forward over a period of time as the battery prices goes down.

Moderator: Thank you. I now hand the conference over to Mr. Sudhanshu Bansal from JM Financial for closing comments.

Sudhanshu Bansal: Thank you so much to the management of JSW Energy for giving us the JM Financial the opportunity to host the call. I thank all the participants for attending this conference call. Sir, if you would like to give any closing remarks?

Pritesh Vinay: Thank you, Sudhanshu, and thank you everyone. In case there are any follow-up questions, please feel free to connect with our Investor Relations team and they'll be happy to clarify everything. Thank you again.

Sudhanshu Bansal : Thank you very much and happy weekend to all of you. Thank you, we can close the call.

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Moderator: Thank you. On behalf of JM Financial, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2023

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"JSW Energy Limited Q2 FY24 Earnings Conference Call"

October 20, 2023

ANALYST : MR. RAJESH MAJUMDAR – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

MANAGEMENT : MR. PRASHANT JAIN – JOINT MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER
MR. PRITESH VINAY – DIRECTOR (FINANCE) & CHIEF
FINANCIAL OFFICER
MR. BIKASH CHOWDHURY – HEAD INVESTOR
RELATIONS & TREASURY
JSW Energy Limited
October 20, 2023

Page 2 of 11 Moderator : Ladies and gentlemen, good day and welcome to the JSW Energy Limited 's Q2 FY24 Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited . As a reminder, all participant lines will be in the listen -only mode . There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rajesh Majumdar from Batlivala & Karani Securities . Thank you and over to you Sir!
Rajesh Majumdar : Good evening everyone and thanks for the opportunity . We have the conference call of JSW Energy Limited today being taken by the management team comprising of Mr. Prashant Jain, JMD and CEO, Mr. Pritesh Vinay, Director, Finance and CFO, and Mr. Bikash Chowdhury, Head, IR and Treasury. First of all Sir Congratulations on an excellent set of numbers. Without much ado let us now handover the call to Mr. Prashant Jain for making his opening remarks. Thank you Sir.

Prashant Jain : Thank you Rajesh. Good evening ladies and gentlemen and it is late in Friday night, but the power sector has been in the news for the good reasons now and to start with the power demand during the quarter went up by 13 % and for the year till date it was up by more than 7%. In the month of October till date the power demand is up in excess of 19%. So all-in-all we have been seeing a very robust trend of very high power demand and because of which we are seeing the very high power deficit the kind of a deficit which we saw in 2004 to 2006 period, and remember that the grid capacity was miniscule at that point of time close to 80 -85 GW and today it is 200 GW. So the kind of a power deficit at this kind of a grid size is it translates to a large shortage of the power capacity.
During the quarter we saw a total capacity addition of 3.5 GW and year till date 9.3 GW and now we have a total installed capacity of 425 GW. The merchant volume during the quarter was up by 26% and year till date 20%, and power tariff for the quarter was 5.9 on an average.

For the company the power generation was up 29% at 8.6 BUs due to higher renewable power generation as well as higher merchant sales. The company clocked highest ever EBITDA of ₹1,008 Crores and highest ever cash profit of ₹1,180 Crores and profit after tax of ₹850 Crores. The merchant tariff during the quarter for our short -term sales was ₹8.17 as

against just I mention ₹5.90 of the exchange price for the quarter. This demonstrates the capability of the company to do the bilateral contracts at a 35% higher tariff than the merchant tariffs available in the exchange and which also contributed a lot for this higher EBITDA. During the quarter we commissioned 86 MW of SECI X capacity which completed total till -date commission capacity of 260 MW, all our existing 2.4 GW projects
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Page 3 of 11 are running as per schedule we have guided in the previous quarters and you will be seeing all those capacities getting commissioned in the current quarter, current financial year, and next financial year, and as per the scheduled timelines.

For the Ind-Barath the boiler light-up has been done, turbine is ready to be synchronized in

next 7 days timeframe ; however, the transmission line, the one or two bottlenecks are being

sorted out. We expect next month the unit one will get commissioned, unit two will be commissioned as scheduled in Q4. Mytrah did a very good exceptional performance in terms of availability as well as generation , generation increased by 27% year -on-year and which contributed significantly to the EBITDA and we are running ahead of the schedule in terms of integration as well as the EBITDA improvement program which we guided to the street, and you will be seeing in the current financial year a lot of the hard work has been done and then that will be flowing into the bottomline of the company ahead of the schedule.

Receivables , excluding acquired RE portfolio, improved 10% year -on-year. The net debt of the company stood at ₹24,260 Crores and with the debt to EBITDA of 3.3x without CWIP and 4.6 x with CWIP, weighted average interest cost reduced from 8.68% to 8.51%, and there is an interesting development which we have now to share with all of you is we have been guiding for next batch of our growth, we have disclosed that there is a visibility of 10 GW which is getting commissioned by December 2024. Now JSW energy has signed a MoU with JSW Steel for building 6.2 GW of the renewable capacity, 2.7 GWh of the storage capacity , and 85000 to 90000 tons of green hydrogen for manufacturing green steel . This 85000 to 90000 ton of green hydrogen will be associated with additional 1.8 GW of the renewable capacity and 1 GWh of the storage capacity; all these things will be done by 2030. So this entails a total within the group around 8 GW of the renewable capacity, 3.7 GWh of the storage capacity plus the green hydrogen and green oxygen and we will be deciding in due course about the pricing mechanism, but what I can explain is that historically whether it is third party or the group captive we have been doing all our projects at least mid -teen equity IRRs. With this I would like to open the forum for question and answer. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Atul Tiwari from Citigroup. Please go ahead.

Atul Tiwari : Congrats on very good set of numbers. Just one clarification on the merchant sale. Safe to assume that this was done from Vijayanagar and Ratnagiri projects right ?

Prashant Jain : That is right.

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Page 4 of 11 Atul Tiwari : What was the quantum behind this ₹8 merchant sale, how many units, etc.

Prashant Jain : You are talking about during the quarter the total MUs that is sold in merchant market ?

Atul Tiwari : Yes and what was the landed price of imported coal for you if you could hint on that, so those are the data points I want ?

Pritesh Vinay : On the imported coal let me take that first. If you see the API 4 index which is a benchmark for the 6,000 K cal High GCV coal that was actually down 65% Y -o-Y during this quarter to an average about \$113 per ton compared to the same time last year and you will be able to kind of derive that because we do of course just to reiterate what we have shared in the past for Ratnagiri we do a blend of low GCV and high GCV and for Vijayanagar because it is inland and there is an additional inland transportation cost involved we typically try to go with maximum high GCV coal. So therefore if you look at the standalone financials you will be able to compute the implied fuel cost , so we will not be able to disclose that separately, but coming to your first question we sold roughly 660 MUs of total in the short -term markets from thermal plants during the quarter.

Atul Tiwari : Now that the power market appears to be tight so do you have bilateral contracts for third and fourth quarter as well already or do you plan to kind of have

ing that ?

Pritesh Vinay : No, it is on a rolling basis because it works both ways like typically states are also in the past have been reluctant to go for longer -term bids we have seen 7 day, 15 day, 30 day, but

we have not really seen anything going beyond 30 day yet , but I think it is a matter of time and historically also if you see typically third quarter tends to be weaker .

Prashant Jain : So the reason that why I explained this point is not from the point of view about the differential we have garnered, the point what I told is that power shortage is for real, that is why most of the DISCOMs are trying to lock in the power instead of waiting to secure it into the day ahead market because there is no reasonable assurance to get the availability of power. So the reason is to explain this point is to look at from that point of view not from the point of view of any other way.

Atul Tiwari : I totally agree and just one more on that. Now that Ind-Barath unit one is going to be commissioned next month so you have already tied up on the bilateral side or like you want to keep it completely merchant or what is the status of PPA I know in past you have spoken about keeping it open and trying to take advantage, but any thought process on that ?

Prashant Jain : We would like to not to say anything about that part because on a day -to-day basis we take decision and what is in the interest we will be doing it depending upon the market scenario,

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Page 5 of 11 but the point is that it is a really tight market and it will remain a tight market for many months , quarter and year.

Atul Tiwari : That is true, that I agree and any comment on the coal arrangement for Ind-Barath, have you managed to tie up anything from CIL or any other source ?

Prashant Jain : We source the coal from the nearby mines and we already have the coal available with us in various auctions and we have already secured the supply till January and beyond that is already under tied up . So for the year whatever we are going to produce we will be having the coal, which have been already secured from the coal India or its subsidiaries through the auction mechanism including the Shakti tranches .

Atul Tiwari : Thank you Sir. Thanks a lot.

Moderator : Thank you. The next question is from the line of Lavina Quadros from Jeffries. Please go ahead.

Lavina Quadros : Hi, congratulations firstly on a good set of results. Just wanted some clarity on Mytrah how is that acquisition ramping up and is it in line with what you were projecting of ₹1,450 Crores ?

Prashant Jain : I think we guided higher number than that in our acquisition presentation where we talked about ₹1,650 odd Crores of normalized EBITDA, which will be achieved by FY25 and whatever ramp up plan for the increased energy as well as reduced O&M cost we have guided for we are running ahead of schedule, and that is what I explained that by the end of the financial year you will realize that majority of what we guided for in FY 25 you will see in FY 24 itself so it is doing pretty well.

Pritesh Vinay : To add to that, of course there is a lot of as Prashant already said in his opening remarks. He used the performance improvement and asset optimization plan. So just to give you a flavor in this particular quarter Mytrah generation on a like-to-like basis Y-o-Y basis was actually up by 27%, and that was primarily led by higher machine availability which improved by close to 700 bps on a Y -o-Y basis and machine availability for the wind capacity stood at about 97% for the quarter. Similarly, on the solar side actually the actual generation was a better than the P 90 generation so that close to 165 MUs . If you look at the delta increase in Mytrah generation improvement almost half of that was on account of focused interventions in terms of getting higher thr

oughputs, ensuring higher availability and adequate spares management and O&M management, etc. So all of that is leading to better generation has better revenue, optimization of O& M cost and therefore even at the EBIT DA level what Prashant was saying that if you go back and listen to the transcript or the recording of the JSW Energy Limited

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Page 6 of 11 call that we had done for the fourth quarter of fiscal 2023 when we had consummated Mytrah acquisition we had guided to hit that normalized EBITDA run rate in about 18 months post acquisition, but on a run rate basis point of view we are actually ahead of those timelines and all of that is reflected in improved EBITDA. Mytrah reported an EBITDA of about ₹557 Crores during this quarter and over and above this we of course have talked extensively about the benefits of lower financing cost due to a benchmarked debt refinancing and debt resizing and therefore Prashant mentioned in his opening remarks about how the weighted average interest rate during this quarter on a sequential quarter-on-quarter basis has actually gone down despite the rate cycle not turning and MCLR is actually continuing to pressure upwards, and that was because the full impact of the debt refinancing at Mytrah was flowing through and just to add to that and close the loop as Prashant also touched upon that is in terms of the receivables what is happening at Mytrah

portfolio on a year -on-year basis Mytrah receivables actually down by 30% compared to the same time last year. So I think that all in all operationally financially it has been a very robust integration and optimization play out of the Mytrah acquisition.

Lavina Quadros : Lastly on green hydrogen would you like to elaborate a little bit on, you are expanding the plan, you love to import the electrolyzers, anything else you would like to add on that front on the ecosystem ?

Prashant Jain : I will suggest that give us some more time and so I think with this MoU the whole objective is to first bring the visibility from 10 GW to 20 GW and also electron to molecule business and now that is put into the place. So maybe in couple of months you will see that we are talking about each and every item in detail ; however , already our first green hydrogen plant is under construction, equipments have been already ordered we are going ahead with alkaline technology, we are importing it from the Chinese manufacturer and the construction has already been started and we are expecting that by March 2025 this will be up and running.

Lavina Quadros : Great. Thank you.

Moderator : Thank you. We have the next question from the line of Anuj Upadhyay from Investec. Please go ahead.

Anuj Upadhyay : Thanks all the opportunity Sir. Could you elaborate on the current status on the PSP side, we have got the LOI for 2.4 GW so exactly at which stage of development we are in, and is this only across in Maharashtra or this 2.4 GW factors in other states ?

Prashant Jain : All places we have already started the work and right now the kind of the work which we are doing is in terms of the regulatory approvals as well as ordering of the equipment. So

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Page 7 of 11 ordering of the equipments are in advanced stage and regulatory approvals are with respect to the forest and environment clearance. So one project already the EC is in final stage the meeting has been concluded and we will be receiving EC within the current quarter and also the forest clearance will be also available by next quarter and we are expecting once EC and FC are in place in early next financial year we will be starting the construction and by the time the project equipments will also be ordered. Other than that there are total six projects which are in advanced stage of similar regulatory approvals and also the plant ord

ering

because later on when we see that there will be a lot many bids which will be coming up quickly we want to create the complete preparation. So there are total six projects where we are moving very aggressively with a cumulative capacity of 7.8 GW with around 6.5 hours of average storage time. Those are being done in parallel with respect to environment clearance, forest clearance, land acquisition, and also the ordering of equipment, and we will keep them ready and as soon as we are able to lock in the bids to supply those storage capacity we will immediately start the construction and issue the notice to proceed to the equipment manufacturer. This is how the status of PSPs .

Anuj Upadhyay : Will it be possible to specify the quantum for which we are awaiting the EC next year, Sir. On which we believe we expect to begin the construction work so what could be the quantum for that?

Prashant Jain : We will not start the construction until unless we win the bid and do the financial closure , so please understand what are the various enablers to start the project of PSP first project is that first is that you get the allocation, second is you get the regulatory approval, third is you win the bid and fourth is you do the financial closure. So these are the things. So what we are doing is the allocation part is when we are completing the regulatory approvals and then keeping the ordering ready. Now there will be the two milestone which we need to achieve before we put that into the construction is winning the bid and doing the financial closure. So once we win the bid then at that point of time the turnaround time will be very, very less to put them into the construction, so we will be able to tell you as soon as we win more bids.

Anuj Upadhyay : Lastly all the seven projects are in Maharashtra or we have across other states as well ?

Prashant Jain : Across other states. So it is in Karnataka, it is in Maharashtra, it is in UP and it is in Rajasthan, so these are selling projects , which are in advanced stage.

Anuj Upadhyay : If I may please ask another question which is related to the module manufacturing thing so it is like what we heard in the last call is that we are probably shifting the base to another state could be Rajasthan so any development over there sir ?

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Page 8 of 11 Prashant Jain : It is in Rajasthan we have already acquired land boundary has been done , equipments have been ordered, we have also secured incentive package from government of Rajasthan and it is now under construction and as per schedule of A 2025 it would be up and commission.

Anuj Upadhyay : This would be for 1 GW?

Prashant Jain : Yes right.

Anuj Upadhyay : Thank you Sir and thanks for the opportunity.

Moderator : Thank you. The next question is from the line of Sumit Kishore from A xis Capital. Please go ahead.

Sumit Kishore : Good evening Prashant and Pritesh . My first question is on the MoU that you have signed with JSW Steel the generation capacity of 6.2 GW is basically going to explain 60% of the increase that you do from 10 GW to 20 GW by 2030 so this is just formalizing the contribution that steel would have to your capacity expansion beyond 2024 ?

Prashant Jain : Yes, this is 62% of that capacity plus in addition to that another 1.8 GW which will be coming up for green hydrogen manufacturing also . So all in all total around 8 GW we have a visibility plus we will be doing SECI projects or maybe acquisitions maybe we will be having C&I portfolio , so everything is available in front of us. So whatever is remunerative we will continue to lock in, but you can really see that 80% is having a clear visibility which will be within our control.

Sumit Kishore : Now given that you have 80% visibility is there any sense of whether the 20 GW number itself is going to get upgraded ?

Prashant

Jain : I think let us talk about it maybe one year from now or one -and-a-half year from now and if we see that we need to revise our guidance and come out with this strategy 3.0 we will be certainly doing that and if you ask me personally as my confidence yes there is a possibility that we will be doing better because of better balance sheet, better cash flows, and better visibility, but at this point of time we stick to our strategy 2.0.

Sumit Kishore : The energy storage project these are mentioned in the MoU of 2.7 GW are these going to come from your pump storage hydro capacity or is it going to be new battery energy storage system projects ?

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Page 9 of 11 Prashant Jain : It is a combination, so it will be full of combination and depending upon the needs. So we are seeing that 3.7 GWh will be for JSW steel perspective 1 GWh for hydrogen and 2.7 GWh coupled with the RE generation , but it will be a combination for sure.

Sumit Kishore : So this 2.7 GWh is separate from the storage solution that you will have to combined with the RE power solution for green hydrogen ?

Prashant Jain : That is right.

Sumit Kishore : In JSW 2.0 strategy you had about the ₹20,000 Crores kind of an EBIT DA by FY30 almost a 6.0 to 6.5 times increase over the ₹30 billion plus run rate that you were doing , so that number if I want to just think aloud here has an upside with this MoU that you have signed because there are fresh projects which have got added to that tally?

Prashant Jain : Yes, that is true .

Sumit Kishore : Also if you could speak about the battery energy storage system project in terms of progress there have you tied up the battery, etc., how close are we to actual implementation of the project because you have earmarked this for completion before CY24 end and an associated question on the SIGHT program is there any progress in terms of bids being submitted and when is progress expected there ?

Prashant Jain : So we are absolutely ready I think there is a little bit of delay on signing the PPA because there are certain approvals which SECI is taking and since it being the first of its kind project where central government is also giving certain subsidy to the DISCOMs who are availing this and there are certain procedural aspects of that and because of that there is a delay in signing the PPA which can happen any time and once we sign the PPA we will be immediately awarding the contract and we will execute the project as per the schedule because the time taken will be not much and the other things are already ready. So we do not see any kind of a challenge in terms of the execution of the project or on the timeline where we have guided for at this point of time, but there are the procedural delays.

Sumit Kishore : How is that SIGHT program progressing in terms of new opportunities coming up there ?

Pritesh Vinay : Yes, it is work in progress and as and when the tender under the National Green Hydrogen Mission is done we would definitely evaluate I believe originally the bids were supposed to go sometime in September and then they deferred it. So let us wait for that, but yes that is another potential optionality, but with this MoU that we have signed with JSW Steel it puts us in a very relatively better spot to participate in the SIGHT tenders because you now have

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Page 10 of 11 an end used project to be eligible for this almost like a PLI equivalent scheme that what SIGHT really is right so we will actively be looking at that as and when it comes up.

Prashant Jain : Because most of the people who are talking about the green hydrogen they do not have any

buyer available to them and what this MoU does is there is a buyer, there is application to manufacture green steel and so it puts us in an absolute competitive advantage.
Sumit

Kishore : Finally on the 300 MW/2.4 GWh of the storage hydro project where you have LoA in place what exactly is the stage of progress on the ground ?

Prashant Jain : I just explain to the previous speaker I think Anuj was asking the similar question. So, if you missed it I will once again repeat it that we are in process of taking the regulatory approvals EC and FC which we are expecting that by the end of this financial year both will be in place, equipment ordering is going on and we are expecting that early in next financial year we will be putting that into the construction and as I also mentioned that in order to avoid such kind of a situations later on we are already working on total including these two projects there are five more projects total seven projects we have already started the certain preparatory activities to take various regulatory approvals, land acquisition as well as the ordering of equipment. Once we secure the bids and then do the financial closure those projects can be put into the construction stage ASAP.

Sumit Kishore : Very clear and if you start construction on this first 300 MW/ 2.4 GWh next year it would take another 24 months to complete it or...

Prashant Jain : No, it will be taking 36 months to 48 months. So depending upon the projects one project we feel that 36 months, another could be 40 to 45 months, but we will be guiding that in due course.

Sumit Kishore : Thank you so much and wish you all the best.

Moderator : Thank you. The last question is from the line of Rajesh Majumdar from Batlivala & Karani Securities. Please go ahead.

Rajesh Majumdar : I had a couple of questions. Is the company looking out for any more coal assets with no PPAs under NCLT or any other such assets available or are we looking at them? That was the first question.

Prashant Jain : We continue to look at various opportunities and as and when we find any good opportunity we will certainly try to lock in. So for record you can consider that anything and everything which is available in the power sector we are interested in it.

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Page 11 of 11 Rajesh Majumdar : You do find any such opportunity still available that was my question actually.

Prashant Jain : That is a tricky question, but there are a lot of opportunities which are there but which are not available at a reasonable price and there are certain opportunities which are available for reasonable price. So at unreasonable price lot of things are available.

Rajesh Majumdar : My second question was on the JSW Steel 6 GW addition and in fact I was also the JSW Steel call a while ago the company has clearly mentioned that the capex funding for this will be a shared kind of funding. So would you highlight how this is going to work out in terms of the funding by JSW Energy and the way it is going to operate ?

Prashant Jain : So it is as per the act wherein there is a captive power policy, wherein this project has to be housed under a SPV and the power procurer has to take 26% equity into that SPV and balance will be by JSW Energy, and based on that PPA the debt will be coming into the SPV for supply of the power. So this is how it is going to be and this is how all our existing power projects whether it is thermal or renewable for group captive structure.

Pritesh Vinay : Yes, it is just exactly the same what we are doing for the 958 MW in the current pipeline of projects under execution. So it is a similar model under the captive scheme.

Rajesh Majumdar : When you give the capex guidance you are obviously including this inside that right ?

Prashant Jain : Yes, it will be similarly like we have already guided for a long-term capex plan which is under the strategy 2.0 and so it will be guided on that.

Prashant Jain : Right Sir, that is helpful. Thank you so much, and I do not think there any more questions.

Thank you very much Sir for the opportunity and if you would like to make some concluding remarks we can conclude the call.

Rajesh Majumdar : No, thank you very much ladies and gentlemen and happy Navaratri and happy Dussehra to all of you and your family. Thank you.

Moderator : Thank you. On behalf of Batlivala & Karani Securities that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2024

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"JSW Energy Limited Q4 FY24 Earnings Conference Call"
May 07, 2024

MANAGEMENT : MR. SHARAD MAHENDRA – JOINT MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER
MR. PRITESH VINAY – DIRECTOR (FINANCE) AND CHIEF
FINANCIAL OFFICER
MR. BIKASH CHOWDHURY – HEAD, INVESTOR RELATIONS
AND TREASURY

MODERATOR : MR. SUDHANSHU BANSAL – JM FINANCIAL

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Moderator : Ladies and gentlemen, good day, and welcome to JSW Energy Q4 FY24 Earnings Conference Call hosted by JM Financial. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sudhanshu Bansal from JM Financial. Thank you, and over to you, Mr. Bansal.

Sudhanshu Bansal: Thank you, N irav. Good evening, everybody. On behalf of JM Financial, I welcome you all to the conference call of JSW Energy to discuss the 4th quarter and FY24 results .

We have with us the leadership team from the company, including Mr. Sharad Mahendra – Joint MD and CEO; Mr. Pritesh Vinay – Director (Finance) and CFO; Mr. Bikash Chowdhury – Head, Investor Relations and Treasury.

Thank you so much, sir s, for your kind presence and giving JM Financial the opportunity to host the call.

With this, I would like to hand over the call to Mr. Mahendra for "Opening Remarks " and taking the call forward. Over to you, sir.

Sharad Mahendra: Thank you, Sudhanshu. Good evening, ladies and gentlemen. Thanks for joining us for the Quarter 4 and Fiscal 2024 Earnings Call.

I will start by covering the various aspects of the business, starting with the power demand, how it has shaped up , and then in terms of the capacity increase where we have seen significant capacity addition in the country and various other points.

We have seen a strong demand growth of 7.5% in FY24, remember that the growth was in excess of 8% in FY23 on a larger base . In the quarter ended March, we have seen demand growth of 7.4%. And the numbers which have come for April -24, the demand growth has been close to 11%, implying a strong demand into the summer season, which we are going through right now. It is interesting to note that in FY24, the peak demand reached a level of 243 GW and this is expected, to reach 260 GW as per Ministry of Power in the current summer s.

In terms of generation in the country , we saw an increase of 7.1% in FY24 and 7.3% in Q4. And we all know that the hydrology has not been favorable , the large hydro generation has been down by 17% in FY24. And in Quarter 4 , we have witnessed a decline of 20% YoY in hydro generation .

While the RE generation was up by 5% in the quarter and 11% in FY24.

When we see the capacity installations, the installed capacity in the country has reached 442 GW, with a total capacity addition of 26 GW in FY24 versus 16.6 GW in FY23. Renewable capacity addition has seen a record addition of 18.5 GW in FY24 which comprises of 15 GW of Solar

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capacity addition and 3.3 GW of wind addition, which is the highest in a year, versus 15.3 GW in the previous year.

The capacity addition was skewed more towards the fourth quarter with 9.8 GW of 18.3 GW of RE capacity installation in Q4. The solar-wind mix for Q4 was 8.5 GW and 1.2 GW, respectively. So, we see a significant increase in the capacity additions which is happening.

The bidding environment has also been very conducive as Government aims of 50 GW bidding per annum, we have seen tenders worth ~70 GW which were announced and auctions were completed for more than 40 GW in FY24.

In Q4FY24, we witnessed a total auction of 19 GW of RE capacity, JSW Energy has won 3.4 GW, which is 18% of the total auction which has taken place in the country during Q4.

There is a mix of bids which are coming now apart from plain solar, plain wind, hybrids, RTC, green power and now FDRE. So, the need for round-the-clock and seeing the demand patterns on an hourly basis, we see

that FDRE is going to be there. This is very interesting, because this is not just a power supply, it's a complete supply of a solution to the required DISCOM or the state. We have been successful in winning the significant portion of the first FDRE bid which came up in Q4.

When we see the merchant market, it continues to be strong, the volumes in FY24 increased by 12%. While the average tariff for FY24 was lower at ₹5.24 as compared to ₹5.94 in the previous year, as the API coal prices have seen a significant decline which has resulted in that reduction in tariff which is comparatively lower than what the coal prices have come down, which is a positive for the sector.

Coming to coal, when we see that in FY23 if we talk of a particular index like API4, which was in FY23 at \$250 level was at \$110 in FY24. And in April, this index has further slightly come down to \$107.

Apart from that, power sector outlook which has been announced by the National Electricity Plan clearly says that the demand growth on an annualized basis will be 5.5% YoY from between 2024 to 2032, this is a very positive. The total energy demand, the peak demand which we saw at 243 GW in FY24 is expected to reach 260. Further, as per NEP peak demand for FY27 is expected to reach ~277 GW, and FY32 at 366 GW. So, this is a significant increase in the peak demand, which is driven by factors like manufacturing growth and urbanization rate. So, these are the key drivers, and also the country moving towards Green Energy in manufacturing also. So, these are very positive factors for the sector which we are seeing.

And coming to JSW Energy's Performance, this year we reported the highest-ever adjusted EBITDA and PAT, driven by RE capacity additions and strong thermal performance. EBITDA for the year was up by 53% at ₹5,837 crores. And during the quarter EBITDA was up by 47% YoY at ₹1,292 crores. PAT also witnessed an increase, and overall net generation also has

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witnessed a significant increase. In FY24, the PAT increased YoY by 17% at a level of ₹1,723 crores. And in Quarter 4, it grew by 29% at ₹351 crores.

Overall net generation during the year increased by 27% from 21.9 billion units in FY23 to 27.9 billion units in FY24. And during the quarter, it increased by 26% and it went from 5.1 billion units in the previous year Q4 to 6.4 billion units. The higher generation was driven by contribution from acquired assets and Greenfield RE capacity additions and higher thermal generation.

Another positive which we are seeing in the sector and also for us, our receivables, excluding the acquired RE portfolio, it stood at 54 days. And we are seeing a very positive action from the DISCOM side also and very healthy for the sector also.

Our net debt-to-equity at 1.3x, net debt-to-EBITDA at 4.5x, and net debt to EBITDA excluding the CWIP stood at 2.9x, which again clearly enables us for a future growth which we have a plan, on which I will be speaking in some time.

As you all are aware that in the beginning of April we successfully completed our QIP, which is the largest fundraise through the QIP route, and the third largest in the power sector including the IPOs which the sector has witnessed. It saw a very high interest for marquee global and domestic funds, which also believes in the story of JSW Energy and the way we are planning our growth.

Now to build a robust pipeline, we have already participated in the competitive bids. And we have

been declared L1 bidder for 3.6 GW of capacity , out of which we have received LoI and LoA for capacity of 3.4 GW. This takes our total generation capacity , including locked -in capacities , to 13.2 GW.

We have been talking about the Mytrah asset which we acquired about a year back which we have successfully turned around and achieved 12% increase in the

generation within one year of

acquisition . We have generated an EBITDA of ₹1,403 crores and we are confident of seeing a further improvement in FY25 when we will be able to capture the full wind season . This is in line with our target of achieving EBITDA in the range of ₹1,600 crores in 24 months ' time. We are very well on track to achieve that number.

In addition to that, our Ind -Barath Unit -1 successfully got commissioned in January, and we generated 196 MUs during this quarter . We were able to ramp up the capacity , this project execution in itself is a record of a stressed asset, which has been non -functional for a very long period. And in record time we have brought it on stream , and we have started the generation . Unit - 2, we are looking to wards commissioning in the current quarter.

The 1 GWh battery storage project which we have won from SECI , we are happy to announce that the part capacity already we have signed the PPA, and the site work has already started , ordering has been completed. And we are confident that by Q1FY26 we will be in a position to commission this 1 GWh project.

So, friends, these are the points from our side. Now , I will open the house for any questions. We will be happy to answer. Thank you.

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Moderator: Thank you very much. We will now be in the question -and-answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Congratulations on successful fundraise. My first question is on the fact that the Board has approved raising funds worth ₹100 billion. What is the reason for a fundraise? Are you looking to raise this fund in FY25, is that the right understanding?

Sharad Mahendra: Mohit, if you remember that we have announced a target of achieving 20 GW of generation capacity by 2030 from present level of 7.28 GW. And in the Phase -1, we have said that by FY25 we will be reaching a 10 GW capacity, and we are well on track to achieve that on time. Now , as I said about the demand environment which is healthy and the opportunities both organic and inorganic which exists in the market, we are confident of accelerating that growth of 20 GW a few years earlier than stated target of 2030. Thus we have taken the Board approval to as and when if the opportunity comes, we should be ready to take full advantage of any opportunity . That is the basic reason . And my colleague, Mr. Pritesh Vinay, will like to add on this.

Pritesh Vinay: Mohit, I mean, Sharad has clarified it , but just to put things into perspective . We had been having an enabling resolution for a capital raise since 2016. It is just a different matter that it took us seven, eight years to actually pull the trigger, given the macro headwinds , etc., and the size of the opportunity, and the visibility of returns accretive growth. So, this is also an enabling resolution which we are seeking . And we will continue to seek every single year, as we have been doing for the last eight years. That 's point number one.

Point number two, just to add to what Sharad said . While he did talk about the bidding environment and the demand growth , etc., there 's also a lot of inorganic play available. As we are speaking, there are a few platforms where the fund lives of the financial sponsors are coming to an end, and a number of processes are underway. So, who knows , I mean, if we get a right opportunity, it will always be good to not be constrained by necessary approvals in place from a capital raise flex point of view. So, that's the whole context.

Mohit Kumar : And sir, given the pipeline which you have right now, what would be the capex in FY25 and FY26? And can you also give us some color on the capacity addition for the next two years?

Sharad Mahendra: Yes. Regarding capacity addition, Mohit, as we have said earlier that we will be reaching

g 10 GW

by FY25, we are well on track . And we are confident that we will be reaching that 10 GW number in FY25.

Mohit Kumar: And sir, capital expenditure, if you can give us a number for next two years?

Pritesh Vinay: Yes. So, next year, it 's easier to give. Next two years, because suppose for example we participate in more bids, and we won good returns accretive bids, that number will move bas is that, right? So, for the roughly 2.7 GW that we need to complete to hit the 10 GW mark, plus the battery storage project, we are looking at a total capital expenditure of about ₹15,000 crores in the coming fiscal year. For the year beyond that, we think that by the end of the current fiscal year we will be in the

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right position to guide for the following year. And just to complete the argument, for the year that just ended, the numbers that we are discussing, we spend about ₹8,000 crores.

Mohit Kumar: Rs. 8,000 going to ₹15,000, understood.

Pritesh Vinay: Right.

Mohit Kumar: My last question is on the, what is the reason for looking into setting up a wind manufacturing capacity? And what is the timeline you are looking at?

Pritesh Vinay: So, on that, Mohit, we are evaluating the battery cell manufacturing optionality. Because as Sharad was mentioning in his opening comments, to address the intermittency situation from a grid stability point of view, India is going to need a large amount of storage solutions. Secondly, more and more we are going to see complex bids, which will inherently have a battery storage solution built in for FDRE type of vendors. And hence we see that there's a long road for stationary storage point of view. So, we are seriously evaluating and doing detailed work on that side. And at the right time we will take a suitable call. And if we choose to pull the trigger on that one, we will come ahead and share all the details with the market.

Sharad Mahendra: And Mohit, to further add to the number, if you see presently, is to which I said some time back, the storage is going to play a key role. And today, in the country, from battery point of view if you see, there is almost nil battery storage capacity which is there. It is only pump storage of 4 GW which is running, available. And the projects which are there, it clearly shows that by FY27 the storage capacity total required will be in excess of close to 16 GW, out of which about 8 GW to 9 GW of battery is expected, and balance is in terms of the pump storage. So, this is a huge opportunity which we see on working, as Pritesh said, we are evaluating that. And rather than depending on procurement, if there is a benefit, we will be moving ahead in this.

Moderator: Thank you. Next question is from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore: My first question is a follow-up on what Mohit asked. If your CAPEX guidance for FY25 is around ₹150 billion, I'm just referring to Slide 13 of the presentation, which mentions that of your total committed capex of ₹186.5 billion, about ₹150 billion has already been spent. And in addition, there is a SECI XII of ₹22 billion capex. So, ₹150 billion seems to include capex that you would do for the 3.6 GW committed capacities as well. Is that right?

Sharad Mahendra: Yes, that's right. Correct.

Pritesh Vinay: See, part expenditure will happen on this pipeline, which will be spread out over two to three years, and the storage capex will also happen, so it's a sum total. Plus, there will be maintenance capex also for the existing running plant, and the whole number is the sum total of everything.

Sharad Mahendra: And also, of the ongoing projects which are already there, that is also will be balanced capex, which is pending, that also will be done in the current year. So, it's a total of all.

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Sumit Kishore: Sir, would it be fair to say that of this 3.6 GW which you have won recently, we should be looking at a post FY26 commissioning timeline?

Sharad Mahendra: Yes, a significant portion, yes. You are right.

Sumit Kishore: Second question is on Ind-Barath, 196 million units were sold in Q4, the EBITDA was about ₹300 million. The spread appears to be a bit thin. Is this going to upfront O&M cost being higher given that this is the early stage of stabilizing the unit?

Moderator: Participants, please stay connected, the line for the management dropped. Ladies and gentlemen, thank you for your patience. We have the line for the management reconnected. Sir, please go ahead.

Sumit Kishore: Yes. I was asking a question regarding the Ind-Barath project where 196 million units were sold in Q4, and the corresponding EBITDA was about ₹300 million. Is the spread that you are making right now on a per unit basis thin because of the upfront O&M cost, which would have been higher in the stabilization of the unit, or if you'd comment on that.

Sharad Mahendra: Correct. Sumit, whenever a new unit is getting established, there are lots of the unit comes down, again comes back, that is frequent. So, that is one of the reasons where it impacts definitely. But now the unit has reached almost close to, I will say, a high level of stabilization. So, it will be better. But yes, definitely when the unit commences, this is a normal feature which happens.

Moderator: Thank you. The next question is from the line of Atul Tiwari from Citi. Please go ahead.

Atul Tiwari: Congratulations on successful capital raising. Sir, my question is on JSW Neo Energy. So, could you share the FY24 consolidated numbers for JSW Neo Energy, just revenue, EBITDA, PAT, how much was that?

Pritesh Vinay: Atul, I request if you can connect with the IR team, they will be able to help you on the numbers, yes?

Atul Tiwari: Okay. And the second one is on the breakup of the CAPEX of ₹150 billion. So, how much of that is for the battery storage?

Pritesh Vinay: So, once we have signed out the contractual, we are in very advanced stages of finalizing the

negotiations with the suppliers. So, probably by the next quarter will be the right time when we should be in a position having got the approval of the Board, when we will come and share with the markets what is the final project cost for this one, yes? But it is going to be lower than what it would have been a year ago.

Moderator: Thank you. The next question is from line of Koundinya from Jefferies India. Please go ahead.

Koundinya Nimmagadda: Sir, my first question is on the capacity front. So, 9.8 GW by end of the current year, that looks fine. If I were to go back and see, when will this 3.6 GW be added, I mean, what would that day be like? Or if I were to ask it in different way, FY27, where do you see your capacity ending at?

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Sharad Mahendra: See, when we see the capacity of 3.6 GW what we have won, maybe just recently it has been won.

Now the PPA signing process will start. Once the PPA signing process starts, depending on the PPA terms, on average you can say about two years from the date of signing of PPA capacity will be commissioned. And if we are at 10 GW, a very small quantity, as I said earlier, will be a part of this. But then you can add that and take a two-year timeline from the time of PPA. So, that is how it will be. And we said, the total locked-in capacity of 13.2 GW. From the signing date of PPA, within two years we will be definitely reaching 13.2 GW.

Koundinya Nimmagadda: Sir, and you also spoke of advancing your FY30 target, any timelines you are looking at? Or it's too early to comment on those things?

Sharad Mahendra: It is a bit early. At the right time, we will definitely communicate, as I told you. But we are quite

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confident with the kind of bids we have won in a short span it is one of the major reasons and the opportunities which are there in the coming year.

Koundinya Nimmagadda: Sir, my second question is on the merchant market. I think about last year, there was a CERC

paper that caps the tariffs for merchant at about 1.2x the variable cost on average or 1.6x for any particular timeframe. How do you look at that? Any specific comment that you would like to make on the kind of impact?

Sharad Mahendra: This is something which is a bit too early to comment because this has come just maybe 24-36 hours back. And also, we have to see that this is a staff paper and that too a draft, on which as an industry we have to study and then see the impact. I can only say that the staff paper, what it says, it is unlikely what is mentioned it will go through. But from our perspective, when we see that, it is only 15% of the power which is open power for us which we sell in merchant. And out of that also a significant portion is through bilateral trade on a short-term what we sell. So, we feel even if this happens, which is highly unlikely, I think the impact is not going to be there for us at least to see that, because our majority is tied up power in the long-term PPAs.

Koundinya Nimmagadda: If I may ask one bookkeeping question, what is the average merchant tariff that you realized during the quarter, sir, or for FY24?

Pritesh Vinay: I think if you can connect with the IR team, they should be able to. But I think if I remember correctly, the average day ahead market price on the exchanges for the quarter was about ₹4.9.

Sharad Mahendra: And our realization is significantly higher than that.

Moderator: Thank you. Next question is from the line of Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar: Sir, is it possible to share the EBITDA numbers for Mytrah for the quarter and year?

Sharad Mahendra: Yes. Mytrah FY24 EBITDA was ₹1,403 crores and Q4FY24 EBITDA was ₹244 crores.

Pritesh Vinay: If you go through our presentation, Rajesh, which is Slide #38 will give you entity-wise breakup.

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Rajesh Majumdar: Sorry, I missed that, yes. And my second question was, sir, when you mention ₹15,000 crores capex, this is excluding the impact of any acquisition, right?

Sharad Mahendra: Yes.

Pritesh Vinay: Yes, sir. We are still to be in a situation where we can have a firm capex number without a firm target in sight.

Sharad Mahendra: Yes, we cannot give any capex number for that.

Rajesh Majumdar: So, in this kind of a market where there's so many distressed assets, it could be like the number could be more than that, right?

Pritesh Vinay: Yes. If the opportunity is there and we are getting the desired returns, what we expect, definitely we will keep exploring any opportunity which comes in the market, definitely.

Sharad Mahendra: You are right, Rajesh.

Rajesh Majumdar: So, in that case could you give us some ballpark guidance of net debt to EBITDA, like what is the outside it can go to in case we get into some kind of an acquisition like that? Like it's 4.5x now, and maybe EBITDA will increase this year a little bit, so how much can we go up to in order to

fund our growth as well as keep it under kind of some kind of limits? Is there any kind of ballpark figure you can give on that, a range?

Pritesh Vinay: No, ballpark figure is the right question because that's also, I would say, the most important metric to look at, what is the leverage profile is going to pan out like, right? So, if you go back and look at all our commentaries in the past couple of years, what we have consistently maintained is this that, we have three competitive advantages that we believe that we enjoy over a majority of our peers.

One is typically our specific investment cost or our capex per

megawatt tends to be lower than

peers. Our opex per megawatt tends to be lower than peers. And we enjoy one of the strongest balance sheets because of which we enjoy one of the highest credit ratings in the private sector, because of which the financing costs that we enjoy for our growth project is one of the most competitive in the industry. So, it is very imperative for us to retain all these moats from a business, from a strategy point of view.

So, we will go by what is the rating agency guardrails, right? So, it is very important to understand the high credit rating that we enjoy, what are the guardrails for that? So, the way the rating agencies look at this that, because typically when you start a 3:1 debt to equity project with a 25-year visibility of revenue and cash flows, and you solve for a certain debt service coverage ratio, it translates to a net debt to EBITDA of about 5x to 5.5x, and that is what the rating agencies are comfortable with.

But what is most important here is the phrase they use is a sustained normalized net debt to EBITDA, which means what that if you have debt sitting on the balance sheet, which is sitting in JSW Energy Limited

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capital work -in-progress, they adjust for that because the EBITDA from that is going to be coming in a forward-looking manner, right? So, on a headline point of view what we are seeing is a 4.5x adjusted for the debt of, if you look at slide, we have a slide on the investor presentation deck where we break it up, the net debt bridge, there is adjusted for the capital work -in-progress, Slide number 12, it is 2.9x, right?

And mind you, all of these numbers that you are seeing in the results are as of 31st March. The ₹5,000 crores equity raise happened in the first week of April, right? That has not been accounted for yet, right? So, if I were just theoretically to account for that, what you are seeing as 4.5x is actually well below 4x, it is about 3.7x. And what you are seeing as 2.9x is about 2x, right? So, we have a very comfortable, I would say, headroom from a balance sheet point of view to kind of pursue our growth aspirations.

Rajesh Majumdar: Right. And sir, my last question is on Vijayanagar. Why are we still generating an average PLF of only 59% considering the fall in coal prices? Are we not able to get the merchant capacity we are running as per what we need to? And any guidance for that for the coming year?

Sharad Mahendra: No. See, as and when the requirements are there and the state is looking for the power we are generating. There are some issues which are there related to water supply and all, but that has been taken care.

Pritesh Vinay: See, if I can add to that, there's a Section 11 that has been imposed by state of Karnataka also, right? So, the Vijayanagar plant whatever untied capacity is there, we will sell to the state at a certain tariff that has been agreed. So, the section 11 is in place. And therefore, as and when we are able to have excess generation, we are able to feed that into the grid.

Rajesh Majumdar: So, do you think the PLF of 59% can improve significantly given Section 11 or merchant, wherever we sell? I mean, I think it's more to do with Section 11 now than merchant, but can this improve significantly in the coming years?

Pritesh Vinay: We would want to be conservative and not guide aggressively. Because honestly speaking, if you go back and look at our commentary at least a year, a year and a half ago, we used to say that, look, merchant is something which is so volatile, it's not predictable. And hence, 85% of my capacity which is tied up under long-term PPA accounts for 95% of EBITDA, right? The needle has chosen to move now. So, while we are very bullish on the underlying power demand growth and the sustained power demand-supply deficit situation, we would expect the firm merchant markets to continue at

least over the medium-term. But I would not want to, as a management team, want to guide aggressively and say that no, no, please take your base case as a much higher PLF. We are happy if you work with 58%, 59% PLF, that's not bad enough.

Moderator: Thank you. The next question is from Aniket Mittal from SBI Mutual Fund. Please go ahead.

Aniket Mittal: Sir, firstly on the 6.2 GW MoU that we have with JSW Steel, how does one think of fructifying that MoU into, let's say, a PPA going forward?

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Pritesh Vinay: Aniket, you are right, the 6.2 GW MoU is for the additional RE capacities that they need for their decarbonization targets. This will happen in phases because this is 6.2 GW till 2030, not in one go. In one of the earnings calls before this, we had said that we are in discussions with JSW Steel for Phase -1 of the 6.2 GW. And we believe that during this quarter we should be in a position to conclude the discussions and have the Board approvals of both the companies in place, and then sign the PPA. And at the right time, we will make the necessary disclosures to the market. But we are reasonably confident that during the current quarter, which is the June quarter, we should be in a position to conclude this, the Phase -1 of the 6.2 GW.

Aniket Mittal: The second question was just on the bidding that we have been doing in the utility tenders. Traditionally we have been averse to bidding for plain vanilla solar projects. But I think over the past few months we have won certain tenders within those frame as well, which are pure solar project. Just trying to understand the thought process over here, are you seeing the equity IRRs, or the competition intensity change in the market? And what sort of equity IRRs do you expect for these projects that you have recently won?

Sharad Mahendra: See, Aniket, you are right that in past we have not been present in this competitive bid space. But as we have been saying for quite some time in various calls that we are targeting at least mid-teen IRRs, which were not there. But now at the current tariff which are being discovered and the capex, which is involved, definitely that is one of the reasons which we have participated. And going forward also, with wherever at least the mid-teen IRRs are achievable, we are getting, we will definitely be looking towards in this space also.

Aniket Mittal: Okay, mid-teen IRRs on plain vanilla solar as well. Just one last question was, you briefly mentioned about spinning the FDRE project. I think we have won about 180 megawatts. Could you give us an idea of how the scaling up will happen for the project in terms of wind, solar, battery? And just trying to understand how much of that is being built in, in this pipeline of 3.4 GW that you have.

Sharad Mahendra: See, Aniket, if I have understood correctly, you want that how this FDRE space bids will come up? Or the nature of the combination of how this FDRE, what we have won, 180 megawatts, will be structured?

Aniket Mittal: The nature, how that 180 megawatts will be structured?

Sharad Mahendra: See, normally you can say it's a mix. Depending on the FDRE, it differs from it. It cannot be a standard mix, because each state or each DISCOM, whoever wants to buy it, what is their hourly pattern which we have to cater to. So, the project is designed like that, it is a mix of wind, solar, and maybe it is also a storage. So, that is how it is designed. But on average, you can say it is normally 2x in terms of the capacity if you see. But FDRE is normally wind-heavy. Solar portion is lesser. But on average, overall capacity is you can say average 2x.

Moderator: Thank you. Next question is from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.

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Nikhil Abhyankar: Just a continuation on the pre-

vious question. Sir, do we have any guidance on the BESS project as

to have we tied up the remaining 40%? And are we looking to tie it up with our own FDRE bids?

Sharad Mahendra: See, Nikhil, 40% right now we have not tied up. And we have designed the project in a way that we can participate in the merchant market. We see strong peak hour demand and also the price which is being discovered. So, we will be using this in the merchant, in the morning and evening peak which is likely to increase from 243 GW in FY24 to 260 GW, this is maybe a particular moment.

But during the year, the gap between off-peak and peak is increasing significantly not only in terms of demand but also the prices. So, I think 40% of capacity we will be keeping untied and selling during the peak hours. Because if you see the off-peak prices as low as ₹2 and peak as high as ₹10, so there's significant room to take advantage of this situation. So, we will be keeping this 40% of the capacity open for merchant because we have the flexibility that when we have to give, so we will be giving during the peak hours only.

Nikhil Abhyankar: And sir, in the previous call, you mentioned that we might even think of adding greenfield thermal capacity. So, do we have any update on that?

Sharad Mahendra: Can you repeat, Nikhil?

Nikhil Abhyankar: Previously, we also mentioned in the previous calls that we might look to add greenfield thermal capacity. So, are there any updates on that?

Sharad Mahendra: Yes. See, Nikhil, if you see, till now also there is hardly any requirements are coming for the PPAs from any of the states. But we are open to that. As and when the opportunity is there, we will look into. But presently, we cannot give an exact quantity or exact timeline for this. And also, when we see that right now our main focus is at the neo level in the renewable energy space.

Nikhil Abhyankar: Sir, just a final question. Why exactly are we entering into wind manufacturing?

Sharad Mahendra: See, Nikhil, we see that how the wind capacity additions in India have happened and we have identified the various challenges which have been there. We have seen wind capacity addition in excess of 3 GW, which I think is a high number if we see previous years. One of the major challenges which have noticed is the supply chain bottlenecks. And so, we are not looking towards this as a business, but we are looking to derisk our plans of the execution towards our 20 GW target. And also, if possible, to take the advantage of the cost benefits when we are dependent highly on the imports. So, it is purely a derisking of the supply chain to ensure that whatever we are planning, we are able to execute on time.

Moderator: Thank you, Nikhil. Next question is on the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore: One more question on Ind -Barat h. Now that the Unit -1 has stabilized, at present e -auction prices, roughly, what is the variable cost per unit that you are able to secure in Ind -Barat h?

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Pritesh Vinay: So, Sumit, there are two primary modes of sourcing coal for Ind -Barat h. One is the SHAKTI auctions, which is for power plants with no PPAs. And the second is the spot auctions by Coal India. These are the two primary modes. There's a third mode which is happening where some of the people in the neighboring region have a captive mine, and they have permission to sell about half of that to the commercial routes. So, these are the, I would say, the three primary modes. Now in the first batch of auctions which we had participated in, which was, say, sometime in the second and third quarter of Fiscal '24, the premiums on the base price used to be higher. And therefore, I would say that the landed cost of that batch of fuel was, between ₹2.7 to ₹2.9, in that range. But there was t

he next batch of SHAKTI auctions which happened a couple of months ago, right, and this is valid for the current fiscal year. And here, in most of the cases, you got it at the base price with no premium to the base price in those auctions. But that coal is going to come in future during the year. So, that coal is going to be much cheaper than that. I would say that it's going to be less than ₹2.5.

Sharad Mahendra: And also, one good new thing which it started in for the first time under SHAKTI, apart from the quarterly and the spot auctions which were happening, this time Coal India came up with bids which are valid off-take is for full one year. So, a significant percentage of our total requirement for Unit -1, we have been successful in getting at the nil premium. So, that will start coming maybe from June onwards every month, the quantity will start coming, which will take care of a large portion of our requirement. And that is at nil premium. So, as Pritesh said, there the fuel cost will be definitely under ₹2.50.

Sumit Kishore: Unit-2 stabilization would happen in Q1 or Q2 now?

Sharad Mahendra: No, Q1 we are expecting the startup, and sometime maybe in early part of Q2 we are confident that we will be able to stabilize the unit.

Sumit Kishore: After Q3?

Sharad Mahendra: Yes.

Pritesh Vinay: Sumit, at least one quarter for stabilization.

Sharad Mahendra: One quarter is stabilization. Maybe by mid -Q2 we should start reaching towards the stabilization.

Moderator: Yes, sir. We will take the last question from the line of Nikhil from AB Bernstein. Please go ahead.

Nikhil Nigania: My first question is regarding the bid for battery storage in Gujarat where JSW had quoted very competitively. So, given the battery prices and those kinds of bids, do you see a strategy shift back from pump storage more towards battery going forward, or do you see a need for both?

Sharad Mahendra: Nikhil, now with the battery prices moderating what they were till about a year, a year and half, or two years back, and also the execution of the project, the gestation period of pump storage is normally higher, battery percentage will improve. But seeing that it will be that both have their own benefits, so I think both will exist. And battery, that is the reason as I told you, by FY27 it is

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projected that between 8 GW to 9 GW of battery storage will commission and about 7 GW to 8 GW of pump storage. But when we see this percentage by FY32, the percentage of pump storage will increase as compared to battery storage, capacity addition will happen in both the spaces. It is because the long period required to complete the project. So, both are required. It is not that battery alone can replace this. And we already have MOUs for pump storage also in place on which we are working for PSP also.

Nikhil Nigania: My second question is on, if I wanted to ask you to highlight the single biggest challenge you see in achieving your FY25/FY26, renewable capacity addition plan, what would it be? Would it be wind turbine availability? Would it be modules, land, or transmission?

Sharad Mahendra: No. See, the thing is, these are the three key areas. When you see we have already the team, operational team and also at the management level, these three are very, very clear areas where we need to focus. And I will tell you that how we have seen these areas and what we have done is, of course, land definitely is a must, that is a starting point on which we have already started building the required land bank. And when we see that two years completion from the signing of the PP A, we will be ready from that aspect.

Second is also to add, along with land which we have not mentioned, is the evacuation and the connectivity of the substation on which the CTU is also working, and we are also working. We have applied for the connectivity

to match it with the completion of the project that connectivity should be there.

Now coming to solar and wind turbine, WTG availability, we do not see that as a challenge, especially from wind space. There are enough capacities, right now not in India, but the opportunities which are there in outside India, maybe in China also. So, we have already locked-in significant capacities what we need for wind turbine already, and which will take care of our maybe next year's requirement also.

And in terms of solar modules, when we say enough capacities are now there in India and the new capacities which are going to get added in the current fiscal by December, there will not be any challenge we see in terms of module availability, for us at least, and also for wind turbine availability. So, we have taken these three areas as the identified areas to focus on, and the team and the management is definitely working on that.

Moderator: Thank you very much. I now hand the conference over to the management for closing comments. Thank you.

Pritesh Vinay: Thank you, everyone, for joining this call. And in case there are any follow-ups, please feel free to reach out to the investor relations team and they will be happy to answer all your queries. Thank you very much.

Sharad Mahendra: Thank you. Thank you, all. Thank you very much.

Moderator: Thank you very much. On behalf of JM Financial, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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"JSW Energy Limited Q1 FY25 Earnings Conference
Call"
July 19, 2024

MANAGEMENT : MR. SHARAD MAHENDRA – JOINT MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. PRITESH VINAY – DIRECTOR (FINANCE) AND
CHIEF FINANCIAL OFFICER
MR. BIKASH CHOWDHURY – HEAD, INVESTOR
RELATIONS AND TREASURY

MODERATOR : MR. ABHISHEK NIGAM – MOTILAL OSWAL FINANCIAL
SERVICES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the JSW Energy Q1 FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Nigam from Motilal Oswal. Thank you, and over to you, sir.

Abhishek Nigam: Thank you, Saagar. Good evening, everybody. On behalf of Motilal Oswal Financial Services, I welcome you all to the conference call of JSW Energy to discuss the first quarter FY25 results.

We have with us the leadership team from the company, including Mr. Sharad Mahendra, Joint MD and CEO; Mr. Pritesh Vinay, Director Finance and CFO; and Mr. Bikash Chowdhury, Head of Investor Relations and Treasury.

And now without any further delay, I will hand over the call to Mr. Mahendra for opening remarks. Over to you, sir.

Sharad Mahendra: Thank you. Good evening, everyone. Thank you for joining today's call. The past quarter has been exceptional for the power sector and especially for JSW Energy. The sector dynamics are evolving fast, presenting both new opportunities and challenges. As we know that with our nation's rapid growth, the GDP is estimated to have increased by 8.2% in FY24, driven by robust manufacturing and industrial activities. Notably, India's manufacturing sector grew by 9.9% in FY24, highlighting the critical role of the power sector in supporting increased economic activities.

Before we dive into our quarterly performance, I would like to provide an overview of the current power demand landscape. The power demand for the country grew at an impressive rate of 7.5% in fiscal 2024 on the back of resilient economic activities in the country. In this quarter, we have seen acceleration in the power demand growth with a year-on-year increase of a strong 11% even on a higher base of last year. The quarter also witnessed the record peak demand of 250 GW on 30th of May this year. In line with the power demand growth, the country's generation increased 11% year-on-year.

All India thermal PLF also have improved to 76.4% in the quarter as compared to 70% in the corresponding quarter last year. As the demand growth continues, I believe the impetus is more on capacity additions, delivering sustainable and reliable power.

Talking about the power capacity in the country, the total installed capacity has reached 446 GW. In this quarter, the net capacity addition stands at 4.2 GW post retirement of 200 MW of thermal capacity. This is compared to 5.8 GW of net capacity addition in Q1 FY24. Renewable energy capacity addition in the quarter has been 4.4 GW. Solar dominated this capacity addition of 3.7

It is expected that India will add 30 to 35 GW of RE capacity in the current year and is targeting approximately 15 GW of thermal capacity additions in the current year. With the nation aiming for annual RE bids of 50 GW, bidding activity has surged significantly as observed in the last fiscal.

Notably, the total installed capacity additions in FY24 reached 26 GW of which 18.5 GW was RE capacity as compared to the target 50 GW per annum. This indicates a substantial increase in growth opportunities. The Government of India has set a trajectory to increase renewable energy consumption via RPO obligation from current level of 22%, this is set to increase to 30% in FY25 and 43% by 2030.

The current share of RE in the grid is 13% of the total power generation in energy terms. Taking both into account, there is an i

creasing need of RE generation to be complemented with storage.

This is getting reflected as now we are seeing incremental bids for hybrid power and also the FDRE solutions.

Unlike plain vanilla RE regeneration, FDRE and hybrid projects offer a comprehensive solution tailored to the needs of DISCOMs or states. Therefore, we are witnessing 2 things in the biddings: one, the quantum of auction has increased and is higher than 50 GW per annum; and two, the urgent requirement of bespoke solutions. This we see as a huge opportunity for us. Now coming to the merchant markets, we have seen a strong demand growth. This is owing to hot weather conditions, which led to unprecedented increase in the country's energy consumption. Despite the surge in merchant volumes by approximately 17% year-on-year, the average merchant tariffs experienced a slight increase year-on-year, which indicates a strong demand environment. The day ahead market prices in quarter 1 of current fiscal stands at ₹5.27 as compared to ₹5.17 in last year quarter 1.

The coal prices witnessed year-on-year fall while strengthening on a sequential basis, if we talk of a particular index like API 4, it has stood at \$108 in quarter 1 of FY25 as compared to \$116 last fiscal, a decline of 7%. As we speak, API 4 coal prices currently are ruling at around \$105 per ton.

Now coming to JSW Energy's performance in the quarter gone by. We'd like to inform that we have added 291 MW of capacity in the quarter, which is entirely wind. Of this, 45 MW was through completion of an acquisition and balance 246 MW was new greenfield capacity, which is almost one third of the new wind capacity added by country in the in quarter 1 of current year. When coming to our net generation, the generation during the quarter increased by 18% year-on-year to 7.9 billion units, driven by a 44% increase in the renewable energy generation and a strong thermal performance. Notably, our hydro generation surged by 61% year-on-year, which is the highest generation for the quarter 1 in last 5 years. This is primarily due to improved hydrology.

For the country, the hydro generation was largely flat in quarter 1 of FY25. However, the hydro plants in the Sutlej river basin, where our Karcham Wangtoo and Baspa plants are located, have registered an average of 38% year-on-year increase in the generation. The wind generation grew

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by 40% year-on-year due to capacity additions and around 4 percentage points improvement in machine availability during this quarter.

Coming to thermal, the net generation increased by 4% year-on-year driven by higher generation at our Ratnagiri plant and also the contribution from our Utkal Unit-1 operations which performed well but were impacted by some teething issues during the quarter, which is a normal thing during the initial commissioning of the unit. But the unit has now stabilized from July onwards. For Unit-2 of Utkal, I am pleased to share that we have completed the steam blowing and the boiler light up activity. We expect synchronization of Unit-2 during the current quarter. To tell you more on our under construction projects, we are making good progress on our SECI wind projects set for completion in the current fiscal. Total under construction wind capacity is 1.7 GW. For the group captive projects, we have installed 103 MW in quarter 1 out of the total 737 MW capacity which is under progress.

At our Kutehr project site, there was a severe landslide in Apr-24 which washed away the access roads, which impacted project activity. Work has now resumed after restoration of road infrastructure and we have completed boxing of Unit 1 out of the 3 units, and all 3 units are

expected to be commissioned in the current year only. You can see the details of the under construction projects on Slide 11.

In the past 6 months, we have built a robust pipeline

of projects with a cumulative capacity of

5.7 GW. With this, our total locked-in capacity is 15.5 GW. I am pleased to announce that we have already signed PPAs for 2 GW of these projects.

Additionally, we have received necessary board approvals and are very close to signing PPAs of 1.3 GW of RE projects, including storage for our JSW Group companies for captive use. This is part of 6.2 GW of MOU, which we have signed with our group JSW Group last year towards the capacity additions in the next few years. With this total pipeline capacity with PPA will become 3.3GW. The projects where we have signed PPAs are expected to be commissioned within the next 18 to 24 months. You can see the details of the pipeline projects on Slide 12. As part of our company's energy products and service offerings, we are constructing Asia's largest battery energy storage system with 1 GWh capacity, which is tied up with SECI. PPA for 250 MW is signed and the other part should be signed very soon. As we have communicated earlier, this project is scheduled for commissioning before Jun-25.

Additionally, we are building a green hydrogen plant for producing green hydrogen for green steel making by our group company. Like we said earlier, it's a pilot project for us with a capacity of 3,800 tons per annum of green hydrogen and 30,000 tons per annum of green oxygen. This is the largest green hydrogen project in India, which is under construction. Construction of this project has commenced at our Vijayanagar site in Karnataka, and we will be commissioning this plant before Mar-25.

Moving to the financial performance of the company. During the quarter, we reported 80% year-on-year increase in profit after tax at ₹522 crores. This was on the back of a strong EBITDA growth of 21% year-on-year. We continue to maintain a healthy balance sheet and receivables.

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Our net debt-to-EBITDA, excluding CWIP debt stands at 2.2x. It remains well below our guided range of sustainable normalized net debt to EBITDA of 3.5x to 4.0x. We are making significant progress towards our target of achieving a 10 GW capacity by the end of current financial year and well on track to achieve 20 GW capacity well before 2030.

With our strong foundation and fundamentals, I am confident that JSW Energy is well positioned to excel in the coming quarters and take advantage of the immense opportunities which has now come up with a changed landscape.

Thank you. And now I will hand over to Mr. Pritesh Vinay, who will provide more details on our financial performance.

Pritesh Vinay: Thank you, Sharad. A very good evening to all of you, and thank you for joining us on the First Quarter Results Earnings Call. Sharad has already covered most of the things, but maybe I'll just take a few minutes. If you look at EBITDA, the EBITDA for the quarter stood at about ₹1,580 crores. This was up 21% Y-o-Y. If you look at slide eight of the presentation that gives the EBITDA bridge, but essentially, the thermal side, we gained ₹90 crores additional EBITDA Y-o-Y. This was largely due to the incremental contribution from Unit-1 of Ind-Barath.

And on the renewables side, the EBITDA grew by over ₹110 crores Y-o-Y. With the addition of new organic RE capacities as well as the incremental EBITDA generation from hydro due to better hydrology, the other income was also up Y-o-Y due to treasury gains and some LPS payments that we received during the quarter.

Balance sheet, Sharad has already touched about, continues to be very healthy. If you look at slide number 10 of the presentation, which gives a net debt bridge. So sequentially, quarter-on-quarter, if you see the net debt has come down by about ₹3,300 crores. And a large part of it, this has to do with the additional liquidity with the ₹5,000 crores QIP capital raise that we did in the month of April. So, we ended the quarter

with a cash balance of over ₹6,100 crores. The

ratios continue to be healthy. If you look at slide number 13, the headline leverage ratio on a net debt to TTM EBITDA is about 3.8x. But if you look at the sustainable normalized net debt to EBITDA by stripping off the debt which is sitting on capital work-in-progress. The underlying net debt to EBITDA stands at 2.2x, which is pretty healthy.

The weighted average cost of debt moved up marginally quarter-on-quarter, and at the end of June stood at 8.75%. Receivable trends continue to be very healthy. And at the end of June in terms of days sales outstanding, the overall receivables stood at a very healthy 65 days. And we've seen continuous improvement across each of our businesses across locations.

Now with that, maybe I'll just stop here and we can open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question

is from the line of Sumit Kishore from Axis Capital.

Sumit Kishore: My compliments on strong bottom -line performance as well as to build up in the pipeline. The first question is for the pipeline projects of 5.65 GW are the ones where PPA has not been -- I mean what is the general expectation by when do you expect to close PPA signing for these

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projects? And realistically, in FY27, what portion of this capacity would get commissioned?

That's my first question.

Sharad Mahendra: Okay. See, when like against the bids which we have won, we have signed PPAs for 2 GW and the rest all like the agencies who have conducted the bids are in touch with the buyers, different discoms, different states, which normally takes a due course of time. And very soon, we expect that these PPAs will get fructified and will be signed. Giving the exact time line may be a challenge, but we expect very soon these PPAs further will be signed. Normally, it takes anything between 30 to 70 days to complete this activity.

And by FY27, as I have said that whatever PPAs are signed, the completion from the PPA signing date is normally 18 to 24 months depending on when we sign the PPA based on that, those time lines, definitely will be met and the projects will be executed accordingly. This is over and above that. Whatever the captive requirements are there, keeping in mind whether it's solar or solar , the same time lines of 18 to 24 months, those capacities also will be added.

Sumit Kishore: And this would also include signing PPA with JSW Steel for the group captive capacity?

Sharad Mahendra: Yes, exactly. That will be over and above 2 GW, which is 1.3 GW, expected to be signed very soon.

Sumit Kishore: My second question is that with the battery prices evolving rapidly and we have seen stand -alone BESS GUVNL bid discovery. So how do you foresee the load following FDRE rates settling down in coming quarters? We have seen the SECI II FDRE bid that JSW had done a portion. Yesterday or day before, we saw that solar plus battery storage. Could you please give a comment on the direction.

Sharad Mahendra: See, exact number, that is -- definitely depends on what kind of requirement. As you said day before yesterday, was a different solution, which was there, which is a mix of solar plus and battery energy storage and taking care of only discharge during the evening peak, so it depends on how the project is designed, what is the requirement and how much of energy is to be met it depends so giving the exact tariff for anything. Like someone wants a 80% power, 80% in terms of energy terms will have a different product design.

But yes, as you have been seeing, it ranges from like day before yesterday with a single discharge in solar at about maybe 3.42 to whatever the tariff which has been discovered is a reasonable tariff. And just I would like to reiterate here for us, the tariff i

s our benchmark returns, whenever,

wherever we are getting and we are meeting our benchmark returns. That is where only the tariffs we accept and go for winning the bid, not just for the sake of winning the bid.

So we are very, very sure about what is our benchmark returns that we are getting or not. So tariffs, whatever being discovered and depending on what kind of product mix which is required in terms of the storage and solar or whether it is FDRE, which is solar , wind and storage. So , it depends on the product design rather than giving a one straight number, which is possible in the plain vanilla solar or plain vanilla wind, here, it depends on what is the product which is required.

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Sumit Kishore: Just one follow -up on this. Let us say that FDRE II rate of 5.59 or thereabouts, which was discovered in March, is the same going to happen today? Have battery prices come down from there also? Or has the equipment price corrected so that you discover a price which will be sub

■5 for the same tender 3, 4 months down the line?

Sharad Mahendra: Yes. Very good question. We are seeing the moderation in the battery prices, the cell prices. I think the safe solution, we feel that can be provided in the range of maybe anything between ■4.6 to ■4.8 also.

Pritesh Vinay: So, if I can also comment here, the challenge is kind of crystal balling something like this and a very important element that we have so far not touched upon is that a relative competitive intensity and what underlying returns is anybody trying to solve for. So , what is the effective project cost based on the negotiation capability that any individual developer can have? And what are the hurdle rates of returns that one is solving for?

So, when you do an overlay of this, then it becomes difficult to kind of extrapolate where do you think something like this can normalize because at different points of time in the market for

strategic reasons, different people could be driven by various motivations, right? So there could be somebody who's trying to have a tick in the box for multiple strategies for some other reasons. There could be somebody who's building a pipeline for a potential capital raise. So it becomes challenging in that way to extrapolate, right?

Sumit Kishore: Yes. Just last question. Presentation mentioned that in less than a year now we will have your 1 GWh BESS project as well as the green hydrogen project operational. Could you give some color on where you have ordered the battery, the electrolyzers, if something can be shared for better understanding and the project cost.

Sharad Mahendra: See Sumit, when we say that when we design this and whatever it is that our project cost and other things are secondary for us. Primary thing is to ensure that I'm getting my desired returns, which is a mid-teens. In this case, yes, with the moderation in the prices of the equipment, we are quite confident that it will be maybe high-teen returns, which we are going to get on these projects. So rather than what is the project cost, it is important that what the returns I'm getting and I'm absolutely confident that we will be getting the returns higher than what we expected when we planned these projects.

Moderator: The next question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Congratulations on a good set of numbers. My first question is just clarification. Are you running the Ratnagiri Unit-1 on a case-by-case basis. Is that right?

Pritesh Vinay: Yes, yes. That's right, Mohit.

Mohit Kumar: Second question is we understand the number of PPAs as reported by a few state DISCOM for the coal and power plants. Do you think that we're going to start/commence some work on a new power plant or you can tie up the Ind-Barath in long-term PPA?

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Sharad Mahendra:

See, Mohit, definitely, now states have again started looking for the PPAs. For Ind-Barath, today, the advantage with us being close to almost a pit-based plant and the sufficient coal availability, which is there. And overall, our fuel cost is very competitive and low. We see that right now, the opportunity in merchant market is significant, which may not be for a long term, but we see next 1 to 3 years till the time sufficient thermal capacities get added. And, the way we have demand growth is much more than what everyone has been anticipating, we see this as a good opportunity for us in near term.

So right now, we will be continuing in the merchant market. But yes, the landscape and what the Government of India also has announced to meet the growing demand the new capacity additions in thermal, which is in excess of 80 GW, which is required by 2032. As and when the opportunity comes and the state comes, we will be definitely looking towards this opportunity going forward also for adding further capacities in thermal space.

Mohit Kumar: Anything in near term or medium term, do you think the next 1 year, you can start a new power plant or commencement of new construction?

Sharad Mahendra: No, that will not be. It takes its own due course of time in setting up a new thermal power plant, that time definitely will be there, but that we will be going for any significant investment based on if we have the PPAs in hand.

Mohit Kumar: Understood. My last question, sir, what is the portfolio of RE. Where we are L1 and where the PPA and LoA has not been issued?

Pritesh Vinay: So Mohit, if you can check slide number 12 of the presentation that should help you.

Moderator: The next question is from the line of Anuj Upadhyay from Investec Capital.

Anuj Upadhyay: So my question belongs to the underperformance across the Vijayanagar station and also the low PLF across the Barmer, which still hangs around in the range of 66%, 67% out year. Can you throw some light on reasoning behind the same?

Pritesh Vinay: So Anuj, we also earlier tried to explain that if you look at Vijayanagar for the station out of 860 MW, we have only about 310-odd MW, which is tied under PPAs, right? So the balance is open for sale in the merchant markets, and that is an opportunistic trading that has to be done depending on where the dark spreads are, right?

And Vijayanagar plant because it is inland, the fuel cost as compared to Ratnagiri is going to be higher because of the inland transportation costs. So from time to time, based on unit economics, the team will go ahead and book for trades in the short-term market. And hence, you're always going to see variability in the PLF for the variability of the Vijayanagar station, right?

As far as the Barmer plant is concerned, in the first quarter, we had some planned outages, how some of the units, all of which have got completed. So if you look at the CEA data for the current one, for example, is running at a very high PLF. So the PLF for the first quarter is lower due to planned outages.

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Anuj Upadhyay: Okay. So there's a planned outages. So would there be any under recovery for Q1, which was booked for Barmer?

Pritesh Vinay : So the recovery or under recovery is actually is estimated on an annual basis. So yes, for the quarter, there's going to be a net recovery, but if we meet up the deemed PLF numbers during the course of the year, there will be makeup for that towards the back end of the year, that's how it is done.

Anuj Upadhyay: Fair enough. And lastly, on the Vijayanagar again, does -- I mean like initially, we had thought that project may operate under Section 11. But again, as you mentioned about it depends upon the unit economics and the opportunity. So Section 11 kind of a thing.

Sharad Mahendra: You're right. Section 11 was there till only, I think, end of Ma

y. So April and May there was

Section 11. But I think it's not on Section 11 anymore.

Moderator: The next question is from the line of Ketan Jain from Avendus Spark.

Ketan Jain: Sir, my first question is a follow-up on the Section 11 thing. So do you expect Section 11 to be extended by the government?

Sharad Mahendra: No. So the thing is that it is first and foremost very difficult to forecast or estimate government actions going forward because putting ourselves in the government shoes, I believe the underlying drivers for that decision are going to be the perceived demand supply gap, right? So while on the one hand, demand growth has been pretty strong, but we are off the peak season demand of summers and monsoons are in and you had additional sources of supply like hydro, the Wind season is about to kick in.

So I'd be surprised if anybody is estimating a demand-supply mismatch in the next couple of months. But who knows for the second half of the year post monsoon, you will say, October to March period, which is a peak demand period based on the estimated load curve and the supply from various sources at the right time, the government might take that call. But I think there is typically no head s up for these kind of situations.

Ketan Jain: Understood. My next question is what type of realizations and input costs are you seeing Ind - Barath and Vijayanagar plants?

Pritesh Vinay : So what will probably help you understand is that we will not be disclosing station by unit cost details, but it's also important to help you think about these things, right? So for example, let's take one by one, let's take Ind -Barath, because we don't have a PPA, so there is no FFA, so the only source of coal is through the auction route, right? Now it is either the spot e-auctions or through the shakti auction schemes under the Ministry of Power. And there we, from time to time, participate and we've guided in the past that we have looked at average cost of between ₹2.75 to ₹3.0 on an average for Ind -Barath.

On the imported coal-based stations we source everything from the seaborne market. So you'll see how the API 4 indices are moving and then you will be able to make a good estimate for both Ratnagiri . I also said in a response to an earlier question that Vijayanagar is inland, so

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there's an additional Indian transportation cost. So there will be a higher spread between Ratnagiri to Vijayanagar.

Ketan Jain: Understood. Just one last question, sir, on the merchant capacity. Sir, is the demand more in the merchant capacity in the non-solar or in solar? Like what type of PLF does say maybe Ind - Barath operate in a non-solar hour?

Sharad Mahendra: See, Ind -Barath I'd just like to tell that definitely, as we are seeing that the demand during the daytime is definitely very good, but it is due to a large availability of solar during the day time , the thermal power is not there. But in our case, if you see how we have moved is that we have tied up our capacities on an RTC basis with various DISCOMS in short term, maybe 3 months period, or 4 months period. So we are insulated from what is happening during the daytime at Ind-Barath, and we have tied up our power on an RTC basis for a 3-month period. That is how we have moved.

Moderator: The next question is from the line of Vishal Periwal from Antique Limited.

Vishal Periwal : Sir, on your project capacity addition, the slide number 12, which do give some brief on it. In terms of FY26 addition, is it fair to say the 2.6 GW PPA, which is already signed, that will at least see a commissioning?

Sharad Mahendra: Yes. all solar projects which are there, wherein the time lines are 18 to 24 months that I think within the time lines, we will be adding that, yes. But yes, as you have said, we are sure that this capacity addition will be there during that time period.

Vishal Periwal : Okay. Okay. And then in terms of our addition, I mean, from FY25 to FY30 I mean like in FY30, taking from 10 GW to 20 GW, is there any midterm target also for FY27 or FY28 for us as of now?

Sharad Mahendra: No. See, Vishal, as I told in my statement also, that we are confident that we are definitely about 1.5 years back when we said that 10 GW by FY25 which was the Phase I and 20 GW by FY30. But with the changed landscape and the opportunities which have come up and the amount of pipeline which we have in hand and now, we are confident that this 20 GW will be achieved significantly earlier than FY30, and we are evaluating that what will be the number. That is a work in progress with the opportunities and our returns what we have benchmarked are protected and the opportunities which are going to be there in the bidding space. So FY30, there will be a definitely different number. But the 20 GW will be happening significantly earlier, that I can at least maintain.

Vishal Periwal : Sure, sir. Sure, sure. And one last thing from my side. In terms of our capex, we did mention in the previous call, ₹15,000 odd crores we'll be doing it in FY25. Any number that we are targeting for FY26 or it's still open?

Pritesh Vinay : It's pretty premature now, Vishal, because one quarter of the new year has finished. And you are aware that there are more and more bids that are lined up for the remaining period. So I think for FY26, it will be a bit premature, maybe towards the end of this year will be the right time for this guidance falling in. Can we take the last question, please, Moderator?

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Moderator: The follow-up question is from the line of Ketan Jain from Aventus Spark.

Ketan Jain: Sir, my last question is, sir, are we taking or are we expected to face any transmission evacuation capacity problem in the under-construction wind projects?

Sharad Mahendra: No, under construction wind projects or all capacities in terms of transmission are tied up with all projects which are under construction.

Ketan Jain: Understood. And also are you seeing any transmission supply chain tightness in the substations or transformers?

Sharad Mahendra: No. See, definitely, everything has been lined up. Of course, with the kind of bidding environment with the increased quantum of bidding. Going forward, definitely, this is going to be one area, but we have already lined up knowing that what is going to be in FY25, FY26, FY27, we are already taking care of the entire supply chain, not only the transformers, but in terms of execution or any other aspects in terms of completing the project well in time.

Moderator: There are no further questions, I would now like to hand the conference over to the management for closing comments.

Sharad Mahendra: Okay. Thank you, everyone, for joining today's call. And as I have told you, I've covered most of the points. But yes, my IR team is there in case there are any other follow-up questions later or any other information required, we request you to kindly write to our IR team, we will definitely be responding on that. Thank you very much, once again.

Pritesh Vinay: Thank you very much.

Moderator: Thank you. On behalf of JSW Energy, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Feb 2025

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4th February , 2025
SEC / JSWEL

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Scrip Code: 533148 Scrip Code: JSWENERGY - EQ

Sub: Transcript of the Results Conference Call held on Tuesday , 28th January , 202 5

Ref: Regulation 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (Listing Regulations)

Dear Madam / Sir ,

With reference to the Results Conference Call held on Tuesday , 28th January, 2025 , to discuss the unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended 31st December, 2024, and pursuant to Regulation 46 of the Listing Regulations, we enclose herewith a transcript of the aforesaid conference call.

The same is simultaneously being made available on the website of the Company .

Yours faithfully,

For JSW Energy Limited

Monica Chopra
Company Secretary
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"JSW Energy Limited Q3 FY25 Earnings Conference
Call"
January 28 , 202 5

MANAGEMENT : MR. SHARAD MAHENDRA – JOINT MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER

MR. PRITESH VINAY – DIRECTOR , FINANCE AND
CHIEF FINANCIAL OFFICER

MR. BIKASH CHOWDHURY – HEAD, INVESTOR
RELATIONS AND STRATEGIC FINANCE

MODERATOR : MR. VISHAL PERIWAL – ANTIQUE STOCK BROKING

JSW Energy Limited
January 28, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the Post Result Q3 FY25 Earnings Conference Call of JSW Energy Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vishal Periwai from Antique Stock Broking. Thank you, and over to you, Mr. Periwai.

Vishal Periwai: Yes. Thanks, Sagar. Good evening all. First of all, apologies for the slight delay to start the call. On behalf of Antique Stock Broking, I welcome you all to the post-result earnings call of JSW Energy Limited. And from the company side, we have leadership team led by Mr. Sharad Mahendra, Joint MD & CEO ; Mr. Pritesh Vinay, Director Finance and CFO; and Mr. Bikash Chowdhury, who is Head of Investor Relations and Strategic Finance.

So as usual, we'll have brief from the management on the quarter gone by quarter, and then we'll have lines open for Q&A. Yes, Sharad, sir, over to you.

Sharad Mahendra: Yes. Thank you, Vishal. Good evening, ladies and gentlemen. Thank you for joining us today.

It is my pleasure to share with you all the developments and updates for the quarter gone by. The sector dynamics are evolving towards energy security, meeting rising base load and peaking load demand, and the adoption of low-cost energy storage solutions to integrate intermittent renewable power. This provides a blend of opportunities for developers like us having a presence across all modes of generation and will continue to provide affordable and sustainable power. Regarding the economy, RBI has estimated GDP growth of 6.6% in the current fiscal year and a projection of 6.9% in Q1 FY26, which is primarily driven by robust economic activity and expectations of higher government expenditure in coming quarters.

Before I delve into our quarterly performance, I would like to provide an overview of the current power sector landscape. The power demand for the country grew at 4.5% in the first 9 months of the current fiscal 2025. In the third quarter, we have seen a demand growth moderating at 2.7%, but we have to recall that this is on a higher base of 9.9% growth witnessed during the same quarter last year.

However, structurally, we continue to expect strong power demand in the medium term. The peak demand witnessed in this quarter is 224 GW in Dec'24 versus last year during the same quarter; the peak demand was 220 GW. Overall, for FY24, the previous year, we have seen a peak demand reaching 250 GW as compared to 243 GW in the current fiscal.

In line with power demand growth, the country's generation increased by 5.3% year -to-date in FY25 and 3.7% in Q3. All India thermal PLF stood at 66.7% in the quarter as compared to 66.9% in the corresponding quarter last year. The share of intermittent renewables in the total generation stands at 12.4% during the quarter.

Talking about the generation capacity, the total installed capacity in the country has reached 462 GW, and the country has added 20 GW so far in this current fiscal year. The total renewable

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capacity addition in 9 months in FY25 stands at 19 GW, dominated by 16 GW of solar installations.

Coming to the quarter, the net capacity addition stands at 9.3 GW, which compares with the 2.9 GW added last year in the same quarter. Capacity additions in the quarter were driven by a renewable capacity addition of 7.9 GW, dominated by solar capacity addition of 7.1 GW, while wind capacity addition was 800 MW during the quarter.

Moving on to the bidding activity. In the current fiscal year, the total

utility -scale auction of

approximately 38 GW capacity was bid, which is continuing the pace that we witnessed last year, and for Q3, the total auction that took place was 16 GW, 9 months was 38GW, and Q3 has seen 16 GW with a notable dominance of customised solutions of hybrid and FDRE projects.

Coming to the coal, as we speak, API 4 coal prices are currently ruling at \$100/t as compared to an average price of \$110/t in Q3 of FY25 and \$116 in Q3 of FY24. Within the domestic market, sufficient steps are taken to keep a robust domestic coal supply. We have seen a low e-auction premium for domestic coal procurement, especially in Orissa and Chhattisgarh.

Coming to the merchant markets, we have seen a strong volume growth; the quarter gone by witnessed approximately a 16% increase in total cleared volumes at the power exchange, while day-ahead volumes increased 14% YoY. The higher volumes due to higher firm power availability and better hydro generation have led to moderation in prices.

The day-ahead market prices have decreased 26% year-on-year to ₹ 3.71 per unit as compared to ₹ 5 per unit in Q3 of last year. The higher volumes across the exchanges led to lower realization in the merchant market, which impacted the dark spreads of our short-term sales. However, our short-term realization continues to be at a premium to the average exchange prices. Having said that, we remain confident in the strong power demand in the medium term.

Regarding the acquisitions. On 27th of Dec 2024, we announced the acquisition of O2 Power, a leading renewable energy platform with a capacity of 4,696 MW. This acquisition valued at ₹ 12,468 crores marks a significant milestone for JSW Energy. O2 Power's assets are spread across 7 resource-rich states with 2.3 GW of the capacity to be operational by June '25 and an additional 2.4 GW at various stages of development. This transaction will enhance our renewable energy portfolio and our footprint in this space. As guided earlier, the additional capex of 2.4 GW of under-construction and pipeline projects is expected to be between ₹ 13,000 crores and ₹ 14,000 crores. This platform also comes with a total connectivity, which we all are aware is a big challenge now in the country, of 900 MW of transmission capacity already in place over and above 4.7 GW of generation capacity, and an additional approval for 800 MW of connectivity is at various stages. So this gives us a very good space in accelerating our capacity addition going forward.

O2 Power assets are of high quality, having a blended tariff of ₹ 3.37 per unit with the majority of utility-scale projects tied up with high-quality off-takers like SECI, SJVN, and NTPC. Just to give a view of this total 4.7 GW at a blended tariff of ₹ 3.37, the solar component out of this

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total capacity is 64%, and wind capacity is 36% of the total 4.6 GW and this blended tariff, this capacity gives ₹ 3.37.

On 10th January 2025, we have also completed the acquisition of a 125 MW wind project from Hetero Labs and Hetero Drugs Ltd. at an enterprise valuation of approximately ₹ 630 crores. This portfolio has a blended tariff of ₹ 5.22 per unit and an average remaining plant life of 15 years. Accounting for this, our installed capacity as of today stands at 8,242 MW.

In another strategic move, we had bid for KSK Mahanadi Power Company under IBC proceedings, and we have now received a Letter of Intent for a 3,600 MW thermal power plant in Chhattisgarh near the coal belt. As the transaction gets completed, this asset, along with O2 Power, will start generating cash flows from day one. KSK Power is one of the largest thermal power plants changing hands under the IBC process.

The plant's strategic location, fuel supply agreement, and efficient operations will ensure a reliable power supply, further solidifying our leadership in the energy

sector. Currently, 95% of

the operational capacity of 1,800 MW of KSK Power is tied up with states of UPPCL and TANGEDCO, Tamil Nadu, in long- and medium-term PPAs.

Now talking about our progress towards 10 GW by FY2025, we have fully revived the JSW Energy Utkal Limited (formerly known as Ind-Barath Thermal Power Plant) by synchronising the second unit of 350 MW on the 15th of January and should receive COD for Unit 2 soon. We are on track to reach 10 GW of capacity by the end of FY25. In the quarter gone by, we have added 377 MW of capacity to our organic renewal projects, which is entirely wind and represents 47% of the country's wind capacity addition of 800 MW in the third quarter. We are currently constructing 1.1 GW of wind projects for SECI and Group Captive, and our Kutehr hydro plant of 240 MW capacity is progressing well for commissioning in the current fiscal FY25 only. Now to give the update on projects beyond the 10 GW, to reach 20 GW before FY2030, our total under-construction capacity stands at 7.8 GW with signed PPAs, which is beyond 10 GW, and we have 3.9 GW of capacity where we are expecting PPAs to be signed soon. In addition, we have 8.3 GW of capacity of transactions under acquisition, of which bolt-on capacity is approximately 4 GW. With all of the above, our locked-in generation capacity is now 28.3 GW. On our energy storage projects, our SECI BESS project of 1 GWh, where CERC has not allowed the tariff adoption, is currently on hold. To provide some background, the project bidding was conducted transparently and in accordance with the bidding guidelines of the Ministry of Power

on 25th August 2022, where JSW emerged as the L1 bidder in the e -Reverse auction. There were a total of 8 developers, and we were issued a Letter of Award in Jan 2023.

The fixed capacity discovered was INR 10.8 lac/MW/month, which includes the VGF, the viability gap funding, which was being provided for this project by the government. The project, being the first of its kind, was on a BOOT basis after 12 years with a residual battery capacity of not less than 75% of the project capacity. The developer, i.e., JSW Energy, had no guaranteed offtaker for 40%.

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As per the arrangement, SECI was to execute a Battery Energy Storage Purchase Agreement (BESPA) with the BESS developer identified through bidding and the Battery Energy Storage Sale Agreement (BESSA) with the end procurer on a back -to-back basis.

In March 2024, the company signed a battery energy storage purchase agreement for the first project of 250 MW/500 MWh out of the allotted 500 MW/1000 MWh. However, on 2nd January 2025, the current year, CERC, in its order, has not allowed tariff adoption, observing that the proposed tariff is not aligned with the prevailing market prices due to a delay by SECI in signing the Battery Energy Storage Purchase Agreement and the Battery Energy Storage Sale Agreement. We have appealed against the order in APTEL, and we are confident that this will be looked at because there are a lot of precedents in this area of such tariff adoptions, tariffs being adopted earlier. So we have appealed, and we are waiting for the outcome.

In storage, our PSP project that we won in October 2024, where we were constructing 12 GWh of PSP at Bhavali in the State of Maharashtra, which is tied up with MSEDCL. We have signed the PPA. We have 48 months starting on Oct 24 to complete the project. The energy storage facility agreement is for the supply of energy storage capacity for a period of 40 years, where the company will be entitled to receive a fixed capacity charge of 84.66 lakhs per MW per annum.

Coming to the operational performance of the quarter. Our net generation for the quarter rose by 10% YoY to 6.8 billion units, driven by an 18% YoY increase in renewable generation; this was driven by RE capacity additions and higher the

thermal generation. Total net generation from the tied-up portfolio was up by 7% year -on-year in the quarter, while short -term generation, including hydro, increased strongly by 28% YoY.

Coming to our thermal, the net generation increased 8% YoY, driven by the contribution of 571 MUs from JSW Energy Utkal Unit 1. Our long -term thermal generation was up 4% YoY, while our short -term generation increased 23% YoY. The average PLF of our thermal assets stands at 72% as compared to the country's average thermal PLF of 66.7% . Our renewable generation increase of 18% YoY was particularly driven by the addition of 928 MW of wind capacity in the last 12 months and a robust 14% YoY increase in hydro generation due to better hydrology. Thank you, friends. With this now, I will pass on to Pritesh to talk on the financial performance for the quarter. Thank you very much.

Pritesh Vinay: Thank you, Sharad. Very good evening to all the participants who have joined us for the third quarter and 9 months results conference call. Picking up a thread from what Sharad said, while the overall generation was up by 10 % YoY, the total revenue was largely flattish and the reason for this was that the incremental sales from the new RE capacity addition .

And Utkal Unit 1 were offset by both lower short -term realization at the Ratnagiri and Vijayanagar plant as well as a lower tariff at hydro plant because of the change in depreciation policy as per the CERC tariff regulations. The EBITDA for the quarter stood at ₹ 1,115 cr, which was down by 9% YoY.

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What has also happened during the quarter is that we have commissioned about 377 MW of incremental wind capacity , and this capacity has come in basically post peak generation season.

Moderator: Sorry to interrupt, sir, you're sounding a bit distant right now.

Pritesh Vinay: Yes. Is this better?

Moderator: Much better, sir. Please go ahead.

Pritesh Vinay: Yes, I was saying that we have commissioned 377 MW of wind capacity during the quarter, which has come in post peak generation season. Typically, it has come in a lean season and that too was not available for the entire 90 days of the quarter. So there's been additional capitalization due to new capacity commission, which has led to the finance cost and the depreciation going up. As a result, the profit before tax was down and the reported profit after

tax for the quarter stood at ₹ 168 cr, which is down by 27%.

If you look at the 9-month performance, the revenue was largely flattish, but the EBITDA also marginally grew flattish at about ₹ 4,600 cr, and the profit after tax for the 9-month period stood at ₹ 1,543 cr, which is up by about 12%. Talking about the balance sheet as the company continues to grow and invest additional amounts towards capex, the net debt at the end of December stood at about ₹ 26,500 cr with a cash-on-cash equivalents just shy of ₹ 5,000 cr. This is a sequential increase in net debt by about ₹ 1,575 cr. The leverage ratio continues to be healthy. We reported a Net Debt to TTM EBITDA of 4.5x. Because of the additional capitalization, what has happened is that the debt on the operating companies has now gone up by about ₹ 3,000 cr. And so excluding the capital work in progress, which was about ₹ 10,200 cr of net debt due to capital work in progress, the net debt on the operating company stood at ₹ 16,250 cr and this translated to a net debt to EBITDA of 2.8x. The weighted average interest cost inched up marginally due to the annual resets of some of the facilities and the increase in the MCLR by some of the lending institutions, but still stayed well below 8.9% at the end of the quarter. From a receivables profile, again, pretty much in control. We reported total receivables of ₹ 2,500 cr at the end of December. The days sales outstanding, including the amount not due stood at a

about 96 days. A large part of

the overdue at the end of December has been received in the month of January. That is a broad from a financial metrics point of view. I think I'll stop there. And operator, we can open the floor for Q&A, please.

Moderator: Thank you very much. We will now begin the Question-and-Answer session. Our first question comes from Mohit Kumar from ICICI Securities.

Mohit Kumar: My first question is how do you think about the leverage given the 2 large acquisitions and a very large pipeline of under construction assets?

Pritesh Vinay: So Mohit, good question. I'll repeat what we have consistently been maintaining for the last couple of years since we embarked on this growth journey that the strategic priority is to protect JSW Energy Limited
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the credit ratings and whatever growth opportunities we want to pursue, we would ensure that we are well within the guardrails from a credit metrics point of view to protect the credit ratings. Especially since you asked that in the question, I would like to reiterate and bring to everybody's attention that after what you're calling as 2 very large acquisitions, which I completely agree with, even after that, if you look at the flash put out by the credit rating agencies at the end of December. The rating agencies are comfortable maintaining our 'AA' with a stable outlook after digesting in these 2 large acquisitions because what is probably getting under-appreciated is that these 2 large acquisitions are also coming with large EBITDA. It is not just adding to the leverage, but it is also adding to the EBITDA.

So, from an overall ratio point of view, we would be comfortable. Of course, we've also rightly mentioned about the organic growth pipeline, and hence, if you recall about a year ago, same time, we were talking about acceleration of the growth because of a very conducive returns environment.

And hence, in order to prepare ourselves better, we had gone ahead and raised capital and equity capital raise at the start of the fiscal year. It was precisely with this intention to build a war chest and ensure that the balance sheet is healthy to protect the growth.

So, I just want to reiterate that, that yes, large acquisitions, but coming with strong EBITDA generation and cash flow generation profile, and we will give strategic priorities to protect the ratings.

Mohit Kumar: Understood. My second question is on the KSK Mahanadi like what is the plan here? Is there a plan to expand capacity by 1 unit or more than 1 units in the medium term? And what is the status of NCLT for the other SPV, I think the all the SPVs are under NCLT right, water and rail. Can you please help us with that?

Sharad Mahendra: See, this process is already on. As you rightly said, the other 2 SPVs also are in NCLT, and processes are at advanced stages. So, all those things have been accounted when we have gone for this. Regarding KSK Power, we would like to say that this is already at NCLT and the hearings are likely to take place soon, and we expect a faster earlier decision on this.

Regarding the capacities, the balanced capacities, what we are talking, we'll just like to highlight that the operational capacity which is 50% of the total, which is 1.8 GW is fully operational tied up. Balance capacity, we have to recall that, I've earlier also said that most of the balance of plant is complete, whether it is power evacuation, whether it is water into the pipeline or running the plant, everything is ready for entire 3.6 GW plant capacity.

And also, for the balanced 1.8 GW expansion, significant part in one of the units has already been done and other 2 also part work has been done. So, we are quite confident the one positive,

which is there is that the balanced capacity increase to take it to entire 3.6 GW operational, it will be significantly lower than the benchmark cos

t of setting up a new greenfield capacity. So

that is there and that we will be planning as and when the IBC process gets complete d.

Moderator: The next question comes from Rajesh Majumdar from B&K Securities.

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Rajesh Majumdar : Sir, my question was first question was on recent CERC order, which actually does not pay for the infirm power, this is dated Jan 23rd and this actually does not pay for the infirm power between the time of commissioning of a plant and the commercial generation. Since Ind -Barath 2 has just been commissioned, as well as we have so much of thermal capacity additions coming in KSK Mahanadi, including capacity additions.

What is the kind of impact that you envisage on this? And b, do you think it can change?

Sharad Mahendra: See, yes, this new regulation which has come, it is not going to have any significant impact because we have to see what it says that there is a ramp -up of the unit , and whenever we are working on the project, the entire process that has in case of Ind -Barath, there has been a very good learning while ramping up to full capacity, the first unit. And we are in a position to ramp this unit to full capacity and demonstrate for 72 hours.

So, it will not take significantly long time, and we are confident that we will be reaching this capacity at a much earlier time lines keeping in mind the learnings from Unit 1. So it is not going to have any significant impact. And whatever we capitalize in terms of before we do the COD, everything is well within the budgeted numbers, what we have planned and budgeted for this commissioning and up to COD , so this is well in control. And in the same process, we will be following whenever we go for the COD commissioning and COD. So if it is a very large time line to stabilize the unit and reach the full capacity to demonstrate, I don't see that any significant challenge in that. We have done the evaluation ourselves.

Rajesh Majumdar : So what about the project in the NCLT, KSK Mahanadi? Do you think that, that will be a problem in the new 1,800 MW that you envisaged because those will take much longer in terms of between the date of commissioning and the COD?

Sharad Mahendra: No, the balance 1.8 GW, what you are talking?

Rajesh Majumdar : Yes, that's right.

Pritesh Vinay: No, no, Rajesh, see the first priority is to get the assets in our fold, right? I mean, I would request not to put the cart before the horse because first, we need to be in saddle , own the asset, and then we'll have to assess potential expansion optionality's , offtake optionality , techno -economics a whole host of work before we'll be in a position to press the button on the expansion post acquisition, right? So I think it will be a bit pre -mature to comment on that, ye ah?

Rajesh Majumdar : No, appreciate it. My second question is, sir, on the O2 Power and KSK Mahanadi. Could you give us some color on the EBITDA that we can generate at, say, 1,800 MW of KSK and the full O2 Power capacity say, FY27 or something, what can be the additional EBITDA from these 2 acquisitions?

Pritesh Vinay : No, Rajesh. I don't think at this stage because it is

Rajesh Majumdar : Some color on that may be.

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Pritesh Vinay : KSK, historical number is available last financial year in fiscal 2024, they had done an EBITDA of INR2,600 crores. So that is, in a way, public domain information. So happy to share that because there's no breach of NDA obligations on that one. O2 Power we kind of have guided a steady -state EBITDA. When we go to a 2.3 GW operational capacity, which is expected, say, in the middle of this year. Then on an annualized run rate basis, that portfolio will generate about ■ 1,500 crores of EBITDA. There's a particular slide we had put in the deck that was uploaded at the time of the O2

acquisition. So you will get that at the 2.3 GW, a steady -state run rate is about ■ 1,500 crores, where it goes to the 4.7 GW, the expected steady -state EBITDA run rate is about ■ 3,750 crores. So, beyond that, we'll not be able to add anything else.

Rajesh Majumdar : Right. And one small booking question. What was the merchant tariff in Q3?

Pritesh Vinay: So, merchant tariffs, we do not share, but you will be able to derive, let me help you how to do that. In the total generation in the appendixes, you will see total and long -term differentiation, the gap is a short -term volume. There is an EBITDA bridge where we are talking about the EBITDA impact due to that. You know what the coal price indices, how they have moved. So

you will be able to gross it up, yes?

Moderator: The next question comes from Sumit Kishore from Axis Capital.

Sumit Kishore: My first question is of the 7.8 GW over and above the 10 GW target for FY '25 that you have PPAs for? How are you placed in terms of the transmission evacuation and land for these projects?

Sharad Mahendra: Yes. Sumit, a very relevant point because everyone is questioning about the connectivity and land, which the industry is facing challenge, but we acted upon and majority of the capacity, the PPAs which we are trying, we are fully ready, whether it is land or connectivity. And to overcome the connectivity issue, the significant portion of this total 7.8 GW is within the state for the same state through the STU connectivity, which is available in most of the states. So that was the step which we had started acting about 9 months a year back. So that is the reason our readiness we are absolutely certain that the 7.8 GW of the PPA signed, these projects will be completed within the time frame as per the PPA terms and connectivity and land will not be a challenge in both the cases.

Sumit Kishore: So, most of these projects will not require CTU?

Sharad Mahendra: Majority, wherever the CTUs capacities are there, we have where it is available. But this 7.8 GW is entirely locked-in, in terms of connectivity and also the land. So there is no challenge in terms of land and connectivity for the 7.8 GW of projects to be completed within the time frame as per the PPAs.

Sumit Kishore: My second question is more at an industry level. What are the emerging trends you are seeing in wind and solar sizing for FDRE projects with the evolving battery economics? How is it changing the sizing for wind and solar in FDRE projects?

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Sharad Mahendra: Again, a very I will say a very good question in terms of when we say FDRE till now, what we have seen in the last 6 months a small change which we are seeing, it is more of a better planning for the project to provide the right solution to the end buyer as per their requirements in FDRE that we were seeing in majority of the cases earlier, which was happening for a hybrid wind and solar maybe combined with the storage at normally single location, which was restricting the solutions.

Now, in fact, we also in the C&I space have signed wherein to optimize and take out the best of the generation and the lowest cost per unit of investment, that wind is in one state connected with CTU and solar is in a different state along with battery if required or if it's a hybrid and providing the solution to the same customer. So, this is one case which we have seen from co-located to diversified hybrid solutions, along with the storage is one we are seeing.

Another thing which has been witnessed in the last 6 to 8 months, if you have monitored the kind of bids which are coming are with so much of solar capacity additions and whatever capacity addition country has seen about 20 GW in maybe first 9 months, 16 GW is solar. The solution, despite a moderate growth of 4.5% during the evening peak hours or early morning

peak hours, the demand supply situation is going to be even more challenging. The demand will keep on growing. So with this, the solution of solar plus battery energy storage projects are coming up now, which has a two-pronged advantage. One is that solar during the day times and charging the battery and releasing during the evening peak hours when the demand is more. And second is better utilization of the country's grid infrastructure because solar project blocks the capacity for 24 hours and only uses for 8 hours.

So, this is a better utilization of countries assets and a solution for the peaking. So, these are certain changes that we see. The states are now working very seriously towards the solution for peak hour requirements, which after 5 years from now the gap is going to be significant if there is a continuous 5% -6% demand growth for that pump storage for a longer storage solution is again now taking due importance and preference. And states are coming up with their bids for pump storage also. So these are significant changes which we have noticed in last 6 months.

Sumit Kishore: My final question on your energy storage projects, particularly on stand-alone BESS, SECI XV and Group Captive. So, has there been any slowdown after the CERC order in your efforts to commission your SECI stand-alone project because it has had a merchant component? And how are the others progressing in terms of commissioning, and if you could give us some color on what kind of pricing you would have for capex for the battery capacity that you create?

Sharad Mahendra: See, one is that there is no slowdown. A lot of bids are coming, people are participating and Battery Energy Storage System for a short duration is the best solution right now, which is required fast. So for this one there is no slowdown. Apart from that, as I have told in my opening remarks that this now case where the decision has been challenged.

So, I don't think, we have to remember that when anyone evaluates and compares that what was the price discovered during that time, during that project, and why even now tariff adoption has not been done and this is challenged by us when compared to the tariff discovery today. It

apparently looks very high, but we have seen two significant differences in that project as compared to the current projects which are coming in which also have a good viability that this was with a viability gap funding of more than maybe 40% -45% in terms of the tariff discovered which we have got. And apart from that, this is a BOOT model in which after 12 years the asset gets transferred.

Now the bids which are coming are not on the BOOT model in most of the cases. So it is not a like-to-like comparison from what the today's project cost is and what is the core tariff discovery. So, this is what we would like to say in terms of the capex and all these are very dynamic numbers. The tariffs which are being discovered are based on -- what is the design, what is the storage, what is the loading, all this is dynamic.

Sumit Kishore: So, you had mentioned on the previous call that 1 GWh BESS will get commissioned by June 25, so just wanted to check whether that plan would still be on track?

Sharad Mahendra: Because of this development, it may take maybe a few -- depending on how fast the decision comes it may take maybe a few months here or there, that is all. We will be in a better position once this legal matter gets closed.

Sumit Kishore: Because the capacity can be fungible across your other

Sharad Mahendra: Absolutely, absolutely, absolutely. These are all containerized solutions, and it is not at all possible. We have enough of order book within the Group Captive and other locations to use the same assets. So that is not at all a challenge.

Moderator: The next question comes from the

line of Nikhil Abhyankar from UTI Mutual Funds.

Nikhil Abhyankar: Sir, my first question is regarding the Mytrah generation, have you seen a dip in Q3? And was it related to machine availability or due to lower wind.

Sharad Mahendra: See, there is a slight dip in Mytrah generation, which is basically because of the wind speeds which were slightly lower than what was expected, but that is very temporary and short term. We don't see any lasting impact of that, but machine availability wise, there was no challenge, the machine availability continues to remain at almost close to 98% to 99%. So machine availability is there. It is only the wind, which is the 97% to 98% availability remains there.

Nikhil Abhyankar: Okay. And sir, after we announced our O2 Power acquisition, I think they won a SECI bid for FDRE VI for 200 MW into 4 hours and the tariff disclosure is almost 8.5. That project will also be transferred to us?

Sharad Mahendra: Once this happens, yes, definitely. It is part of the platform. So, 4.7 then will become 4.9 plus GW.

Nikhil Abhyankar: Okay. And sir, just a final question on the capex. How much was done till 9 months? And what do you expect the capex to be in FY26?

Pritesh Vinay: So, Nikhil, for the first 9 months, the total capex that has been spent is about ₹ 6,200 cr. And we are expecting to end the full year with close to ₹ 10,000 cr. If you recall, earlier, we had said we

were expecting a ₹ 15,000 cr total capex for the year. But of course, the current batch of projects that we are planning to complete are getting completed. And we had anticipated a higher amount of investment in the organic future projects.

But looking at the constraints that Sharad was earlier talking about from and some of you have also raised questions about, which is a reality in the sector from connectivity, etcetera point of view. What we have done instead, as you would have seen by our strategic actions in the quarter is to press the pedal on the inorganic side, right? The idea is to continue to deliver growth at a certain CAGR. So, because organic is kind of seeming to be a bit challenging to scale up after considering everything, we have gone ahead and press the pedal on the inorganic route. And this also gives time for us from a better planning and taking the long lead time actions well in advance to maintain the organic growth trajectory going forward.

Nikhil Abhyankar: Understood. So, do we expect any kind of delays in renewable capacity additions for our 28 GW of locked-in capacity because of the transmission constraints?

Pritesh Vinay: So, it's the other way around, right? What we have actually publicly stated is we were aiming to be a 20 GW generation company by 2030. We had shared this in May 2023 with the market. Now you can see in front of you, that we are already just shy of 30 GW platform and hopefully, we should be able to deliver all of this well before 2030. So clearly, there's an acceleration of growth.

And there will have to be calibration. They will have to be because it is a block and tackle project

by project, location by location. We are actually not quantified anything beyond 10 GW on an annual basis. But if I were to just do a broad map assuming that at least by June quarter, if we are able to consummate both KSK and O2 Power plus our own hitting the 10 GW mark, we will be a 14 GW operating platform by Jun 25, right, which is few months from now. So and then we'll take it from there. When we come back with the annual fiscal year results, we would have gone through the business planning exercise for the next year, and we will be in a better position to give you an organic capacity accretion target for fiscal '26. Moderator: Next question comes from Saket Yadav from India Capital. Saket Yadav: So, I have a couple of questions on KSK Mahanadi. We unde

rstand that there are lenders who still own 26% of the stake. So, I just wanted to understand that the bid you have placed is for the 100% stake? Or will that 26% still remain with the lenders? Pritesh Vinay: No, no. 26% will stay with the lenders, but there is a put option with the lenders, which will get active after 1 year and within 1 to 5 years, they have a right to exercise that put. And obviously, no lender has a strategic intent to remain a minority equity investor in a non-core business. So, their idea is to maximize their recovery and recoup all the losses of the past. So, there is a plan. The first step is to get through the regulatory adjudication process of getting the asset in control, and then we will get into discussions with the lenders on the balance 26% stake. JSW Energy Limited
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Saket Yadav: All right. Understood. And my next question is again on KSK Mahanadi. I wanted to understand that I write it somewhere that there are some ₹ 3,000 cr to ₹ 4,000 cr held with one of the units of KSK Mahanadi. I wanted to know that, will that be absorbed by the company? Or will it be distributed to the lender? Pritesh Vinay: No, no, no. See, the terms of the RFP when the IBC process commenced, was that whatever was the cash accrued, receivables, EBITDA generation, etcetera all of that belongs to the lender. So any resolution applicant to put in their plans for consideration by the CoC took that into consideration, right, that you are only bothered as an applicant with how much of money you're offering to both the financial creditors and the operational creditors. There was a specific scoring mechanism and hence, as an objective, of winning strategy, your idea is to maximize the score and work with that. So, whenever the plan gets adjudicated until then or whenever the plan gets implemented or consummated, till then whatever accrues will go to the lenders. So, there should be no surprise on that front. Saket Yadav: Understood. Congratulations on the acquisition. Moderator: The next question comes from Swati Jhunjhunwala from JM Financial PMS. Swati Jhunjhunwala: Sir, first question is on the green hydrogen. So, we expected to commission it soon. Any idea you can give on the revenue and EBITDA that we can generate from this? Pritesh Vinay: No, Swati, not at this stage, please. We'll complete it and as we have said at the stage of announcing this pilot project is that the modality that has been worked on is that we will get a 15% equity IRR on this project, which is to be amortized completely over a period of 7 years. So that's how the economics is going to work. So once the project gets completed, the project cost is frozen, basis that on a normative debt equity and underlying equity IRR. And that is how the tariff is going to be worked out. When you look at our total balance sheet, even if that number materially changes, I'm sorry to say that's going to be a rounding error, right? It's a very small project. So, it is not going to materially move the needle either way. Swati Jhunjhunwala: Got it. Second is on the commissioning. So right now, we are close to 8.1 GW and another 7.8 under construction. Now if by June, we are commissioning another 1.8, making it 10 GW plus the 4 of the acquisition. The balance is under construction, if you could give even a broad split between FY '26 and '27, that would be great. Pritesh Vinay: I just said a few minutes ago in response to another question that when we come back in the month of May with the annual results, having gone through an annual business planning exercise, we will be able to give an FY26 capacity addition guidance and then the balance will be basic arithmetic for you. Moderator: The next question comes from Samarth Khandelwal from ICICI Securities. Samarth Khandelwal: Yes. Firstly, congratulations on the KSK Mahanadi acquisition.

Secondly sir, my question is on the battery energy storage system front. If I am supposed to how do I read a 250 MW by 500 JSW Energy Limited
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MWh battery project? In terms of how much time would it take for the solar project to charge that amount of battery, how much time would we be able to supply and how much units would it be able to supply to the customer? What would be the battery life? How much would be the capex per MW basis, if you could help.

Sharad Mahendra: See, we have to understand that if we are talking of 250 MW of battery energy storage capacity with the 2-hour discharge means 250×2 , which is 500 MWh. When we convert it into energy and assuming that we are charging it with solar, it's a solar plus or any kind of input energy. We have to assume that whatever this 500 MWh discharge is there. Maybe there is an efficiency loss when the input energy and the output energy depending on the battery design, how you design, how efficiently maybe 15%, 18%, 20%, whatever incremental energy for charging, which is required. So out of 100 maybe 120 is the input or 115 or maybe the output will be 100, that is the ballpark.

In terms of battery life, battery life, there is as per the PPA term, the project is designed in such a way that the minimum availability of the battery is always there. So normally you can use the word repowering of the battery, maybe once in 4 to 5 years, which is part of the capex depending on the requirement is done to maintain the output.

The benchmark is for most of the storage bid, which has come is for 12 years. After 12 years, battery life of at least 70% is available even if we are not doing the repowering, and you are allowing the normal battery decay, then also after 12 years, the 70% of the battery life is still there in energy terms.

Capex number, as I told you, depends on a lot of factors. Straightaway giving a capex number is a challenge because there are lot many factors which are variable in terms of whether related to connectivity, land and everything. So, this is the next thing you can say that 70% of the battery life is there after 12 years.

Samarth Khandelwal: So, we would be using lithium type of or sodium type of battery? And secondly, we would be charging the customer based on the number of units supplied or how much the solar generates to charge that amount of battery?

Sharad Mahendra: See, again, it depends on the bid design. Mostly, if it is a storage project alone it is not a unit, it is a rental model or lease model per MW per month, if it is 250 MW for 2 hours, then the bid normally asked for that it is 250 MW capacity per MW per month is the rental which is assured, only thing is that the plant availability is to be ensured as per the terms.

If it is a battery, there are some cases in which in energy terms also some bids are there, wherein combined with solar and evening discharge of 2 hours of battery and the number of units of what minimum is required during evening then it is per unit bids. So, it is depends on the bid terms, for us it is either rental model.

Pritesh Vinay: And Samarth to answer your other part of your question, I mean, so far, we are not aware of sodium batteries being used for commercial large-scale operations. So, I mean our limited understanding is that it's only lithium-ion batteries. Operator, can we make that the last question, JSW Energy Limited

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please. Or maybe we can take one more question, because Sharad and I have to rush into something else.

Moderator: Sure.

Pritesh Vinay: Let's take one last question, please.

Moderator: Sure. We'll take one last question from the line of Ritwik Sheth from One Up.

Ritwik Sheth: My question is a clarification, earlier you mentioned in the call the O2 Power acquisition, the 2.4 GW, which is under development,

will require a capex of ₹ 13,000 crores. Did I hear it right?

Pritesh Vinay: Yes. So, you're right, Ritwik. And you don't have to rely on hearing or our speaking skills. My request is if you can go to our website or look at the stock exchange filings, there was a presentation that was made at the time of O2 Power acquisition in the last week of December. And there are two tables on 1 particular slide where you will get all the numbers linked to that, yes. There's a ₹ 13,000 crores to ₹ 14,000 crores expected capex. That was a balance of 2.4 GW.

Ritwik Sheth: Got it. Got it. And just on the KSK acquisition, what would be the pending capex which will be required to do to operationalize the balance 1.8 GW?

Sharad Mahendra: See, as I said earlier also that we will be coming out with the numbers when the process gets completed. But while doing the due diligence, as I said earlier in my opening remarks also, that the total plant capacity was fully operational is 3.6 GW and 50% is operational. But balance of the plant, most of the balance of the plant is ready for entire 3,600 MW, whether it is the transmission evacuation line or whether it is the water pipeline. And even there are 3 more units which have become one of the units more than 40% of the work is complete, Balance of other 2 units also part work is complete. So it will be at a significantly lower cost per MW capex at

which the plant will be fully operational then the benchmark greenfield cost for 1.8 GW. So this is what we can say, giving the exact numbers, maybe at the right time, we will come back.

Moderator: Ladies and gentlemen, I now hand the conference over to the management for closing comments.

Sharad Mahendra: Thank you, everyone. Thanks for being with us during this Q3 , and as I have said in my opening remarks, we see the things to be better in the coming year with what we see, expect and we are reading that maybe more of government spend and also the private investment likely to increase now, which will basically have a positive impact on the power sector. Thank you very much for being with us.

Pritesh Vinay: And in case if there are any follow-ups, please feel free to get in touch with our IR team. Thank you very much.

Moderator: Thank you. On behalf of Antique Stock Broking , that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

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Scrip Code: 533148 Scrip Code: JSWENERGY- EQ

Sub: Transcript of the Results Conference Call held on Thursday, 15th May, 2025

Ref: Regulation 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (Listing Regulations)

Dear Madam / Sir,

With reference to the Results Conference Call held on Thursday, 15th May, 2025, to discuss the audited Standalone and Consolidated Financial Results of the Company for the quarter and year ended 31st March, 2025, and pursuant to Regulation 46 of the Listing Regulations, we enclose herewith a transcript of the aforesaid conference call.

The same is simultaneously being made available on the website of the Company.

Yours faithfully,

For JSW Energy Limited

Monica Chopra
Company Secretary

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"JSW Energy Limited 4Q FY '25 Post -Result Earnings
Conference Call Hosted By B&K Securities "

May 15, 2025

MANAGEMENT : MR. SHARAD MAHENDRA - JOINT MANAGING
DIRECTOR & CHIEF EXECUTIVE OFFICER , JSW
ENERGY LIMITED
MR. PRITESH VINAY - DIRECTOR (FINANCE) & CHIEF
FINANCIAL OFFICER , JSW ENERGY LIMITED
MR. BIKAS H CHOWDHURY - HEAD (INVESTOR
RELATIONS & STRATEGIC FINANCE), JSW ENERGY
LIMITED
MODERATOR : MR. RAJESH MAJUMDAR - B&K SECURITIES

JSW Energy Limited
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Moderator : Ladies and gentlemen, good day and welcome to the JSW Energy Limited 4Q FY '25 Post -Result Earnings Conference Call hosted by B &K Securities.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rajesh Majumdar from B &K Securities. Thank you and over to you, sir.

Rajesh Majumdar: Hi. Good evening, everyone. And once again, welcome to all of you. We are proud to hold the conference call of JSW Energy Limited Q4 FY '25 and Full Year FY '25 Earnings today.

We have today the Management Team represented by Mr. Sharad Mahendra – Joint Managing Director & CEO, Mr. Pritesh Vinay – Director (Finance) & CFO and Mr. Bikash Chowdhury – Head , Investor Relations & Strategic Finance.

So without much ado, I shall now request Sharad sir to start with his opening comments. Thank you, sir.

Sharad Mahendra: Thank you Rajesh , And good evening, Good evening and thank you all for joining us today. It is my pleasure to share the highlights of our performance for the quarter and the year gone by.

FY2025 has been a landmark year for JSW Energy —one marked by strong execution, strategic growth, and sector -leading achievements. I am proud to share that we recorded the highest annual wind capacity addition by any renewable energy company in India this year. During the year, we crossed the significant milestone of 10 GW set under Strategy 2.0 and as I speak today, JSW Energy is a 12.2 GW company, reflecting the momentum we have built across both organic and inorganic expansion. In FY2025 alone, we have added 3.6 GW of capacity strengthening the diversity and scale of our portfolio. This has resulted in company reporting the highest ever annual EBITDA of ■ 6,115 Crore and Record highest PAT of ■ 1,951 Crore.

Before we delve into our performance, I'd like to share some sector highlights. The dynamics are shifting towards enhancing energy security, addressing the increasing baseload and peak load management.

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FY2025 has marked an emerging trend in India's power sector dynamics, with several state distribution companies increasingly turning to competitive bidding for thermal power procurement. This trend reflects the growing urgency among states to secure firm power and complement the intermittent renewable generation. Thermal power, particularly from domestic coal-based sources, is regaining strategic importance. Having said this, We are happy to inform, JSW Energy has also secured a 1,600 MW ultra -supercritical plant in West Bengal which is fully tied up with WBSEDCL.

Coming to capacity additions, India's total installed capacity has reached 472 GW, and the country has added 33 GW in fiscal year 2025. Notably, renewable energy led the growth, accounting for a record 29 GW of the total additions. This surge was primarily driven by solar power, which contributed 24 GW, followed by 4.2 GW of wind capacity.

The power demand for the country grew 4.2% in fiscal year 2025. In the fourth quarter we saw a demand growth of 3.2% year on year on a high base of 7.4% growth seen last year in the same quarter. Structurally we continue to expect strong power demand in the medium term. The peak demand witnessed in the quarter is 238 GW in Feb '25 and 250 GW in FY25.

The merchant market remained resilient during the year averaging around ■ 4.5 /unit on exchanges on the back of soft coal prices. We have seen merchant tariff firming up in Q4FY25

as compared to Q3FY25. In Q1FY26 we are seeing merchant tariff further increased to ₹ 4.76/unit.

For the quarter gone by prices were stable year on year at \$95/t. Currently API 4 coal prices are around \$89/t while within the domestic coal market, sufficient steps are taken to keep a robust coal supply.

Coming to company performance, we have added total 3.6 GW of operational capacity during fiscal year 2025. This comprises 1.7 GW of organic capacity that affirms our capabilities to execute large -scale projects efficiently. Our organic wind capacity addition stands at 1.3 GW representing one third of the nation's total wind capacity additions in FY2025. These greenfield wind capacity additions include the completion of SECI X wind project of 454 MW. Our remaining first batch of under -construction wind projects are nearing completion. The quarter

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gone by also saw commissioning of unit 2 , 350 MW of Utkal thermal power plant which has stabilised and running smoothly.

Complementing our organic growth, we have strategically expanded our footprint through consummation of two important transactions, KSK Mahanadi Power a 3,600 MW on 6th march 2025 asset and O2 Power a 4.7 GW platform on 9th April 2025.

KSK Mahanadi is 3,600 MW plant and is the largest thermal asset acquired via NCLT proceedings for a total resolution amount of ₹ 16,084 crore. Currently 1,800 MW is operational which is 95% tied up under PPAs and has fuel supply agreements. In FY2025 the plant reported full year reported EBITDA of ₹ 2,895 crore on a PLF of 67.4% while the underlying EBITDA stands at ₹ 2,382 Crore. We have improved PLF to 79% from FY25 average of 67% post completion of the transaction that is within 25 days of our operations in the month of March.

The deemed PLF stands at 99% during this period. We are currently integrating operations with JSW Energy and implementing comprehensive plan to bring cost efficiencies.

In another large transaction we acquired O2 Power a 4.7 GW RE platform. The total consideration paid for O2 Power is ₹ 12,468 crore. The current installed capacity of O2 is 1.3 GW and we expect it to scale to 4.7 GW by June 2027 by undertaking capital expenditure of ₹ 13,000 - ₹ 14,000 crore.

Turning to our under -construction portfolio, JSW Energy is currently constructing 11.3 GW of generation projects, all of which are fully tied up under long -term Power Purchase Agreements. The under -construction portfolio includes 9.7 GW of renewable energy projects and 1.6 GW Salboni ultra -supercritical thermal power project which marks our investment in greenfield thermal after more than a decade. Beyond this we have a robust project pipeline of approximately 4.9 GW of projects where Letters of Intent or Letters of Award have been secured and PPAs are yet to be signed.

In this quarter we have reduced our untied capacity, as Vijayanagar thermal plant is now fully tied up. This development not only ensures stable and predictable cash flows, but it also marks a fundamental shift in the composition of our open capacity.

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With Vijayanagar fully tied up, our open capacity now stands at approximately 976 MW of which large part of 790 MW is based on domestic coal which is 91% of the total coal capacity used for merchant. This transformation signifies a decisive move towards a more resilient, domestic coal -based open capacity, reducing exposure to global coal price volatility. Therefore, the breakeven price for our open thermal capacity also reduces with the higher use of domestic coal.

Coming to energy storage we recognize the critical role it plays in integrating renewable energy, we have expanded our locked in energy storage capacity to 28.3 GWh. Notably, the Bhavali in Maharashtra, the 12 GWh hydro pumped storage project which is tied up with MSEDCL is currently under implementation. In addition, recently in Q1FY26 we have signed PPA with UPPCL for another 12GWh of PSP project to

be delivered in next 6 years. Regarding our SECI

500 MW/1 GWh Battery Energy Storage System we have appealed in APTEL and awaiting the outcome.

Coming to operational performance for the quarter, Our net generation for the quarter rose by 24% year -on-year, to 7.9 billion units, driven by 32% year -on-year increase in renewable generation on the back of capacity additions. Total net generation from the tied -up portfolio was up 28% year on year in the quarter, while short -term generation increased modestly. Our thermal portfolio witnessed a healthy PLFs of 77% in the quarter and 71% for the full year.

A significant portion of JSW Energy's wind capacity was commissioned during the second half of the fiscal year. As is widely recognized, wind generation in India typically peaks during the first half —particularly from May to September —while the second half tends to experience lower wind speeds and, consequently, lower generation. Therefore, we are well placed ahead of the coming wind season and anticipate a normalization of generation output.

Coming to outlook, We're proud to announce that we've surpassed our 10 GW capacity target set under Strategy 2.0 — a major milestone in our growth journey. Building on this momentum,, I am happy to announce and we're launching Strategy 3.0, our new roadmap to achieve 30 GW of generation capacity and 40 GWh of energy storage by 2030.

This strategic vision of "30 by 30" underscores our commitment to powering India's energy security with scale, speed, and sustainability.

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By FY30, we expect our EBITDA on a run -rate basis to grow 2.7x –3.0x over FY25 proforma EBITDA levels. To support this, we plan to invest ₹1,30,000 crore in capital expenditure between FY26 and FY30.

With 11.3 MW under construction projects and a robust pipeline, our locked -in capacity now stands at 30.2 GW, placing us firmly on track to deliver target set under Strategy 3.0.

With this now I pass on to Pritesh Vinay to talk on financial performance for the quarter. Thank you.

Pritesh Vinay: Thank you, Sharad. A very good evening to all the participants.

As Sharad mentioned, for the quarter, net generation was up by 24 % YOY. And this translated to a total topline increase of 21 % YOY to just shy of 3,500 crores. We reported an EBITDA of Rs. 1,512 crores which was up by 17 % YOY and profit after tax for the quarter stood at Rs. 408 crores which was up by 16 % YOY . For the year as a whole, we saw the EBITDA increase by 5% YOY to Rs. 6,115 crores and profit after tax for the year was up by 13 % YOY at about Rs. 1,950 crores.

Moving to the balance sheet and leverage :

If you look at the net debt for the quarter, at the end of the quarter post completion of the KSK acquisition, the total net debt stood at about Rs. 44,000 crores, out of which about Rs. 9,500 crores was for projects which are under capital work in progress, and almost Rs. 34,500 crores was the leverage sitting on the operating companies.

Against the reported EBITDA of Rs. 6,115 crores, if you look at the pro forma EBITDA, which basically is if all these assets that we have acquired in the middle of the year were available with us for the entire part of the year, the pro forma EBITDA is about Rs. 8,860 crores. And hence, the net debt to pro forma EBITDA stands at just about 5x.

The other key metric that I would like to highlight is that the net debt to equity stands at 1.6 times at the end of the financial year. The weighted average cost of debt went up by almost 18 bps sequentially and stood at about 9.05%. And from a receivables point of view, the receivables continue to be healthy. We reported a total outstanding receivables of Rs. 2,900 crores. From a headline point of view in terms of DSO, it may appear to be at 76 days a bit higher compared to March last year. But what I would like to point out are two things. A, given that the amo

unt of

power being sold on merchant is lower where you get immediate realization, there's a higher proportion of power which is being sold on a credit period.

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And secondly, the quality of receivables are very healthy in terms of the overdue out of these total amount. The overdue trend as a percentage of total is significantly lower on a YOY basis. Maybe I'll just take a stop there and we can open up the floor for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session.

Our first question comes from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Hi. Thanks for the opportunity. And congratulations on building a very strong pipeline and especially completing 2 inorganic acquisition s. My first question is, of course, you have built up a very large base load portfolio now, especially with the acquisition of Mahanadi. And now we're building a new power plant in West Bengal. My question is, do you still see accretion to this base load portfolio? And my related question is, what is the status of equipment placement and land acquisition for the West Bengal coal -based power plant?

Sharad Mahendra: Can you repeat the first question, please?

Mohit Kumar: First question was, how do you think about accretion, further accretion to this baseload portfolio? Do you still think that you would like to do more of the coal -based power plant?

Sharad Mahendra: See, Mohit, yes, as we are seeing the increase in the peak demand, which is between 250

gigawatt, the base load demand especially with significant increase in the intermittent renewable energy, which is solar, the peak load demand, the base load demands will definitely keep on increasing gradually. One is the demand growth and the pattern in which the new capacities which are coming in. If we see last year significant portion has come from renewable and also primarily driven by solar. So the base load demand will gradually is forecasted to be increasing wherein the thermal is going to play a key role. And regarding your second question in terms of the readiness, I am happy to tell that the entire land on which the plant is to be set up is in our possession. So that is not at all a challenge. Everything, the groundwork, in fact, the initial preparatory work has already started. Regarding the equipment placements, we are at an advanced stage of finalizing that. And that we don't see as a constraint at all in completing the project within the PPA timeline.

Mohit Kumar: So what was the EBITDA in FY'25 for KSK Mahanadi and what is the improvement possible over the next 2 to 3 years?

Sharad Mahendra: See as we told you that in my opening remarks I told about the EBITDA which was operational EBITDA which was in the range of Rs. 2,380 crores operational EBITDA which was there full year on for KS K and the way we have demonstrated in terms of increased PLF, bringing in the efficiencies, we are quite confident that we are still working, we are integrating. It is only about a month which has happened. We are working on, areas have been identified, but we see a significant scope of improvement in terms of the efficiencies, which will ultimately improve in terms of the revenue as well as the bottomline.

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Mohit Kumar: And, sir, do you have to quantify that number, sir?

Pritesh Vinay: Mohit, it may not be appropriate to quantify it at this point, but I think what will be better and more credible is to deliver some kind of a quarterly progress. And that will be a better way of tracking this.

Mohit Kumar: Okay. Thank you, Mr. Vinay. Thank you.

Moderator: Thank you. Our next question comes from the line of Atul Tiwari from JP Morgan. Please go ahead.

Atul Tiwari: Yes, sir. And congratulations on hitting your targets of capacity expansion

. I have two questions.

The first one is again on the Sal boni project. Would it be possible to share some color on the PPA? Is it a regulated PPA or is it a completely bid PPA? And if it is the latter, then what are the kind of prices that they're looking at?

Sharad Mahendra: You see, this is again the Sal boni is a section (63) PPA, which was under the competitive bidding, which we have been able to secure.

Atul Tiwari: Okay and so I am assuming it will be under a two part tariff, fixed charges and energy charges.

Sharad Mahendra: Yes.

Pritesh Vinay: So Atul, the levelized 25 -year tariff under two -part mechanism will be roughly Rs. 5.45 per kWh.

Atul Tiwari: Assuming a domestic coal supply, of course.

Sharad Mahendra: Yes. It is fully tied up, yes.

Atul Tiwari: Okay and your plan of doing Rs. 1.3 trillion of CAPEX by FY '30, would you be able to share some thought process around need for equity to meet that and how much of that you can generate internally and how much you will need to raise from outside?

Pritesh Vinay: So Atul, as we have been talking about this consistently in the past, that any growth aspiration has to be calibrated within a certain framework of protecting leverage profile and calibrating growth commensurately. So it may not be appropriate to quantify that because needless to say and I'm sure you would be aware of this that there will be a back -ending of this. So as your capacity base goes up, your cash accretion goes up, your ability to spend goes up progressively. So it's not 130 divided by 5 equally spent in every year, right? So therefore, everything has been planned in such a way that the capital availability is matched with the expected capacity increase going forward. And if need be, as we had demonstrated about a year ago, if you look at that point of time, if you looked at our committed growth pipeline and our then prevailing leverage profile,

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we actually didn't need to raise any equity capital. So therefore, these are things out there and it's very difficult to crystal ball and pinpoint exactly. But anyways, all the growth aspirations will be significantly calibrated to meet the guardrails.

Atul Tiwari: Okay, great. Thank you.

Moderator: Thank you. Our next question comes from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore: Good evening. I have a couple of questions. The first one is if you could give us a sense of what was the total CAPEX in the previous financial ? What is that you expect to spend over FY '26 and FY'27 separately if possible , in case just FY '26 would also be fine? That's my first question.

Pritesh Vinay: So Sumit, what we actually ended up incurring as a total CAPEX for fiscal '25 was about Rs. 8,000 crores. And if you remember, we had started, we were guided for Rs. 15,000 CAPEX for the year. Because of certain delays in some of the ongoing projects and because we were accelerating the inorganic growth pipeline, we calibrated it down. For fiscal 2026, we are expecting to end up spending anything between Rs. 15,000 crores to Rs. 18,000 crores in that range to complete the ongoing projects plus the pipeline of new growth projects that have started.

Sumit Kishore: In continuation when you mentioned that the net debt to pro forma is 5x, so in terms of your comment regarding the pacing of growth in all circumstances , you would keep below the 5.5x net debt to pro forma EBITDA is the understanding we have.

Sharad Mahendra: That is the endeavor , Sumit .

Sumit Kishore: Okay , so there could be temporary overshoots that could happen without you needing to raise equity should we read it that way?

Pritesh Vinay : So it's like this Sumit, as has been a track record and as seasoned trackers of the sector like yourselves know that project progress particularly in the infrastructure sp

ace including the power

sector, there are too many non-controllable factors and there could be times when there could be some bunching together of projects. But more importantly is this that wherever you are allocating capital, are they inherently at returns more than your cost of capital? And from a leverage profile point of view, rating agencies tend to have a slightly through the cycle view because they also factor in that the capital work in progress, is that returns accretive or is that returns dilutive? So a lot of factors go into that, so may not be able to give a precise answer, but just wanted to give you a sense of how to think about it.

Sumit Kishore: Fair enough. Just the second question is on projects like Salboni, are, you know, so the renewable pipeline that you have, you could pretty much start executing or you would already have started executing the projects where PPAs are done. But for new project starts like Salboni or KSK expansion, I mean, how are you thinking in terms of the pace of deploying capital ?

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Sharad Mahendra: See Sumit, if we talk of Salboni here also, the PPA has already been signed. There is a timeline in the PPA. , Which normally is about 48 months to 60 months ' time period as per the PPA. So we will be spreading and of course, as Pritesh earlier said, that initial 1 or 2 years, which is more of a ground work, preparatory work is there. It is more back -ended. So it is being planned. It cannot be just equally distributed in years. It is more it will be back -ended. So that is what Salboni has been planned. Again, the PPA has been signed. Regarding KSK, as we have informed earlier also, that the three units which are already operating and the balance of plant which is fully ready for full 3 ,600 megawatt, so and in a one unit which is the fourth unit to commission, 40 % of that work also is complete. So that is at a very low cost that can be commissioned. And as the things progress beyond fourth unit, fifth and sixth unit also will be accordingly planned. In my opening remarks also, they said that many states are now coming forward to meet their base demand for thermal requirements are coming in , so that gives a very unique opportunity for us to execute the project in a very short time as compared to the standard time which a greenfield thermal power plant takes for KSK.

Sumit Kishore: So basically the low cost should be interpreted as what , would it be Rs. 5 - Rs. 6 crore per megawatt for bringing up that third unit?

Sharad Mahendra: See, it's difficult to quantify exactly. But yes, as I told you, that whatever the benchmark numbers, maybe you are aware of setting up a greenfield project, assuming that fourth unit is 40% ready, balance of plant for entire 3,600 is ready , so it can be estimated that it will be significantly lower than the normal benchmark cost for a greenfield thermal plant.

Sumit Kishore: That is very clear. Just the last point on other income for the quarter, it's up 149 % to some Rs. 3.1 billion. So was that basically treasury income for the acquisitions that you were about to make?

Pritesh Vinay: Yes, there were two primary components to that, Sumit . There was a deferred consideration payable that was for one of the prior acquisitions of Mytrah which was subject to certain conditions subsequent and there was a write back of that provision because that didn't have to be paid out . And the second is a treasury income gain as you rightly said because of the high cash and liquidity that we carried on the books.

Sumit Kishore: How much was the write back for Mytrah roughly?

Pritesh Vinay: I think that was roughly about close to ballpark about Rs. 100 crores.

Sumit Kishore: I have more questions, but I will get back in the queue. Thank you so much.

Moderator: Thank you. The next question comes from the line of Barani dhar f

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Bharanidhar : Good evening. So just wanted to get a sense on the Salboni project as to its readiness with respect to environment clearance, forest clearance ?

Sharad Mahendra: These all are under process. There is already at the similar location, this one cement plant is running. So I think those all clearances are under process. So we don't see that as a challenge.

Bharanidhar : Okay. Second question is on the under -construction portfolio of around 12 gigawatts. Of this, especially when it comes to renewables, what percentage has land, what percentage has CTO approved or awarded transmission capacity? Because you mentioned it has PPAs , but the other two things, like land and transmission, you can mention ?

Pritesh Vinay: So we have also talked about this in the past but just to refresh the memory that typically what happens is the way we approach any project execution is you cannot wait for 100 % of the land before doing the groundbreaking because you also have to meet the PPA timeline commitments. So typically , you either already have a control about a significant percentage of the land and you have a line of sight or a visibility of being able to get to the finish line on as you go basis, right? So that is one. Second is, on the connectivity side for the projects that we need to deliver in the immediate term . We already have connectivity or we are in very advanced stages of securing connectivity. The other thing I would like to add is this that when we were acquiring O2, we had also talked about the fact that O2 does not only have 100 % of the connectivity that it needs for its own platform, but it also has some excess connectivity. So we are planning projects in such a way that from a synergy point of view, so me of that excess connectivity that O2 has, we will be utilizing for our own projects because now everything is JSW, right? So it's a combination of these two things which gives us a high degree of confidence in being able to commit to certain capacity targets in a certain timeline.

Sharad Mahendra: And also to add, which we have to reiterate again, which we said earlier, for maybe next two years, whatever projects under construction to be executed, we all know that there is a challenge in terms of getting the CTU connectivity, which in general the industry is facing. So we as a strategy, the PPAs which were signed and within the same states we have found the areas which are suitable whether it is a wind or solar. So we have reduced our dependence for next two years on CTU connectivity and within the state the STU connectivity availability is something which as Pritesh said that majority of the projects we have the connectivity in place or at a very very advanced stage. So that strategy has really helped us in ensuring that we will be in a position to execute the project within the PPA timelines.

Bharanidhar : Okay, sure. My final question is if you have any estimate of peak debt that would be in your balance sheet in between FY20 26 to FY20 30, what could be that number?

Pritesh Vinay : We unfortunately don't think that is the right way to think about it because what is more significant for us is that whatever projects you are implementing at a certain tariff and at a certain capital cost or a project cost are they returns accretive or not. If they are all meeting your hurdle rate of say a mid -teen equity IRR then the debt is serviceable right ? So therefore what is more

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important and appropriate in our view to track is the leverage ratio. And more importantly to get into the mechanics of this is your debt service coverage ratio. So as long as one is comfortable on that side, one can take calls on a going basis.

Bharanidhar : Sure, okay . Thank you so much. All the best.

Moderator

: Thank you. Our next question comes from the line of Abhishek from Motilal Oswal. Please go ahead.

Abhishek: Hi, thank you so much for the opportunity. Just on the renewables capacity side, my understanding is some of the capacities were facing some land acquisition and right of way issues, especially for some of the wind projects. So are those getting resolved now and is there a timeline on some of those capacities?

Sharad Mahendra: Yes, Abhishek, as we said that we have commissioned and we have demonstrated commissioning of fresh 1.3 gigawatt of wind capacity, which faces the maximum challenge in terms of the ROW issues and implementation issues, which is almost one third of the country's capacity addition which has taken place. So we have been successfully able to overcome those challenges and the proper mechanisms are in place. And going forward also the projects which are under construction, we are at a very advanced stage of the ROW issues. And the project execution planning is done in such a way that these are within the timeline with solving these issues take place. So this is a continuous process. We know the way the things happen in the country. But yes, this is something which is being monitored very, very closely. And we don't

see that as a bottleneck in not meeting the timelines within the PPA in which we have to execute the project.

Abhishek: Fair enough. Second question is while there is a good 5 year out target of 30 gigawatt, is it possible to give us some sort of a capacity bridge like say by, I am saying let's ignore KSK and O2 power for now. So is it possible to give us a number for say end FY '26 and FY' 27 just on the organic side if you could capacity --

Sharad Mahendra: See, as we say that from , we are talking it is 12.2 gigawatt s operating portfolio and the projects which are in pipeline and to be executed within the PPA timelines, you can assume that beyond 12.2 gigawatt, maybe 3 -3.5 gigawatt of capacity addition, around 3.5 gigawatt of capacity addition in a year ensures us to meet and deliver the projects on time. So you can just maybe estimate what is execution going forward.

Abhishek: Okay, fair enough. Just one last question from me. I mean, your hands are really full right now in terms of lots of projects and so does it mean going forward you are going to be more selective with respect to SECI tenders and is there a specific capacity, you know, category like we'll do more of FDRE or hybrid or any thoughts on those?

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Sharad Mahendra: See, as we have you rightly said that maybe meeting the 30 gigawatt by 2030 the pipeline which we have take care of that. But, this also gives us to be selective in going forward in participating in the upcoming bids. And as have we have been maintaining that any opportunity which comes, which is written accretive to our shareholders, to us is what we are going to look and we will ensure that our benchmark returns are protected, keeping those things in mind only we will be going forward, we 'll be participating in the bids.

Pritesh Vinay : Abhishek, I may want to add, I am too tempted. I want to believe we have always been selective. It is not that something has changed now and hence selective. Let's not forget that India has seen in the last four years tendering in excess of 130 -140 gigawatt. But we have gone ahead and secured a pipeline of barely 7 to 8 gigawatt, right? So we have been very selective. And we will continue to be so.

Abhishek: Okay. Fair enough.

Moderator: Thank you. Our next question comes from the line of Aniket Mittal from SBI Mutual Fund.

Please go ahead.

Aniket Mittal: Yes, thank you for the opportunity. My first question actually is pertaining to wind. Aside of the execution related issues, generally wind PLF over the past few years have also been a bit depressed. So just wanted to unde

rstand your thoughts on that, like in terms of building sort of wind PLF in your assumptions , are you recalibrating that version of PLF are you assuming going forward?

Sharad Mahendra: Yes, Aniket , a very important question, is a part of DNA within our organization. See, whenever we are planning to participate in a bid and the modeling is being done for the right tariff, we have always been very conservative in terms of the assumption s, like the industry in general we have seen in case of wind has operated at P75 but for us the benchmark is P90 which gives us enough room for such kind of deviations when we have seen the last year also that the wind speeds comparatively were lesser than wh at was anticipated , so we take care lot of assumptions in such a way that even if these things go wrong our benchmark returns are protec ted and we don't go wrong when we are executing and when the project is operational.

Aniket Mittal: What would that P90 number be sir? The P90 PLF number that you are...?

Sharad Mahendra: P90 number depends on lot of other factors. P90 helps in the a ssumption or the probability of going wrong in simple terms .

Pritesh Vinay: If I may come in here. See, so there are 2-3 factors that go in. One is the location, particular location. Second is the type of equipment that you plan to utilize there. And what is the rating of that equipment and what are the efficiency factors, etc. So it's not a one size fits all that one P90 will work at all locations regardless of which equipment you use. A nd hence ultimately what works for us effectively is the LCOE number right instead of P90 that what is the leveled

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cost of energy that one is likely to achieve at a particular location for a given configuration machine .

Aniket Mittal: Okay, fair. The other question was just to understand on the interest cost . In the press release, that you mentioned that the weighted average cost of debt has gone up to about 9. 01%. So just to understand that, what's the average cost of borrowing that you look at now in terms of financing these projects, both at the project level and holdco level?

Pritesh Vinay: So, it's a mix of things , Aniket, you know, so what has happened is that, for KSK acquisition we

drew down on a long term debt which was priced at a certain level, assuming a triple B credit rating profile. We have achieved a higher than that. And hence, when we report in June quarter, you will see this number coming down because that number has already inched down because the credit rating is better than the base case at which it was priced. So that is one. Second is what is going to happen is that there is a substantial amount of our borrowings, particularly on the project financing debt, which is typically linked to a bank reference rate, a bank MCLR, plus a spread. So therefore, depending on how the interest rate environment moves out and all signs seem to be a more benign rate curve trajectory going forward, there will be an impact of that. The third factor that comes in also is the timing when your resets happen, because typically while these are long -term facilities, no bank wants a ALM mismatch and effectively these are floaters right , which have annual resets . So periodically based on when you drew down the first facility, there's going to be an annual reset that will happen quarter -to-quarter. So it's a combination of all these things which ultimately reflects on this chart here. Then second is this depending on the type of capital pool you are targeting, these costs can be numbered. So for example, if you want to do a three year issuances and assume the rollover refinancing risk, the number can be much finer. What we choose to do is to ensure that for all the projects which are backed by PPA, you're doing a long tenor non -recourse project financing, right? So it's

a combination of all that from

institution -to-institution, bank -to-bank, that number will vary. But largely, 8% to 9%, that is the range typically at which you can get a long tenor project financing facility today.

Aniket Mittal: Thank you. I will join back in the queue for any questions.

Moderator: Thank you. The next question comes from Darsh Solanki from Axis Securities. Please go ahead.

Darsh Solanki: Yes, thank you for this opportunity. Sir, my first question is more of clarification in nature, so post the acquisition of KSK Mahanadi and O2 Power is completed , so going forward, these two companies will get consolidated in our company , right, for our modeling purpose ?

Pritesh Vinay: Yes. sure ly. I mean, KSK is already done. O2 you will see when we report the June quarter results because that transaction got consummated only in the month of April.

Darsh Solanki: Understood. Sir, actually my second question was regarding O2 only. So O2 in the press release I understand that we expect that by June 25 around 2.2 gigawatt of capacities expected to be operational. So can we have like a split of just 2,259 megawatts in solar, wind and hybrid?

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Sharad Mahendra: See, presently we acquired this asset operating capacity of 1 ,343 megawatt out of which 271 megawatt of wind and balance is all solar. And during the quarter may be another addition of about 500 megawatt which will happen which takes it to about close to 1.9 gigawatt and balance because of the connectivity and various issues we will see in the coming quarter.

Darsh Solanki: Understood. And that would be mainly solar only, right?

Sharad Mahendra: Yes. Fresh capacity addition to reach 1.9 is 100 % solar.

Darsh Solanki: Understood. And balance just if you can share, if still 2.2 gigawatt would also be solar or we will plan wind energy?

Sharad Mahendra: Yes. Up to 2.2 everything is solar. Understood.

Darsh Solanki: That's it from my side. Thank you.

Moderator: Thank you. Our next question comes from the line of Nikhil Abhyankar from UTI Mutual Fund. Please go ahead.

Nikhil Abhyankar: Thank you, sir. Thanks for the opportunity. Sir, recently we were also thinking of having solar manufacturing plants. It is not included in the Strategy 3.0. Can we expect that it is dropped for now?

Sharad Mahendra: No, if you see, we have kept this in abeyance. The reason is if we see that we all are aware the way the capacity, the module capacities have got added in India, which is close to 100 gigawatt.

So we did the evaluation and we found basically the objective for us to go for manufacturing was for supply chain de -risking. That scenario has changed and we don't see right now of the module availability at the right price as a challenge. So we will be watchful on that. We'll not say that we have dropped, but we have kept in abeyance. As and when we feel the need, we will be going ahead. if immediately for the current fiscal, we are not going ahead with this.

Nikhil Abhyankar: So sir, this is likely BESS capacity, can you just tell us how much was the CAPEX done? And if a significant portion of it is done, are we also looking at using it for say merchant market, tapping the night and day arbitrage available?

Sharad Mahendra: This happened, the timing was such that we have not done any significant CAPEX . It remains in single digits only. So right now we have not done anything significant in this. Maybe single digit when I am saying it means maybe around 10 crores or below.

Nikhil Abhyankar: But t he project was supposed to get commissioned in March 25 and it was cancelled. It stayed in abeyance just 4 months prior to it. Still the capital is only Rs. 10 crores ?

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Sharad Mahendra: Yes, we had planned in such a way to commission that in 4 months ' time. That was not a challenge

at all because the preparatory groundwork, the way this amount which has been already invested was done judiciously that as and when the clarity comes because in that time also the regulatory approvals were pending to the PPAs were signed. And the batteries what we had ordered we have enough other projects also which we have in which is captive requirements of energy storage as well as other bids which we have won to the same batteries are being used at for other locations. So we don't see any challenge except ordering , yes you are right , we had ordered but this is being used in alternate projects.

Nikhil Abhyankar: Okay. And sir can you just give us a timeline as to what will be the commissioning trend for the rest of the 1.9 gigawatt hours of project?

Sharad Mahendra: See, again, as I said that the implementation which we have made for energy storage, we have been talking about energy storage as we said in our strategy 3.0, we are maintaining 40 gigawatt hour, which is part of energy storage. So balance 1.9 gigawatt , the PPAs which are signed, we will be executing and this is a short lead time. So we will be doing total, we have another five projects which are there other than this one gigawatt. We will be executing as per the PPA timelines, which normally is 18 months.

Nikhil Abhyankar: Thank you, and all the best .

Moderator: Thank you. Our next question comes from the line of Dhruv Muchhal from HDFC AMC. Please go ahead.

Dhruv Muchhal: Yes, thank you so much. Is it possible to share the run rate EBITDA for the renewable capacities as of March end for the renewable , I mean, ex hydro and also if possible the gross block that you invested . Run rate EBITDA or run rate revenue is also fine; however, what is comfortable?

Pritesh Vinay: So, Dhruv, we don't do that. The run rate EBITDA. But you will be able to , you know you have the...and the IR team will be able to help you . You have the details of all the RE projects you know and you have the tariffs because all of them have been won through an auction mechanism it's a public number . So you will be able to generate that . We don't give run rate EBITDA. So that will not be able to do . From a gross block point of view , you will have to wait for some time because based on the size and significant developments that have happened we should be in a position in some time to upload once the annual reports are completed , we will be able to upload the annual reports of all the entities and this year we are also going to be publishing JSW Neo's consolidated numbers including the balance sheet cash flow. So that's based on popular demand. So therefore...

Dhruv Muchhal: So one more popular demand probably is the run rate EBITDA because that's a very good metric or revenue , is a good metric for us to monitor because individual projects , we have many hybrid projects too. So monitoring or gauging it from individual projects becomes extremely difficult.

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So run rate EBITDA probably is an industry standard. If as a suggestion, if you can please adopt it also. Great, thank you so much for your time.

Sharad Mahendra: We will surely take that under advisement , Dhruv.

Dhruv Muchhal: Thanks.

Moderator: Thank you. Our next question comes from the line of Amit Bhande with Morgan Stanley. Please go ahead.

Amit Bhande: Hello sir. I just wanted to understand the impact that you had on from the wind speeds on your acquired portfolio because as I recollect on Mytrah you were guiding around Rs. 600 crores of EBITDA and that's pretty lower now including the new acquisitions as well. And any measures that you are taking on that EBITDA now?

Sharad Mahendra: Yes, see one measure which we are taking, yes , it is slightly lower . Wind speed impact is there on those assets. When we have said we have to assume that there are assets which ranges from

from

maybe 650 kilowatt or 850 kilowatt to maybe 2.7 gigawatt or 2 gigawatt. This is the range of the turbines which are there which all was evaluated and considered while valuing the asset. But yes, wind speeds have had an impact there. But yes, what we are now, our operations and maintenance team is working on, apart from the availability, which we have been successful in increasing the availability, which used to be 96 %, 97% to 99 % availability, which we have ended with, is the efficiencies of the machines which are running. That also is important, even when the wind is there , whether the machines are running efficiently , that evaluation is in progress. Also there were some contracts which were medium term operations and maintenance contracts which were signed with the suppliers. Some of them we have canceled and we have taken into during the previous year , at various stages we have taken into our own control Self-O&M. So

that also will definitely result in significant savings in the operation and maintenance cost and also the O&M contracts which are prevailing which was for medium terms we have been successful in negotiating those contracts in our favor. So all those things we will definitely see in the current fiscal.

Pritesh Vinay: But if I may add to that, Amit, I would like to add to what Sharad said, so I just put it slightly differently. Whatever Sharad has said is 100 % correct. Look in any initiative, there are controllable factors and there are non-controllable factors. What one can definitely try and endeavor to do is that whatever are the controllable factors that Sharad talked about in terms of ensuring that your machine availability is up, ensuring that the focus on O&M cost reduction and getting more efficiencies out. So we are definitely at it, right. Now wind speed is something which unfortunately is not a controllable factor. But however, this is not a company specific thing right. So there are two things one is that obviously when one does run these kind of processes one looks at a longer-term horizon. Right, so we will be watching out closely and as Sharad said, whatever can be done to salvage that aspect and ultimately the bottom-line is this, JSW Energy Limited

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that you know, there has to be a certain amount of risk appetite in running any enterprise and these are inherent risks that one has to live with.

Amit Bhinde: And the second one that I wanted to understand is regarding your wind manufacturing plan that you had. So what is the progress on that and what is the sourcing strategy at the moment?

Sharad Mahendra: Yes, see in terms of wind manufacturing I'll just like to tell as we have said earlier we had signed the technology license agreement with Sun y and they have their facilities in India, in Pune from Now all the suppliers are going to come from Pune, which is going to start sometime in Quarter 2 and apart from that to further de-risk and optimize in terms of both cost and deliveries we are setting up our two blade manufacturing units, our own for our captive requirements, which will be in the current year only. Both the units of blade manufacturing also will get commissioned. So these are the two steps on the manufacturing front in the wind side we have taken.

Amit Bhinde: Alright, got that. That was helpful, sir. Thank you.

Moderator: Thank you. Our next question is from the line of Mahesh Patil from ICICI Securities. Please go ahead.

Mahesh Patil: Yes, hi sir. Sir, my first question is on the O2 Power. So at the time of acquisition, you had mentioned that around 2.3 -2.4 gigawatt should be operational by June 25. So do we have any revised timeline for that capacity?

Sharad Mahendra: Yes, Mahesh, as I said that when we acquired the portfolio, the operating capacity was 1.34 gigawatt. And the balance work, which is in progress, so by quarter

end we are expecting close

to 1.9 gigawatt operational capacity and about 300 megawatt of solar which is spilling over in Quarter 2. That is the only minor change which is there. We had said 2.2 gigawatt operational by end Q1 which will may spillover about small 300 megawatt to maybe in Quarter 2.

Mahesh Patil: My question is regarding the sourcing part. As you have mentioned that you are setting up the blade manufacturing unit, right? So given the revised guidelines on the domestic, increase content of domestic manufacturing for wind as well, any challenges in terms of sourcing for both solar and wind equipment for the upcoming projects?

Sharad Mahendra: No, solar as I said earlier also that enough capacity in India is there and at a very, very competitive price. So we don't see any challenge and we have already been procuring now modules locally for our ongoing projects. So we don't see as a challenge because close to 100 gigawatt of solar capacity or the module manufacturing capacity is already in place in India. Regarding the blade manufacturing, I said that of course there is a draft regulation of made in India where in some portion you can import, after that you have to be on domestic. So these actions of ours in the current year when we will be commissioning our two blade manufacturing facilities will take care of our total capacity addition plan. So we don't see these things as a challenge for us.

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Mahesh Patil: Okay. And sir my last question is on the pipeline. So we have a robust pipeline, right? So going forward, what would be the bidding strategy? Are you looking for something like more of solar or hybrid or FDRE? Any view on that?

Sharad Mahendra: See, as I said earlier also to one of the questions, we have good pipeline in place and the opportunity size is so big now that we will be selective and everything as mentioned. If you go to the presentation slide #24, you will get all the details. But as a strategy, we will be definitely be selective ensuring that if the opportunity which is coming in is meeting within our strategy

3.0 to reach 30 gigawatt we have the entire pipeline in place but we will be selective and going

forward wherever we are seeing that it is return -accretive meeting our benchmark returns we will be participating . But yes presently we will be focusing on our execution of the pipeline .

Moderator: Thank you. Our question is from the line of Anuj Upadhyay from Investec. Please go ahead.

Anuj Upadhyay: Yes, thanks for the opportunity. I just want to get a sense on how our cash flows are placed to fund this Rs. 130,000 crores of CAPEX over the next five years. What my sense says is the extended KSK capacity and the Salboni will only come by FY '29 or '30. Because it has an execution time period of 4 to 5 years. And this would require a combined CAPEX of the tune of close to around 30 ,000 crores to 35,000 crores. So the balanced Rs. 90,000 crores which is largely targeted towards the renewable capacity generally has an executable time period of say 2-2.5 years kind of a time period. So just to get a sense on what sort of CAPEX because you added the next year CAPEX could be to the tune of 15 ,000 crores to 18,000 crores but over FY'27 or '28, can we see a bulk of 25 plus kind of a run rate of CAPEX happening in the country at company level?

Sharad Mahendra: See, maybe I'll just say a few things on the numbers what you just said and then maybe on the cash flow Pritesh will let you know. As I said that these are all projects which is maybe 4 to 5 years period and more back -ended investment which is there and the numbers for these two KSK and Salboni West Bengal project what you said , that is a significantly higher number as I said earlier. The 1,800-megawatt capacity we have to execute in maybe by FY'30, this will be at a much -much lower cost than what the n

ormal greenfield project is. So the cost will be

significantly lower for this entire 1.6 gigawatt of West Bengal and 1.8 gigawatt of KSK, which is total 3.4 gigawatt, will not be in the tune of the numbers what you have just said. It will be significantly lower , one. And in terms of cash flow with the new capacities coming in over a period, how it is going to help, maybe Pritesh will just tell you.

Pritesh Vinay: So Anuj, I'll just kind of try and repeat in a slightly different way what I said some time back.

All growth aspirations, funding of those growth aspirations has to be calibrated with respect to your spending ability and at the same time on the other hand managing that your leverage profile is in check. So we will be operating between these two guardrails. So from time -to-time, there was another question earlier, there could be some bunching temporarily, but largely that is the endeavor. So I would not like to get into specifics because that would not be appropriate. But what is, we can definitely kind of talk about is that for the current year, we are talking about a JSW Energy Limited

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Rs. 15,000 crores to Rs. 18,000 crores capital spending plan. And then it will be calibrated subsequent to that.

Anuj Upadhyay: Okay , fine. And next on the Vijayanagar, now the plant has been completely tied up, can we provide some kind of sustainable ROE or what P&L the plant would run that would be helpful.

I believe . The plant have a regulated or equity contribution of close to around 1,300 -1,400 odd crores . So can we provide some sense on what kind of ROE it would be making on the captive arrangement?

Pritesh Vinay: So Anuj , on Vijayanagar obviously the tie -up is on CERC norms . But what I would also want to highlight and this is important is this that this is a 5-year tie -up. The tie up is for 5 years because JSW steel also has decarbonization aspirations for which they also eventually want to switch over into more and more RE , right ? So therefore with that in mind this has been done for five years rest of the things are arithmetic . You guys are very good in doing that , so I would not like to comment on that. But this is how you should look at it.

Anuj Upadhyay: Thank you. That is helpful. Wish you good luck.

Moderator: Thank you. Our next question comes from the line of Rajesh Majumdar from B &K Securities. Please go ahead.

Rajesh Majumdar: Yes, sir my question was actually on the lines of the last participant. So on the thermal PPAs, we are seeing a much shorter duration of five years now. Is that the trend going forward? And since you've locked in a lot of new coal -based capacity, is that going to be a challenge in the future in terms of the coal -based capacity?

Pritesh Vinay: So Rajesh, would beg to differ. I mean, PPAs are not for short duration. I mean, if you look at what UP did, what Maharashtra did, what West Bengal did, what Karnataka has called for, these are all 25 -year bids. What I was explaining was this Vijayanagar 860 megawatt that has been tied up, that has been tied up for 5 years , with JSW Steel, not with fiscal trend is 5-years .

Rajesh Majumdar: So the long -term PPAs still exist for the larger... ?

Sharad Mahendra : Yes, 2 5 years and the pumped storage is all for 40 years which are the PPAs which are coming in.

Rajesh Majumdar: Okay, that's useful. Thank you, sir.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

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Sharad Mahendra: Yes, thank you everyone for being with us today. And if anyone else has any query or any other questions, I request you to please approach our IR team. You will get a suitable reply if there are any other ques

tions which remain unanswered today. Thank you very much.

Pritesh Vinay: Thank you. Thank you very much and good night, everyone.

Sharad Mahendra: Good night.

Moderator: Thank you. On behalf of JSW Energy Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

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6th August , 2025
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Scrip Code: 533148 Scrip Code: JSWENERGY - EQ

Sub: Transcript of the Results Conference Call held on Thurs day, 31st July, 2025

Ref: Regulation 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (Listing Regulations)

Dear Madam / Sir ,

With reference to the Results Conference Call held on Thurs day, 31st July, 2025 , to discuss the unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended 30th June , 2025, and pursuant to Regulation 46 of the Listing Regulations, we enclose herewith a transcript of the aforesaid conference call.

The same is simultaneously being made available on the website of the Company .

Yours faithfully,

For JSW Energy Limited

Monica Chopra
Company Secretary
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"JSW Energy Limited
Q1 FY26 Earnings Conference Call"
July 31, 2025

MANAGEMENT : MR. SHARAD MAHENDRA – JOINT MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER – JSW
ENERGY LIMITED
MR. PRITESH VINAY – DIRECTOR (FINANCE) & CHIEF
FINANCIAL OFFICER – JSW ENERGY LIMITED
MR. BIKASH CHOWDHURY – HEAD INVESTOR
RELATIONS AND TREASURY – JSW ENERGY LIMITED

MODERATOR : MR. SUDHANSHU BANSAL -- JM FINANCIAL

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Moderator: Ladies and gentlemen, good day, and welcome to the JSW Energy Q1 FY26 Earnings Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sudhanshu Bansal from JM Financial for his opening remarks. Thank you, and over to you, sir.

Sudhanshu Bansal: Thank you, Muskan. Good evening, everybody. On behalf of JM Financial, I welcome you all to the conference call of JSW Energy to discuss the 1Q FY26 results. We have with us the leadership team of the company, led by Mr. Sharad Mahendra, Joint Managing Director and CEO; Mr. Pritesh Vinay, Director Finance and CFO; Mr. Bikash Choudhary, Head Investor Relations and Treasury. Thank you so much, sirs for your kind presence and giving us the opportunity to host the call. I would also like to congratulate the entire team for a very, very good performance.

And with this, I would like to hand over the call to Sharad sir, for introducing his team and opening remarks and taking the call forward. Over to you, sir.

Sharad Mahendra : Yes. Thank you, Sudhanshu. Good evening and thank you all for joining us today. It is my pleasure to share the highlights of our performance for the quarter gone by.

JSW Energy commenced the year on a strong footing, marked by robust growth momentum and solid earnings performance. Our results reflect not only superior earnings growth, but also the stability and quality of our earnings, underscoring the resilience of our business model and the disciplined execution of our strategy.

With a robust under -construction portfolio and a continued focus on efficient capital allocation and execution excellence, we are well -positioned to sustain this growth trajectory and deliver high-quality returns to all stakeholders

During the quarter, we successfully added 1.9 GW of new capacity, increasing our total installed capacity to 12.8 GW. This represents a substantial year -on-year growth of approximately 70%, up from 7.6 GW in the corresponding period last year. Net generation also witnessed a robust increase of 71% year -on-year, rising from 7.9 billion units to 13.5 billion units, reflecting the enhanced operational efficiency and expanded asset base. The addition of 1.3 GW of organic wind capacity in the second half of FY 2025, coupled with the strategic acquisitions of O2 Power and the Mahanadi thermal plant, has begun contributing meaningfully to our earnings. These developments underscore our commitment to scaling up clean and reliable energy solutions while delivering sustainable value to stakeholders. This has resulted in company reporting the highest ever quarterly EBITDA of ₹ 3,057 Cr up by 93% year on year and Record PAT of ₹ 743 Crore up 42% year on year.

Before we delve into our performance, I would like to share some key developments from the sector. The energy landscape is undergoing a strategic shift, with increasing emphasis on
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enhancing energy security and catering to the evolving, customized requirements of distribution companies.

India's total installed power generation capacity has now reached 485 GW, reflecting a strong growth trajectory. Over the past 12 months, the country has added 46 GW, with 19.9 GW added in Q1 FY26 alone. India reaches 50% clean energy capacity, achieving its Paris Agreement NDC target five years ahead of schedule with a Non fossil fuel capacity of 243 GW. Renewable energy continues to lead this expansion, contributing 12.3 GW of the total additions

during the quarter. This growth was predominantly driven by solar power, which accounted for 10.6 GW, followed by a more modest 1.6 GW from wind energy. In terms of generation, renewable energy contributed 16% of the total electricity generated, reinforcing its growing role in India's energy mix and its importance in achieving long-term sustainability goals. FY2025 had marked an emerging trend in India's power sector dynamics, with several state distribution companies increasingly turning to competitive bidding for thermal power procurement. This trend continues in FY 2026 as many states prepare for thermal power procurement to address growing urgency to secure firm power and to complement the intermittent renewable generation.

In Q1 FY26, the country's power demand registered a year-on-year decline of 1.5%. This moderation was primarily due to a high base effect, stemming from an 11% year-on-year growth in the corresponding quarter of the previous year, coupled with the early onset of the monsoon, which impacted consumption patterns. We anticipate this seasonal demand fluctuation to normalize in the coming quarters and remain structurally optimistic about strong medium-term power demand. Notably, the peak demand during the quarter reached 243 GW in June 2025. The merchant market remained resilient during the quarter averaging around ₹ 4.41 /unit on exchanges despite record capacity addition and lower coal prices. The DAM market rates were flat quarter on quarter while softened compared to year on year. In line with our strategy to ensure stable earnings, we have tied up the open capacity of our imported coal-based Vijayanagar plant with JSW Steel, thereby significantly reducing our exposure to the merchant market for imported coal-based generation.

For the quarter gone by coal prices reduced to 90/t from \$ 108/t. Currently API 4 coal prices are around \$95/t while within the domestic coal market, sufficient steps are taken to keep a robust coal supply.

Coming to company performance - I am pleased to report a strong start to FY 2026, with earnings growth underpinned by the new capacity additions achieved in the second half of FY 2025, which have now begun contributing meaningfully to EBITDA. Importantly, the quality of our earnings has improved, with a larger share now derived from our PPA-tied portfolio, offering enhanced long-term revenue visibility and stability. Our net debt to EBITDA for the operating portfolio stands at 4.7x, well within our targeted range, reflecting our prudent capital allocation strategy and strong financial discipline.

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During the first quarter, we added a total of 1.9 GW of operational capacity, marking a robust beginning to the fiscal year. This includes 1.3 GW of inorganic capacity through the acquisition of O2 Power, and 550 MW of organic renewable energy capacity. These additions have resulted in a 71% year-on-year increase in net generation, reaching 13.5 billion units. Generation from our tied-up portfolio rose 73% year-on-year, while short-term generation increased by 58% year on year. Our thermal portfolio continued to perform well, achieving a healthy Plant Load Factor of 76% during the quarter. Complementing our organic growth initiatives, we have strategically acquired O2 Power, a 4.7 GW renewable energy platform. As of now, O2 Power has an installed capacity of 1.8 GW, which is expected to scale up to 4.7 GW by June 2027 through a planned capital expenditure of ₹13,000 to ₹14,000 crore. Upon full build-out, the portfolio is projected to deliver a steady-state EBITDA of ₹3,750 crore, reinforcing our long-term earnings visibility. As previously highlighted, this platform benefits from high-quality offtakers, a seasoned management team, and a highly skilled workforce, aligning well with our strategic and operational priorities. The Mahanadi Thermal Plant, acquired in March

h 2025, operated for the full quarter and generated 2.7 billion units, accounting for 20% of the company's total generation. The plant

delivered a robust EBITDA of ₹867 crore, contributing 28% to the total consolidated EBITDA, underscoring the strategic value of the acquisition.

We would also like to highlight our strategic shift towards more resilient earnings within the merchant market. As part of this transition, we have successfully tied up our imported coal-based Vijayanagar plant with JSW Steel, resulting in a 92% year-on-year increase in generation to 1.4 billion units. This move significantly reduces our exposure to merchant market volatility linked to imported coal.

As of now, approximately 8% or 974 MW of our 12.8 GW total installed capacity remains open and untied, with only 10% of this open capacity based on imported coal. The remaining untied capacity comprises Utkal 700 MW and KSK 88 MW —both domestic coal-based plants located in coal-rich regions. These assets benefit from favorable dark spreads, making them more economically viable compared to imported coal-based generation.

This transformation marks a decisive shift towards a more resilient, domestic coal-based open capacity, effectively reducing exposure to global coal price volatility. Consequently, the breakeven price for our open thermal

capacity has also declined, driven by increased reliance on domestic coal.

Looking ahead, as all our under -construction capacity is backed by long -term PPAs, the share of untied or merchant market capacity in our overall portfolio is expected to continue declining, further enhancing earnings stability.

Coming to Hydro, the generation across the country witnessed an improvement during Q1 FY26, supported by the early onset of the monsoon and improved reservoir levels. National hydro generation reached 39.5 billion units, marking a 13% year -on-year increase compared to Q1FY25. At our hydro facility, we recorded a 4% year -on-year increase in generation,

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successfully meeting the design energy target for the quarter. This performance is consistent with other hydro projects located along the Sutlej River.

I would also like to take this opportunity to provide an update on the recent Supreme Court ruling concerning our hydro asset and the associated free power obligation. Pursuant to the order and judgement of the Supreme Court, the Company has started supplying free power of 18% from July 19, 2025 to government of Himachal Pradesh. Further, the Company is in discussion with the Government of Himachal Pradesh on the modalities of supplying additional free power of 6% for the earlier period from September 14, 2023 to July 18, 2025 from the available untied capacity.

Turning to our under -construction portfolio, JSW Energy is currently constructing 13 GW of generation projects, all of which are fully tied up under long-term Power Purchase Agreements. During the quarter, the Company has signed power purchase agreements for 605 MW of renewable capacity, further 350 MW FDRE, 100 MW Solar along with 100 MWh of BESS PPA was signed after the quarter end.

I'm pleased to announce a significant milestone in our renewable energy journey with the successful synchronization of the first 80 MW unit of the Kutehr Hydroelectric Project, which comprises a total of three units. The phase -wise synchronization of the remaining units is expected to follow shortly.

This marks a major step forward for JSW Energy, as Kutehr stands among the fastest -developed greenfield hydroelectric projects in the country.

I also want to highlight that we are currently constructing a 20 MW floating solar plant at Vijayanagar, marking our first venture into floating solar technology. This project demonstrates our capability to execute innovative and forward-looking energy solutions.

Coming to Energy products and services. We recognize the cr

itical role energy storage plays in

integrating renewable energy therefore, we have expanded our locked in energy storage capacity to 29.4 GWh. During the quarter we have signed PPA with UPPCL for 12GWh of PSP project to be delivered in next 6 years. So far, we have also signed Battery Energy Storage Agreement for 1.2 GWh of Battery energy storage system.

To strengthen our supply chain and enhancing our products and services footprint, I am pleased to announce that we have started putting capital through strategic investments in key areas of equipment manufacturing. We are currently establishing a battery assembly plant in Pune with a rated capacity of 5 GWh per annum, dedicated to supporting Battery Energy Storage Systems.

We envisage initial capital outlay of ₹ 165 crore for the project. Additionally, we started committing capital for blade manufacturing facilities located in Southern and Western India. Our investments in equipment manufacturing are expected to yield cost efficiencies, particularly in logistics, due to the proximity to our power plants.

On our 3,800 tonnes per annum green hydrogen project at Vijayanagar, the plant is nearing commissioning with trial runs currently under progress.

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Coming to outlook. We are making strong progress in integrating both KSK Mahanadi and O2 Power into our operations. The integration is advancing smoothly and is contributing to the strengthening of our overall portfolio.

With 1.9 GW of capacity already added in Q1 FY26, we are well -positioned to achieve our target of 3 to 4 GW of capacity addition during the current fiscal year. This momentum reflects our continued commitment to scaling our portfolio in alignment with the country's growing energy needs, while ensuring that our growth remains sustainable and strategically balanced .

Thank you. With this, now I pass on to Pritesh to talk on the financial performance for the quarter. Thank you.

Pritesh Vinay: Thank you very much, Sharad. A very good evening to all the participants. I'll just very quickly summarize the financial performance, and I'm sure most of you have had a chance to go through it. Net generation for the quarter was up 71% to 13.5 billion units on account of capacity increase from both inorganic as well as organic route.

Consistent with that, the revenue for the quarter went up by 78% YoY at over ₹ 5,400 crores. The EBITDA increased by 93% YoY to over ₹ 3,000 crores for the quarter. And the cash profit after tax was up by 65% YoY at over ₹ 1,580 crores. The reported profit after tax went up by 42% YoY to ₹ 743 crores.

So the key message is this that the increase in capacity addition has now started to yield output in terms of both energy generation and into operating profit growth, and we would expect this trend to continue for the rest of the year. Coming to balance sheet. The net debt at the end of the quarter stood at ₹ 59,300 crores. This has gone up by close to ₹ 15,000 crores QoQ.

This is due to a combination of a consummation of the O2 platform acquisition plus the incremental capex that was done during the quarter. While the headline leverage on a trailing 12-month basis remains close to 6x net debt to EBITDA. But more important is that sitting in the ₹ 59,300 crores of net debt, almost ₹ 12,900 crores is due to capital work in progress for under implementation projects, which are likely to yield EBITDA and profitability over a period of time.

So the operating debt on the operating entities stood at about ₹ 46,500 crores and the ratios are pretty comfortable there. The weighted average cost of debt, as we had guided last time in sync with the rate easing cycle, we have started to see the weighted average interest rate also come down. So we've seen almost a 15 to 20 bps correction QoQ. And as incremental facilities, the repricing dates come in subsequent quarters, we'll continue to see a downward

trajectory there.

The cash returns on net worth, which is adjusted for investment in JSW Steel shares continues to maintain a healthy high teen, 19% to 20% trajectory as a litmus test of our hurdle rate of a mid-teen returns for any incremental capital allocation. And finally, one word on the receivable side. The total receivables at the end of June stood at about ₹ 3,700 crores. In terms of days sales outstanding, a very healthy trend. It stood at about 58 days compared to 65 days in the same quarter last year. So I'll stop there, and let's open the floor for Q&A, please. Thank you.

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Moderator: The first question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Congratulations on a very good quarter, especially on operating performance. My first question is on the EBITDA for Mahanadi and Mytrah. Just want a clarification. Are there any one-offs in the EBITDA for Mahanadi and Mytrah? There seems to be a strong growth in EBITDA for Mytrah in particular and a strong EBITDA in Mahanadi in the quarter.

Pritesh Vinay: So Mohit, I'll take that. In Mytrah, there is a one-off late payment surcharge. But more importantly, even if you look at the generation profile, the Mytrah generation YoY has gone up by almost 16%, and this is primarily because of a 23% higher wind generation there. So operating profitability is also high, but there is also a one-off late payment surcharge there.

On KSK, there is actually no one-off. We just took it in the month of March, and this is our first full quarter of performance. Of course, we still see there is room to continue to implement our efficiency enhancement initiatives as we had talked about last time. So progressively, we'll continue to see improvements in O&M cost, et cetera, but that will happen over a period of time. But there's no one-off in KSK.

Sharad Mahendra: And also, Mohit, to add what Pritesh just said regarding especially the KSK Mahanadi, we acquired the asset on 6

th March and we took some initiatives to improve in terms of the efficiency parameters. So a lot of actions have been implemented during the quarter.

The full benefit will come in the balance part of the year, what Pritesh just say is that still there, we see upside on that front when we start getting the full benefit of all the identified areas where the improvement is possible. Some partly has been implemented. Some are still under implementation.

Mohit Kumar: Understood. I understand that you've been approved to acquire the KSK Water Infrastructure Private Limited. Is it possible to help us understand the synergy and the price you are paying for acquiring the asset?

Sharad Mahendra: See, the synergy, Mohit, is that this is the company which supplies water to the plant. So, which is equally important as for the KSK Mahanadi plant as well as KSK Water Infrastructures.

So right now, that this company is supplying water and this is being paid as a part of the O&M charges. So, it is critical for both the companies. So that is the reason that we are in the process, as we have announced to acquire and then take the control of this company.

Mohit Kumar: And any color on the valuation, sir? Is it possible?

Sharad Mahendra: Yes, we're still working. At the right time, we will definitely inform.

Pritesh Vinay: So Mohit, we will be making the suitable disclosures upon the consummation of the transaction, yes.
Moderator: The next question is from the line of Sumit Kishore from Axis Capital.
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Sumit Kishore: My compliments on a strong all -round performance. My first question is, how much organic capex has JSW incurred in Q1? And what is your target organic capex for FY26 and even FY27?
Also, second part of this question is how much capacity is due to be commissioned in balance FY26 and FY27?
Pritesh Vinay: Su

mit, I'll take it. In the first quarter, the actual capex spend in cash terms is about ₹ 2,400 crores for the quarter. If you recall, we have guided for a full year capex of ₹15,000 crores to ₹18,000 crores. So we stick to that .

Similarly, as Sharad also reiterated in his opening remarks, over and above O2's opening capacity of 1.34 gigawatt, last quarter in the earnings call, we had guided for a 3 to 4 gigawatt incremental capacity addition during the course of this year. So Shar ad just reiterated a few minutes ago that we stick with that 3 to 4 gigawatt incremental capacity addition.

Sumit Kishore: This is an addition to the O2 power opening capacity of 1.34 gigawatt that.

Sharad Mahendra: Yes, exactly. That's right. That's right.

Sumit Kishore: And I know FY27 is still some time away, but would a similar number given your large pipeline of under construction projects, is that on for FY27?

Sharad Mahendra: Yes, Sumit, we have signed PPAs. And within the timelines, we will be completing that. So it can be estimated. It is a bit -- will not be appropriate to give exact numbers for FY27, but it will be in line what we are doing in the current year based on the PPA timelines. We will be delivering on time because we are known that we deliver the projects absolutely on time or before.

Sumit Kishore: You have spoken about prudent thermal expansion with the aggressive RE storage build- out in your annual report. So basically, can you give us an update on progress regarding execution plan for 1.6 gigawatt Salboni? And what has actually been deployed or pl anned to be deployed for 29 gigawatt hour of storage capacity, which is tied up separately across PSH and BESS?

Sharad Mahendra: Yes. See, Salboni 1.6 gigawatt, we have already signed the PPA and within the guideline, the land is fully now in place that challenge, which is normally a challenge in a greenfield plant is fully taken care of. So now, it is basically that what we have been kn owing, seeing and reading that about the supply chain constraints of BTG, that also has been taken care of , so within the timelines of the PPA.

So, presently, the next step is that we have already applied for the environmental clearance, and it is at a very advanced stage. So , the things are moving as per the plan, and we don't see right now any challenges in terms of the execution in the way it has been planned.

Pritesh Vinay: So Sumit, maybe I'll just step in there and add to what Sharad said. So what happens is, particularly for greenfield thermal and greenfield pump storage projects, which are slightly nuanced by the fact that there's a very long gestation period. On a 3 mont hly basis, we rarely have very significant progress to report. It is a continuum of small progresses that will ultimately add up to that.

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So therefore, to be very frank, the first 6 months basically goes in a lot of groundwork before you can hit the construction, right? So we are going through all those preparatory activities , and zero date has not commenced anywhere. But as Sharad said, the bigger picture is this that in line with the PPA timelines , we will be progressing on those.

Moderator: The next question is from the line of Atul Tiwari from JPMorgan.

Atul Tiwari: Congratulations on a strong set of numbers. Sir, beyond Salboni, 1,600 megawatts, could you throw some color on your thermal expansion plans, specifically where you might have land already available or where you have some visibility on fuel supply or some kind of visibility on PPA?

Sharad Mahendra: Yes. Atul, as you may recall that after our acquisition of this KSK Mahanadi, which is a 1.8 gigawatt operational plant with the potential further expansion for which balance of plant for balance 1.8 additional is fully ready. We are right now exploring for the fourth unit, we are in discussion for the commissioning of fourth unit of

600 megawatt, work for which is almost 40% to 45% work is already completed.

So right now is this. And then we will be looking for balance other 2 units also once we finalize in terms of the project start for

this fourth unit of 600 megawatts. So, this is apart from Salboni right now in the thermal space is what we are looking for.

Atul Tiwari: So total of, say, 1,800 megawatt at KSK looks quite likely over a period of time. And what about the PPAs of the same?

Sharad Mahendra: See, as I mentioned in my opening remarks also now with the kind of the way the demand is growing and every state, like all of the major states are now looking towards to have a security in terms of the round-the-clock power. So, we are absolutely certain a lot of states have the plans. And once we are ready, there will be opportunities for the PPA because of enough coal availability and a lot of states are showing interest because this is again a low-cost power for them, round the clock. So we don't see a challenge going forward the way thermal requirements and the demands are coming from various states.

Atul Tiwari: Yes. And sir, Salboni BTG orders you have placed already, that is what you only mentioned...

Sharad Mahendra: We are working on the equipment supplies and we are quite certain that will not be a challenge because we have made all the necessary arrangements of turbine generator supply and also for the boiler supply. So that will not be a challenge at all for us.

Moderator: The next question is from the line of Ketan Jain from Avendus Spark.

Ketan Jain: Congratulations for a very good set of numbers. Sir, just a follow-up from the previous question, the participant asked. You were speaking about the fourth unit of KSK Mahanadi. Do we have the FSA for the rest of the 3 units of KSK or how does the coal FSA work?

Sharad Mahendra: See, Ketan, we have to understand that this plant is in the very, very large coal belt only. And because the way the domestic coal availability is there, we don't see coal at all as a challenge

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because if you see that what we have said when we acquired this asset that -- and which has contributed to our margins in quarter 1 that the open capacity, which was about 85 to 90 megawatts, which has hardly operated at a very lower level last year, we have been able to utilize the full open capacity and have been able to comfortably get the coal also for this untied capacity. So going forward, getting the coal, so many bids are coming. We don't see at all that as a challenge, and we are sure that, that will not be a stopper in any way. Coal rich belt is there, so we don't see that as a challenge.

Ketan Jain: Understood. Sir, the next question is on the lines of your opening remarks, you said you had plans on BESS battery manufacturing and wind manufacturing. If you can speak about a bit about that. One, on batteries, isn't importing battery better for your projects? Isn't that cheaper than building a plant and assembling it over here? That is number one. Number two is on the wind manufacturing. How are you looking at after the domestic mandate, which the government has given the draft circular?

Sharad Mahendra: Yes. Ketan, first, coming to the battery energy storage when we are saying the best containerized solution, this is more of an assembly plant in which the battery cell packs are being imported, and it is being assembled here. We have to understand that the way the restrictions which are coming from not only from the Indian government side of imports from China, But also at the same time, the restrictions which now China has started imposing in terms of to their manufacturers for exports to India.

So keeping both the things in mind, which we anticipated about a year back, we had been working on this project, and we are at a very advanced stage, and we are confident that we will start

the trial runs in this quarter, by the end of quarter 2 for this battery energy storage systems in Pune area where we are setting up this plant.

Coming to wind turbines, what you said, wind turbine generator, one that the notification from the government, which has come, we have to please note that we are completely protected from that reason is that all bids which have been won by the developers, whether PPA signed or not, the import restrictions are not going to apply for those for a particular date.

This is currently at a draft stage. And whenever it comes, so that we don't see as a challenge, we are absolutely certain that will not be. But more important is that for us, the WTG manufacturing is in India. And just to clarify that we have a technology license agreement with SANY from China.

And SANY is present for more than 15 years now in India in the construction equipment division in the heavy construction equipment, where they have set up in Pune, the same WTG manufacturing also and which is already they are supplying. So they have a facility in India while some of the components they are importing. But at the same time, there is a clear plan laid out of those imported parts also to be taken from India going forward.

Blade is something which is for the SANY machines, we are setting up ourselves. We are setting up the blade plants at 2 locations, one is western part of the country and one is southern part, where majority of our wind projects are being executed.

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There are two basic reasons for this, first to de-risk our supply chain and to have ensured that timely suppliers of the blades are there. And second is that importing the blades contribute to a high logistic cost. So, there will be more efficiency in terms of the cost in the project execution. We are going to commission both the blade plants in the current fiscal.

Moderator: The next question is from the line of Rajesh Majumdar from B&K Securities.

Rajesh Majumdar: Congratulations once again for a great set of numbers. So I had again questions on the wind CUF of this quarter, which has jumped from 26% to 30%. Now it seems that there have been some factors which have been favorable for us in the wind generation, which has contributed to a large rise in the Mytrah profitability. Now do we take this as sustainable or the CUF to be normalized over the coming quarters? That was my first question.

Sharad Mahendra: Okay. Yes. See, Rajesh, very valid. I'd just like to tell that increase from 26% to 30%, there are 2 reasons contributing to this.

Our overall wind portfolio, percentage of more efficient machines has increased significantly. If we compare for us last year, the share of Mytrah in the overall wind portfolio was significantly more, and these are old winds, old technologies, lower capacity wind turbines, giving lower use of CUF. The new wind capacities we have commissioned are of 2.7 and 3.3 megawatt machines, which we commissioned in the second half of last fiscal, which have seen the current year, full year season they are seeing. And that high wind speed has resulted in a better CUF. So these 2 are the factors which has resulted in this CUF.

Rajesh Majumdar: Right. Fair, sir. And secondly, sir, you mentioned KSK Mahanadi, there is no onetime. But earlier, we were looking at a kind of ₹2,400 crore EBITDA for the year for KSK Mahanadi and the 1Q is more than ₹800 crores. So would you hazard a guess as to the -- should we take a better number for the year in terms of the EBITDA? Or is it going to be similar or slightly lower than ₹2,400 crores what we had kind of looked at earlier?

Sharad Mahendra: We see, as we have guided also in the quarter 1 performance has demonstrated, you can definitely very well assume that what is going to be the full year number. But I think one thing I'll tell you that as I said in my opening

remark or maybe in one of the questions, that there was an untied capacity also, which maybe has not done or has not been used last year during the CIRP process, which also has contributed significantly.

And we expect that going forward, our PLF on an annualized basis will be more than last year.

So there is no reason to assume that achieving ₹2,400 or surpassing that will be a challenge.

Pritesh Vinay: Rajesh, I'd like to add to what Sharad has said. See, in the context of an acquisition, you typically look at a long-term trajectory, right? And you're not doing it for the next 12 months only, right?

You've got to own the asset for the residual life of the asset.

So if you recall what we had said the last time around is that this is a Section 63 competitive bid PPA, the long-term PPA that they have. So there will be a tariff trajectory, which will vary from year-to-year, correct?

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So when we talk about capital investments, we, as strategic owners look at normalized, levelized long term. And we are a conservative company. So we talk about worst-case scenarios, right?

So the ₹2,400 crores has to be seen in that context, please. It was not for FY26 guidance, right?

Rajesh Majumdar: Right.

Pritesh Vinay: I hope that clarifies because the trajectory will vary year-to-year. But at least no matter what happens, in any particular year, we do not see it going below ₹2,400 crores, right?

Rajesh Majumdar: Right. Sir, and sir, if I could sneak in just one question. The net debt is ₹60,000 crores around at the end of 1Q, and we are talking about ₹15,000 crore capex for the year. So is it fair to assume that the debt can go up to ₹70,000 crores before we kind of look at some kind of evening out of the debt or something like that? Or I mean, what is the net debt-to-EBITDA ratio highest that the company can go to or what you're comfortable with?

Pritesh Vinay: I don't think one will be able to guide that, Rajesh. We will repeatedly come back to 2 things. We are conscious of the leverage. We are very conscious of where we are allocating incremental capital and is this being allocated into cash flow-generating assets where returns are more than the cost of capital. And the third thing is this from time to time, what is the right thing to do to derisk the capital structure and the balance sheet.

So we'll continue to be operating within these guardrails because one thing which is very strategic and important for us is our credit ratings, right? Because that is one source of competitive advantage to deliver our equity IRR, right? The cost of capital in a 3:1 debt equity

project has a very high variability to that.

So therefore, absolute way, it is an arithmetic. You will be able to reach. And hopefully, there will be EBITDA generation and cash flow generation as well. So it will not just be just capex , right? So you will be able to do that math, but we would not want to give a specific net debt absolute number or a peak ratio number guidance out here, yes.

Moderator: The next question is from the line of Aniket Mittal from SBI Mutual Fund.

Aniket Mittal: My first question was actually related to your capital allocation between renewable and coal. So when you decide to put capital within any of these space, how does your threshold equity IRR or your IRR expectations vary between the 2?

Pritesh Vinay: So Aniket, very good question. So as we see, money sees no color, right? So capital doesn't care for is it CO2 emitting or non -CO2 emitting or anything else. So capital has to meet one uniform hurdle rate, which is a mid -teen equity IRR on a levered basis, regardless of whatever project you are pursuing.

The only exception to this will be -- which is typically not very large size, will be things like on the safety or environmental or regulatory, those kind of things. Those are the only exceptions where you've

got to do certain things and you will invest that money. But for capacity enhancement projects, whether it is thermal, solar, wind, hydro, whether it is battery storage, hydro pump storage, whether it is anything else, the hurdle rate is the same, yes.

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Aniket Mittal: The reason I ask this is because you're pointing out, there's a lot of state tenders and state plans that are out there for thermal right now. So just trying to understand as long as those threshold mid-teen equity IRRs are available or can be made, we will not be shy of putting up more thermal, is it?

Pritesh Vinay: There is another limiting factor, I would say, or a boundary condition, which is also, call it, management bandwidth or call it execution. We can't be implementing so many greenfield projects at the same time, right?

And then it's not just PPAs, right? Will you have the necessary ingredients to deliver on that, whether it is land, whether it is water, whether it is evacuation, whether it is the other or equipment and so many things go into that, right? So it is not just , oh, if tomorrow, you have an opportunity to do 10 gigawatt of incremental thermal just because the hurdle rates are being met, it can't be done like that, right?

Sharad Mahendra: And also, as we have announced, if you remember, 30 gigawatt by 2030 in our Strategy 3.0, and we have been maintaining for quite some time that 2/3 of green and 1/3 thermal. So that also in capacity terms, we will continue to maintain with 30 gigawatt capacity .

So there are many factors, as Pritesh said, apart from just that the requirements are coming because there are enough requirements. Government of India has announced the fresh additional capacity addition of 97 gigawatt of thermal by maybe 2032 or '33. So there will be enough capacity going forward. So we will be definitely looking into it as and when we feel appropriate, we will definitely be going ahead with it.

Aniket Mittal: Got that. Just one more question. When I look at the PLF for solar during this quarter, they're down to about 21% versus 24% last year. Is this entirely related to the O2 Power acquisition?

Or is there something else?

Pritesh Vinay: Sorry, can you repeat the question, please?

Aniket Mittal: So when I look at the plant load factors for solar during the quarter, it's come down to about 21%, I think, versus 24% last year. So just trying to understand, is this because of the O2 Power acquisition? Or are there any PLF changes in the existing portfolio.

Sharad Mahendra: See, as we know that the early onset of monsoons and the radiation levels when we compare in the current quarter , as compared to last year have been slightly on a lower side, which has resulted in lower PLF, not because of O2. Because O2 are new more very efficient plants, not very old plants . It is primarily only because of the radiation and early onset of monsoons.

Pritesh Vinay: Actually, just to add to what he said, when I said earlier that Mytrah saw 16% higher generation, 23% higher generation wind, solar was minus 7%, so exactly for the reasons that Sharad mentioned, that the early onset of monsoon and higher amount of cloud covers, et cetera, solar irradiation was low.

Moderator: The next question is from the line of Nikhil Jain from Crisil .

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Nikhil Jain: So my question is regarding the SECI BESS plant. So we are awaiting the tariff approval from

CERC. So are we having any guidance on the same? And related to the same capacity, you guided 60% of the contracted capacity is under ₹10.8 lakh per megawatt per month. So is it now 100% or it is still at 60%?

Sharad Mahendra: See, one is that it is still at 60%. There is no change. And second, as we have informed earlier also that there was a delay from CERC side to adopt this tariff. So it is pending with APTEL, wherein the order

is reserved. And maybe the next outcome, we will update only once the reserved order is pronounced.

Nikhil Jain: And one more question on these lines. So like given a scenario where LoAs are received from SECI, do you foresee any risk of PPA not being signed due to change in tariffs like in this case, which we are not getting approval for?

Sharad Mahendra: See, the thing is the kind of more significant variation when it happens, it is a question of timing. So going forward, the way it is expected, if these kind of variations are expected, this is a very one-off unique case wherein this kind of delay in adopting the tariff and things have happened.

So this is a very one-off case that cannot be generalized resulting in any challenges for the sector in general or industry developers in general. So we don't see this as any challenge going forward in terms of tariff adoption or the LoAs which are issued getting converted into PPAs.

Moderator: The next question is from the line of Satyadeep Jain from Ambit Capital.

Satyadeep Jain: The first question on thermal. I know a lot of questions have been asked on KSK. Just if I look at the Section 63 tariff order, I would assume the tariffs, the charges, energy and capacity charges are going to decline this year.

And there is a steep jump in EBITDA, mathematically, it doesn't seem just the merchant open capacity will lead to such a big swing. So within a short period of time, you've been able to improve efficiency so much. And because even if you take out merchant EBITDA, the run rate still looks much higher than the ₹2,400 crores EBITDA that we're looking at.

So how do we look at EBITDA for KSK for maybe this year, next year? And I'm not sure if I'm mistaken, but somewhere in the release, I see that you're looking to tie up some of the remaining open capacity into PPA.

But in your opening comments and all, it seems like you have the remaining open capacity has better cost position, domestic coal. So that didn't tie up. So I'm just trying to clarify, is that what you're looking to do on the remaining untied capacity. That's on thermal.

Pritesh Vinay: So Satyadeep, on KSK, I will come back to what I said a few minutes earlier. Tariff trajectory will follow the bid-out path. So no one can do anything with that. But no matter what -- howsoever bad the condition is, ₹2,400 crores of EBITDA, we will always make, upside is a function of market opportunities, efficiencies, optimum utilization of assets, et cetera, et cetera, right? So we would not be able to give a forward-looking asset-specific guidance on that, right?

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On the second part of your question, which is on open capacity, I want to bring out one -- and we've been talking about this for some time now. Two things have structurally changed. If I were to compare with, say, at the end of March versus end of June, what has really happened to our open capacity on the thermal side, right?

So at the end of March, our open capacity on the thermal side was about 1,400 megawatts, of which about 55% was domestic coal-based and 45% was imported coal-based, primarily the

Vijayanagar untied capacity, right? What has changed now is this that 1,400 has come down to about 900 megawatts, okay? But within this 900 megawatts, 90% is now domestic coal-based because Ind-Barath Unit 2 has come and KSK incremental capacity has got added.

So 2 things are happening. One is, and we keep on repeating this, our strategic intent is to derisk the portfolio and enhance the predictability of earnings stream, right? So as the incremental organic capacity addition happens, because all the incremental pipeline is 100% contracted into long-term PPA.

So what is the 8% open capacity at 12.8 gigawatt will progressively keep on coming down because that numerator is not increasing, whereas the denominator will keep on increasing. But even with

in that, the quality is better because your breakeven barrier is lower because bulk of that capacity is domestic coal-based instead of imported coal-based. That is the point that Sharad was trying to say in his opening remarks.

Satyadeep Jain: I was just trying to clarify this 900-megawatt open capacity, there is no intent to convert that into PPA because it seems like from the earnings release.

Sharad Mahendra: No. See, one thing is that, as you have said that KSK, whatever small capacity open is there, presently, we will like to continue in the merchant, taking advantage of being in the core coal belt with low fuel cost and being in merchant with a bilateral short-term trades or through exchanges. So we'll continue to remain open because the plant is tied up otherwise entire capacity as compared -- when we talk of JSW Utkal, which is 700 megawatt entirely open and

again, there also the fuel cost advantage.

As and when the time develops, as and when the things move, we will take a call. But maybe presently, we will like to continue as it is in merchant, but we will not be averse if we are assured of a good price in a medium-term or a long-term PPA with fuel now available under Shakti and other schemes for the power supply against the PPAs, long- and medium-term PPAs. So we'll be open and keep evaluating the options available. Saying that we will not do or we will do will not be right. But as and when what we feel is the best and sustainable, we'll be taking accordingly the action.

Pritesh Vinay : But direction will be derisking...

Sharad Mahendra: Direction will be derisking, yes.

Satyadeep Jain: Understood. Second question, on the battery, you mentioned 5 gigawatt hour. It seems like if I'm understanding it correctly, it would be a cell to pack assembly plant. Or is it you're importing electrode and then assembling into cell? I didn't understand what you're trying to do there.

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Sharad Mahendra: No, no. As I told you that we are going to import the cell from China, and it will be an assembly plant here right now, not the cell manufacturing or battery manufacturing.

Satyadeep Jain: I believe you were exploring cell manufacturing also, so that...

Sharad Mahendra: Yes, yes, we continue to do that. We are in discussions with the various technology suppliers to have the right technology. We are still in discussions. But as and when we reach any stage, we will definitely inform.

Satyadeep Jain: Just one quick question, if I can squeeze on wind. I just wanted to understand, given you're also using blades from JSW steel erecting towers and you'll have your own wind blades. So what can be the capital cost that we can look at for setting up a turnkey project for wind for JSW. And when you look at maybe newer mills versus older, how much delta could be there in P90 generally for newer mills versus Mytrah? Just trying to understand how big a gap in efficiency is.

Pritesh Vinay: So Satyadeep, I can request you to connect with the IR team for some of these discussions because a lot of theoretical things are involved in this. We would rather not make conjectures on this side. On the first part of the question that you asked, I'll come back to 2 things. what is the intention?

The intention is to ultimately reduce your LCOE, correct? And whatever are the measures to get into that, we will try and do that from time to time, right?

Moderator: The last question is from the line of Abhishek Khanna from Kotak Securities.

Abhishek Khanna: I just wanted to check of the 1.9- odd gigawatts that you've added in the quarter, that includes 1.3 gigawatt O2 acquired, right, which means the organic capacity addition is about 550 is my understanding. Could you just share what part of that 550 is the O2 portfolio, which was already under construction there? -- of the 550 incremental?

Pritesh Vinay: So bulk of that is actu

ally O2 because just for the sake of fullness, O2 ended at almost 1.8 gigawatt. So bulk of that incremental is O2.

Sharad Mahendra: Out of 550, 450-odd megawatts is O2 and balance is our ongoing projects of JSW Neo.

Abhishek Khanna: Got it. And when you say you're planning to add 3 to 4 gigawatt overall capacity in the year, I assume that excludes at least 1.3, right, of O2.

Sharad Mahendra: It excludes 1.3 of acquired capacity, yes.

Abhishek Khanna: Okay. And just one more thing. When there's a slide on the presentation, which says that about 10 gigawatt -- actually 13 gigawatt of projects are PPA signed, of which the renewable part is about 10, 10.5 gigawatts. Does that mean all of that has to come as per PPAs within the next 2 years? Is that a fair understanding? Or do some of the PPA terms extend beyond...

Pritesh Vinay : About 3 years is the right figure. Because at certain places, connectivity of substation, the evacuation substation is back ended. So therefore, that's how it will...

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Abhishek Khanna: Okay. So let's say, broadly 3 years as per the PPA terms is when this 10, 10.5 gigawatts of renewable...

Sharad Mahendra: Yes, you can assume. That's a very fair assumption, yes.

Abhishek Khanna: All right. Perfect. That's helpful. Just one thing maybe because you said we are nearing the completion of this green hydrogen facility in the next 1 or 2 quarters. Any broad sense on how the economics are for us to understand? My apologies if you've shared this before, but anything that you could share ballpark, on the green hydrogen projects?

Sharad Mahendra: See, one is that this is not 1 or 2 quarters. We are confident that in the current quarter only, this will be commissioned. The trial runs are at very advanced stage. Second is in terms of the economics and the financials you're asking, as we have been maintaining that any investment on any project we do, the mid to high-teen IRRs are protected, and that is what we are going to achieve here also.

Because this is comparatively a slightly different green hydrogen plant in which the 2 aspects of setting up the entire plant, the costs related to the transportation and the storage are not a part in this project because this is a co-located project for the user, and it's a direct live supply through the pipeline. So this has optimized the cost and has ensured that our benchmark returns are protected.

Pritesh Vinay: And to add further, what we have been maintaining is this, the underlying assumption is the entire cost has to be amortized over a period of 7 years. Operator, if there is something else, I would request any follow-up questions to be taken by the IR team, please.

Moderator: Okay. Ladies and gentlemen, as that was the last question for the team, I now hand the conference over to the management for closing comments. Over to you, sir.

Sharad Mahendra: Yes. Thank you very much for being with us today. And in case any other questions or some of the questions we may not be -- have not been able to address, request to please kindly write to our IR team. We assure you that you will get a suitable and positive response immediately. Thank you very much once again, and a very good night.

Pritesh Vinay: Thank you.

Moderator: Thank you. On behalf of JM Financial Institutional Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Oct 2025

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Sub: Transcript of the Results Conference Call held on Friday , 17th October , 202 5

Ref: Regulation 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (Listing Regulations)

Dear Madam / Sir ,

With reference to the Results Conference Call held on Friday , 17th October , 2025 , to discuss the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended 30th September, 202 5 and pursuant to Regulation 46 of the Listing Regulations, we enclose herewith a transcript of the aforesaid conference call.

The same is simultaneously being made available on the website of the Company .

Yours faithfully,

For JSW Energy Limited

Monica Chopra
Company Secretary

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"JSW Energy Limited
Q2 FY26 Earnings Conference"

October 17, 2025

MANAGEMENT : MR. SHARAD MAHENDRA – JOINT MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER , JSW
ENERGY LIMITED
MR. PRITESH VINAY – DIRECTOR (FINANCE) & CHIEF
FINANCIAL OFFICER , JSW ENERGY LIMITED
MR. BIKASH CHOWDHURY – HEAD INVESTOR
RELATIONS & STRATEGIC FINANCE , JSW ENERGY
LIMITED
MODERATOR : MR. ABHISHEK NIGAM – MOTILAL OSWAL FINANCIAL
SERVICES LIMITED

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Moderator : Ladies and gentlemen , good day, and welcome to the JSW Energy 2Q FY26 Earnings Conference Call hosted by Motilal Oswal .

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek N igam from Motilal Oswal. Thank you, and over to you, sir .

Abhishek Nigam: Yes, thank you , Sagar . Hello , everyone . Good evening and thank you for joining JSW Energy's 2Q FY 26 Earnings Call . Tonight, we have with us Mr. Sharad Mahendra – Joint MD and CEO ; Mr. Pritesh Vinay – Director (Finance) and CFO ; and Mr. Bikash Chowdhury – Head of Strategic Finance and Investor Relations.

And now without any further delay, I will hand it over to Mr. Sharad Mahendra for opening comm ents. Over t o you, sir?

Sharad Mahendra: Good evening, everyone, and thank you for joining us today for JSW Energy's Q2 FY26 earnings call.

The second quarter of this fiscal year marked a pivotal turnaround for the power sector. After a decline of 1.6% in Q1, we witnessed a significant uptick in power demand in Quarter 2, which grew by 3.3% year -on-year to 449 billion units and H1 demand was u p by 0.8% year on year. This resurgence was driven by a healthy uptick in industrial activity and improving economic sentiment, further supported by a favourable base effect. Remarkably, this recovery came despite an extended monsoon, underscoring the resi lience of India's power demand. Peak demand during the quarter reached 230 GW in August, remaining consistent with levels seen in corresponding quarter of the previous year.

India's total installed power generation capacity now stands at 501 GW, reflecting the sector's robust growth momentum. Over the past 12 months, 48 GW has been added, with 33 GW and 16 GW commissioned in H1 and Q2 respectively. Renewable energy continues t o lead this expansion, contributing 25 GW during the half year —22 GW from solar and 3 GW from wind. This affirms our nation's commitment to a cleaner energy future.

For thermal, the current installed capacity is 245 GW. Considering the biddings of 15 GW of projects awarded in FY25 and approximately 35 GW of capacity under -construction; all these capacities should be commissioned in next 5 -7 years. With this, India's t otal thermal capacity in FY32 should reach close to 300 GW .

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We have witnessed thermal bids from various states totalling to 11.6 GW this half year. As you are aware, we have bagged Salboni 1600 MW last fiscal year, and have additional optionality of 1800 MW of brownfield expansion at KSK. Recently we have received an LOA of 400 MW for our 700 MW UTKAL plant, which is currently an open capacity – once this LOA is converted to PPA, it will further enhance our cashflow predictability, and take our open capacity from currently at 8% to 5%.

For the country, Renewables accounted for 18% of total electricity generated this quarter, up from 15% in the same period last year. Wind generation saw one of its strongest performances, with national PLFs rising from 31.7% to 34.9%. Hydro generation also surged, reaching 68 billion units —a 13% year -on-year increase —thanks to better hydrology and a favourable monsoon .

The merchant market remained soft, with day ahead prices averaging ₹3.92 per unit on exchanges, declining both sequentially and annually, impacted by record capacity additions and muted demand.

As shared in our previous call, we have proactively de-risked our portfolio by tying up our imported coal-based Vijayanagar plant with JSW Steel. This strategic move has

significantly

reduced our exposure to merchant volatility and ensured stable returns. Further, the recent LOA of 400 MW at Utkal will reduce our exposure to the merchant market. Even on our current untied capacity, our domestic coal merchant exposure is 788 MW out of total merchant exposure of approximate 1.1 GW; this ensures feasibility of the plant to generate attractive dark spreads even at lower merchant prices.

Coal prices continued to moderate, averaging \$91 per tonne during the quarter, down from \$110 per tonne in Q2 FY25. Post-quarter end, prices have further softened to around \$81 per tonne. This should help our imported open thermal capacity to record better dark spreads, benefitting from the lower fuel cost.

On the RE bidding front, the first half of FY26 saw cumulative generation bids of close to 5GW and storage bids of approximately 3 GW.

On the macro environment, the recent GST rationalisation has been a welcome reform. For renewables, it lowers capital costs and will translate into more competitive tariffs. For thermal power —plants using domestic coal—the removal of the ₹400/tonne compensation cess and the streamlined GST structure will reduce fuel costs and improve overall generation economics. These changes will strengthen the financial health of DISCOMs and support long-term sector sustainability.

From a regulatory standpoint, there are some anticipated changes from the recent Renewable Consumption Obligation framework and new draft amendment of the electricity act, which are sector positives.

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At JSW Energy, our strategic focus remains on both energy security and energy sustainability with disciplined capital allocation.

To share with you the highlights of our performance for the quarter, which has been marked by significant progress across multiple fronts.

Our net generation saw a robust 52% year-on-year increase in Q2FY26, rising from 9.8 billion units to 14.9 billion units. Further, our H1FY26 marked a 60% year-on-year increase in the generation, from 17.7 billion units to 28.4 billion units. This is at a time when the industry has registered a subdued demand growth of 3.3% year-on-year in Q2FY26 and 0.8% year-on-year in H1FY26. Acquisition and integration of KSK and O2 Power, along with our organic capacity addition including Kutehr and Ind-Barath Unit-II has expanded this generation base.

Over the past twelve months, we have added 5.5 GW of capacity, including 3.3 GW of renewables and 1.8 GW of thermal, which has significantly contributed to our EBITDA growth. This includes inorganic capacity of 1.5 GW Renewable and 1.8 GW of Thermal.

During the quarter, we successfully added 443 MW of new capacity, taking our total installed capacity to 13.2 GW. This represents a remarkable year-on-year growth of approximately 71%, up from 7.74 GW in the same period last year. Among these additions, I am proud to highlight the commissioning of our green-field Kutehr 240 MW hydro generation project, wind 148 MW and solar 56 MW. Earlier we had commissioned 5 MW agrivoltaics in Vijayanagar and now we commissioned our first 20 MW floating solar project again at Vijayanagar —this showcases our ability to deliver long term sustainable and innovative energy solutions.

Further, our 240 MW Kutehr Hydro Power Plant, is one of the fastest greenfield hydro projects to be completed in India. Despite facing challenges such as COVID-19 disruptions, lockdowns, and extreme weather conditions, we executed this project in under six years. The timing of the commissioning allowed us to capitalize on the high-generation season in Q2, resulting in an impressive 58% PLF for the operational days of the quarter.

Looking ahead, our under-construction portfolio remains robust. We are currently building 12.5 GW of generation projects, all of which are fully tied up under long-term Power Purchase Agreements. U

pon completion, our installed capacity will nearly double to approximately 26

GW. This includes new PPAs signed during the quarter for 230 MW under SECI FDRE IV and 100 MW solar with 100 MWh Battery Energy Storage System.

In our hydro portfolio, Karcham-Wangtoo and BASPA plants exceeded design energy generation by 16% in Q2 and 13% in H1 FY26. As highlighted earlier, our newly commissioned Kutehr plant further strengthens our hydro capabilities and unlocks new synergies.

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We had earlier guided for a capital expenditure of ₹1,30,000 crore by 2030 to achieve a capacity of 30 GW and 40 GWh of energy storage. The opportunity for growth in this sector is immense, and we are committed to pursuing it in a calibrated and strategic manner.

To ensure predictability in execution and to reaffirm our unwavering commitment to delivering value to all stakeholders, we continue to take deliberate steps toward organic growth both in RE and thermal. This approach aligns with our recent partnership with SANY for wind turbine manufacturing and our decision to pause our solar module manufacturing plans.

I am pleased to share 3 strategic developments during the quarter:

1. Acquisition of GE Power India Ltd.'s Boiler Manufacturing Business: We have entered into a Scheme of Arrangement with GE Power India Ltd. to acquire its boiler manufacturing business. This acquisition significantly enhances our in-house capabilities with both technology and people which is very critical for equipment manufacturing and supports our thermal power expansion plan.

2. Majority Stake in KSK Water Infrastructure: We have successfully completed the acquisition of a majority stake in KSK Water Infrastructure. This entity currently supplies raw water to our 1,800 MW KSK Mahanadi Thermal Power Plant and is equipped to support an additional 1,800 MW, ensuring readiness for our future expansion.

3. Battery Assembly Plant in Pune: As previously communicated, we are in the process of establishing a battery assembly plant in Pune with a rated capacity of 5 GWh per annum. This facility, dedicated to supporting Battery Energy Storage Systems (BESS), is expected to be operational in Q3 FY26. It will also enable us to meet domestic content requirements for BESS as and when they are mandated.

As part of our continued strategic growth, I'm pleased to share that we have signed a definitive agreement to acquire the 150 MW Tidong Hydro Power Plant from Statkraft at an enterprise valuation of ₹1,728 crore. Expected to be commissioned by October 2026, the plant has a 22-year Power Purchase Agreement (PPA) with Uttar Pradesh Power Corporation for 75 MW, while the remaining capacity offers attractive potential in the merchant power market.

This acquisition will not only strengthen our hydro portfolio but also bring in a highly skilled team with deep expertise in hydroelectric power. Their experience will be invaluable as we advance our pumped-hydro storage projects. We are already the largest Independent Power Producer in the hydro sector, and this acquisition further cements our leadership position.

In our energy products and services segment, we signed battery energy storage agreements for 680 MWh, taking our total locked-in storage capacity to 29.4 GWh. Trial runs for our 3,800 TPA green hydrogen project at Vijayanagar are near complete, with commissioning expected soon.

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Looking ahead, we continue to integrate KSK Mahanadi and O2 Power into our operations, significantly strengthening our capabilities. With 2.3 GW of capacity already added in H1 FY26, we are well-positioned to achieve our generation capacity target in excess of 15 GW by the end of fiscal year.

Lastly, I want to reiterate our focus on execution excellence, efficient capital allocation, and stakeholder value creation. With a high-quality, largely

regely tied-up under -construction portfolio, we

are confident in our ability to sustain this growth trajectory and deliver superior returns.

With this now I pass on to Pritesh to talk about financial performance for the quarter.

Pritesh Vinay: Thank you very much, Sharad, and a very good evening to all of you. As Sharad mentioned, there has been a significant addition in our installed capacity on a YoY basis. September last year we were at 7.7 GW of operational capacity, whereas we ended September '25 at 13.2 GW. And all of this has led to the net generation for the quarter being up by 52% YoY, which translated to a total revenue which was up by 55% at over Rs. 5,300 crores. And the EBITDA for the quarter went up by 67% to Rs. 3,200 crores.

With the additional capitalization of newer assets, that have come on the balance sheet, there is a higher interest and depreciation commensurately, which has led to the profit after tax being down by 17% compared to last year at about Rs. 705 crores, but more importantly, for us, the cash profits generation, was up by 27% YoY at over Rs. 1,500 crores.

From a half-year performance point of view, for the first half of this year, we have already crossed the EBITDA that we generated in the entire last fiscal year, and EBITDA for the half year stood at over Rs. 6,200 crores.

Our profit after tax for the half year was up by almost 5% to close to Rs. 1,450 crores, and the cash profit after tax was stood at more than Rs. 3,000 crores.

From a balance sheet point of view, the net debt at the end of September quarter stood at close to Rs. 62,000 crores. It has sequentially gone up by about Rs. 2,500 crores compared to June end.

The total amount of CAPEX that we have spent in this quarter is about Rs. 3,500 crores. We have also capitalized some amount on ongoing projects like Kutehr and some RE projects because of which the total net debt, which is stuck in capital work in progress, has marginally come down by about Rs. 400 crores during the quarter and stood at about Rs. 12,500 crores. So, if you look at the operational assets, the total debt to the total EBITDA on a TTM basis stood at just under 5x.

The weighted average cost of debt has marginally come down with a reset of some of the current facilities and went up by close to 10 basis points sequentially. We expect this trajectory to

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continue in the next couple of quarters as more facilities reach their reset date, so the easing up of interest rates that we have seen in the markets will start translating into our borrowing cost as well.

The receivables trend continued to be very healthy. The total amount of outstanding receivable at the end of September was Rs. 3,500 crores, which translated to a day sales outstanding of 64 days. This was an improvement compared to 70 days at the same time last year.

With that, I will stop here and operator we can open the floor for Q&A please. Thank you.

Moderator: Thank you so much. We will now begin with the question-and-answer session. Our first question comes from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: My first question is, on financials, is it possible to explain the lower EBITDA in Karcham and Baspa during the quarter? EBITDA came at Rs.3.8 billion. However, I believe the generation was better compared to last year.

Pritesh Vinay: So, Mohit, you must be aware of the Supreme Court order on the Karcham side, on the free power. So, on a YoY basis, the incremental amount of free power which earlier last year we were selling in the merchant market is now being supplied to Government of Himachal Pradesh under the implementation agreement. So, that is the primary reason why from an EBITDA point of view at the hydro business you are seeing a lower YoY trend.

Mohit Kumar: And on the Ind-Barath EBITDA, is it lower QoQ? Is it primarily due to merchant impact or is there any one-off?

Sharad Mahendra: You see, in case of Ind-Barath, there is a scheduled shutdown of the units, keeping this in mind is the only reason. There is no other reason. All the annual maintenance and overhauling is completed. So, in the second half of the year keeping in mind to take care of the seasonal demand, which is better normally in H2. So, it was a seasonal, annual shutdown only, which is normally a planned shutdown.

Mohit Kumar: My last question is, what is the purpose of acquiring GE Power assets? Is it possible to manufacture the complete boiler or only special parts of the boiler? What is the strategy to utilize this asset to build our own thermal power plant?

Sharad Mahendra: See, one thing we have to understand is the way we have seen in the last maybe about 18 months the amount of thermal bids which are coming in and the PPAs with the way it is getting signed, there definitely has been constraints in terms of timely supplies to meet the PPA timelines, from the existing suppliers for boiler turbine generator.

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So, keeping that thing in mind, this is a facility which has well established technology and presently running, though not making the new pressure like the pressure parts of the new boiler but servicing the existing customers which has the full facility to produce a new.

So, yes, always whichever boiler plant, whether it is of any other company or GE, it is a mix of pressure parts mostly are being made within the plant. The non-critical and other things normally are outsourced. This is the way other companies like BHEL, or others operate. So, all the critical parts, pressure parts will be manufactured here.

And lastly, our strategy was to ensure the timely supplies of the boiler for our, especially the Salboni plant which we have PPA which we have signed. So, it is the technology is there. The skill set to do the people are there. The engineering team is there so that these are the prime reasons that we have gone for this.

Moderator: Our next question comes from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore: My compliments on a strong operating performance in Q2. My first question is, over the past one year, there have been a fairly strong additions to the installed capacity led by solar, as you mentioned in your opening remarks, accompanied with relatively muted power demand growth.

So, in this backdrop, are you seeing any instances of grid curtailment for RE capacities during solar hours? And is this likely to be a risk for the sector in coming times ? That is my first question.

Sharad Mahendra: See, Sumit , one is , of course, this phenomena with this so much of capacity addition which is happening especially in solar during solar hours, there is a capacity evacuation challenges grid has started facing, but we have to remember what the regulation says based on the connectivity . One is the TGNA, which is a temporary connectivity, and one is the GNA.

So, I think it is if the scheduling system is proper, agile, vigilant, and the timely rescheduling and proper scheduling is happening, this can be minimized or avoided . Till now, at least we have not faced any such challenge in terms of curtailments , but yes, that this is one phenomenon a watch needs to come , but not I will say on a permanent basis , temporarily maybe for the next 1 year, 2 year, 3 years till the time the new connectivity , the work in progress which is there comes and the evacuation is there, but it is protected in terms of if there is a PPA with an entity and if the scheduling is within the PPA terms, even if there is a curtailment in the grid, the regulation protects the developers and they get the money. There is a process which can b

e explained by

the IR team in case that those details can be shared with you separately.

Sumit Kishore: So, your payments would not be affected . The must run status of that RE plant would prevail.

Pritesh Vinay: Provided the only sorry, I will come in here , Sumit, just for the sake of clarity , what Sharad is trying to say is provided your asset is already operating under G NA.

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Sharad Mahendra: GNA.

Pritesh Vinay: Right? But if there is any asset which is operating under TGNA, if there is a curtailment , there is no revenue protection mechanism, ye s.

Sumit Kishore: And your capacities are under G NA?

Pritesh Vinay: Yes.

Sharad Mahendra: Yes.

Pritesh Vinay: For operating capacity, you will typically have TGNA for part commissioning of capacities. So , conceptually , the way to understand this is that if suppose I am building a 100-MW plant, right, and only 30 MW or 40 MW or 50 MW is commissioned, the evacuation of that power is allowed under TGNA, right? But your project SCOD will only be achieved when the entire 100 MW is completed.

Once the 100 MW achieves SCOD, you move to G NA. The TGNA goes away, and that is when you are so to say the meter of counting your 25-year PPA starts, right? So , effectively , under TGNA one was earning excess revenues even before the start of the PPA. So , there is no compensation mechanism for that, right? I hope that is clear.

Sumit Kishore: That is very clear. My second question is, in the first half of the fiscal, you have added more than 1 GW of organic capacity addition. And you had talked about a 3 to 4 GW addition target on an organic basis in FY26.

You have also shown photographs in your presentation of 3.4 GW solar, 2.3 GW wind, which is under construction at various sites. So, I mean, are there any impediments to achieving this target? Because when I see your CAPEX incurred in the first half, it seems that there should be a decent pick up in second half if you are to achieve these targets. I mean, how should we think about CAPEX and your capacity addition ?

Sharad Mahendra: So, Sumit , one is, of course, whatever the project work in progress is there , there are no impediments to complete and commission this because connectivity , land, which are the two major challenges in the execution, all are well in place . Then only the work o n the projects have started .

And of course , in terms of we normally see lesser lower activity and especially in the current year in first half with the extended monsoons, the project pace , execution pace was much slower . And now in the second half of the year , the projects, what the capacity which I have indicated also that in excess of 15 GW we will be closing the year. So , maybe close to about 2 GW further is to be added. So , definitely , in terms of CAPEX also as compared to what has been witnessed in H1, it will be more than that.

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Sumit Kishore: That is very clear. I will join the queue .

Moderator: Our next question comes from the line of Ke tan Jain from Avendus Spark. Please go ahead.

Ketan Jain: My first question is on the Karnataka LOA for Ind-Barath . What would be the terms of realization for this ? Or was it a competitive bid , and how is the tariff decided for this LO A?

Sharad Mahendra: See, this tariff , again , this is a bidding , and this is in public domain. The tariff is for this is it is

at the regional periphery, at CTU , you can say at plant it is Rs. 5.78 is the tariff for this. So, you can do the calculations in terms of the fuel cost. Our Ind-Barath plant , Utkal plant is very close to the mine . MCL, it is just a few kilometers only from there, from where we are getting bulk of the fuel. So, it is quite attractive pricing.

Ketan Jain: Also, I just wanted to check, did we have any one -off in our renewable EBITDA f

rom either of

the SECI projects or is it all of the organic EBITDA ?

Pritesh Vinay: Yes, hopefully organic .

Sharad Mahendra: Yes. No, nothing one -off significant anything worth to be reported. Nothing.

Ketan Jain: I will come back in the queue. Other questions are answered.

Moderator: Our next question comes from the line of Atul Tiwari from JP Morgan. Please go ahead.

Atul Tiwari: Sir, my first question is an industry level question. So , we have just seen 5 GWs of RE bids in the first half, and obviously we have been hearing about news of curtailment, etc. Slow power demand is now a reality. So , do you think that this is the new normal like 5, 10 GW more in the second half, or can we still achieve the ambitious target of 40, 50 GWs RE bidding on an annual basis?

Sharad Mahendra: See, it is a very , like I will say a very , very pertinent question, which is being sent. We have to understand two things. See, this is very , very temporary I am seeing . two things which have been witness ed is what we have seen in the last two years, the amount of bidding which is close to 100 GWs, which has happened.

So the pipe up at close to 40 GWs of bids for which the PPAs are still pending and in which there are a significant portion of plain solar and plain wind also with the grid challenges which are being faced , we are seeing one big significant change in the current year H1 is that plain vanilla solar or vanilla wind bids are hardly any. They are not there. More it is coming is either hybrid . Hybrid also is much lesser it is FDRE or other . Majority is solar plus battery energy storage to discharge during the evening hours.

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So, we are seeing this temporarily to cool down because there is enough in the country to be executed going forward in the next 3 years, the PP As which have been signed or the unsigned bids which are there. So , we see that current year we expect the overall bidding volume what we have witnessed in the last two fiscals is expected to be lower in the current year.

But as I again said, this is temporary . Again , once the backlog starts coming down and the connectivity visibility is there, I think this will again gain pace maybe from next financial year is what is expected.

Atul Tiwari: And my second question is on Salboni project . So, fair to assume now that the boiler will be done in -house with the acquisition of GE Power boiler assets , right?

Sharad Mahendra: Yes.

Atul Tiwari: And just to kind of obviously you will be, hopefully, bidding for new coal -based capacity as well. So , what is the maximum capacity of boilers you can do in -house in this facility?

Sharad Mahendra: See, as I said that clearly when you see that the boiler plant doesn't work, that we say that okay, 2 or 1 boiler. It is not that it is one, it is a single unit and it delivers 1 in a year. See, this has a capacity of almost 1.5 boiler worth of component manufacturing. And it doesn't mean that it will give 1.5 in one year. It is to span to complete one boiler is almost 18 months in terms of supply from the zero date .

So, it is a cycle which is there , and we have time. It is meeting the timelines. My commissioning timeline is by 2030 as per the PPA terms in Salboni. So , effectively , you can say once the plant is fully functional, it will give a material worth 1.5 boilers, you can say, per annum this will be giving.

Atul Tiwari: And sir, the turbine generator will be with J SW Toshiba, the plant.

Sharad Mahendra: We have a joint venture with Toshiba, which is a old joint venture, and they have already made and supplied this 800-MW TG in India beforehand also to NTPC and others. So , yes, the turbine generator will be from Toshiba JSW joint venture company.

Atul Tiwari: And sir, what is the annual capacity of J SW Toshiba as of now?

Sharad Mahendra: JSW Toshiba can produce comfo

rably 2 turbine generators in a year.

Atul Tiwari: That is about 600 MWs.

Sharad Mahendra: Again, as I said, because last few years they have not been producing turbine generators though the technology equipment is there with them. The start year to deliver will be 3 years from now,

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which again matches absolutely with our schedule. And then after that from 3rd year onwards , once they deliver the 1st, every year they can deliver 2 T Gs.

Atul Tiwari: 2 TGs of 800 MWs each.

Sharad Mahendra: 800 MWs means 1.66 GWs every year with the potential to go to 2.4 GW also.

Atul Tiwari: Good to know .

Moderator: Our next question comes from the line of Karan P. Gupta from CAVI Capital. Please go ahead.

Karan P. Gupta: Two quick questions. Can you maybe just talk about the alignment of the depreciation expense that is booked and the economic life of the underlying assets? So , in other words, can these assets continue to generate cash flows even after they are depreciated to zero? And secondly, you have always spoken about mid-teen ROE. So, are those on a cash basis or a net basis that you are looking at?

Pritesh Vinay: Can you repeat the second part of your question, please?

Karan P. Gupta: So, in past calls also management is always guided that capital allocation decisions are based on mid-teen ROEs. So , are those mid -teen ROEs on a cash basis or are those on a net of depreciation expense ?

Pritesh Vinay: So, the first part of the question is that depreciation is a straight -line method. Right? So, yes, the economic life of the assets are typically longer than the depreciation with a very big caveat that provided your operation and maintenance and upkeep and overhauls are proper . So, there are a lot of cases in India across different kinds of asset bases where the asset li fe with some nominal R&M, which is renovation and modernization CAPEX can be elongated. The economic life can be elongated beyond depreciation , right. So , that is the first part of the question.

The second part of the question is the capital allocation decision does not change. It is a levered equity IRR , right? Because we are allocating capital for the cash flows for the life of the asset, right? And therefore, when you are talking about a levered equity IRR, you will be able to do when you do the FC E, FEE calculation , you will be able to arrive at that, right?

So, ROE is, I think , easily understood. It is more backward looking or at a certain point of time, but given where you are in the stage of your CAPEX cycle or where you are in the life of the asset , your ROE trajectory typically for an RE business, for example, in the initial years will be lower because the debt is still to be repaid and typically once you hit the 10, 11, 12 year mark is when the debt is getting paid faster than, so the accrual at the numerator, which is your reported profit after tax is higher, right? So , the ROE starts bunching up in the back end of the economic life of the asset, whereas capital allocation decisions are on a long -term cash flow forecasting . So, it is a mid -teen equity IRR on a lever basis. I hope I am clear.

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Karan P. Gupta: Yes, I really appreciate that.

Moderator: Our next question comes from the line of Amit Bhinde from Morgan Stanley. Please go ahead.

Amit Bhinde: I just wanted to understand your thought process on the 1,800 KSK Mahanadi plant. Would that be operationalized by 2031?

Moderator: Sorry to interrupt, Amit, sir . May we request you please repeat your question once again. Apologies for the same.

Amit Bhinde: Sir, I wanted to understand whether we will be aiming to start the remaining 1,800 MWs of KSK Mahanadi by 2031. Would that be in your plan?

Sharad Mahendra: See, yes, we have been maintaining that this is an 1,800 MW o

perational plan t and 1,800 MWs

of which the balance of plant is fully ready and maybe the 4th unit 40% of the work is complete and also 5th and 6 th units , minor work has already been completed. So , definitely we have plans to complete this before 2031.

Amit Bhinde: That was my question. Remaining questions have been answered.

Moderator: Our next question comes from the line of Shrinidhi Karlekar from ASK Investment Managers Private Limited. Please go ahead.

Shrinidhi Karlekar: Sir, I wanted your perspective on what is really driving uptick on state PP As from various different states , and how is the pipeline looking like?

Sharad Mahendra: See, state PPA, if you see one thing what we have witnessed in some of the states is in thermal space, states are looking for signing PPAs for fresh capacities in thermal space and giving a preference of setting up the plant within the state . Like encouraging investment and employment in the state is one of the strategic shifts which we are seeing in the states whether in the recent bids we see , whether it is in the state of Bihar, Madhya Pradesh, or West Bengal, or even the recent bid in Assam or in UP. These are the five major states and Maharashtra sixth . These have seen the state barring Maharashtra , every state has asked for the setting up the unit in the respective state only, which in a way we feel is good in terms of gr id challenges what we are witnessing till the time, and this will support . So, this is what we are witnessing that the states are encouraging this .

In RE space also for two reasons which are driving some of the states which are friendly in terms

of setting up solar or wind capacities wherein Karnataka is one of the leaders and Maharashtra , that setting up within the same state , it insulates them from the ISTS connectivity which is a challenge and also the RPO, the obligations in terms of the connectivity charges which has been free which we have started implementing in the current year from 1 st June every year, there will
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be incremental transmission charges. So , these two factors are driving in the states which are RE friendly to set up the capacity within the state.

Shrinidhi Karlekar: And sir, is the pipeline still strong or was it just a patch of a year or two where we saw a lot of bids in terms of thermal PP As?

Pritesh Vinay: So, if I can come in here, see, typically the way it works is you have to look at it from a procurer's point of view, right? So, every distribution utility does what is called their demand curve forecasting, right? And then commensurate with their demand curve forecasting which is typically on a medium to long period average basis, they will do a resource adequacy plan that where will this curve , what different modes of generation will it be met with , right? And then based on their internal analysis and decisions , they decided, okay, X% from this mode and Y% from that mode and all that and that is how then what is a typical gestation period for each of the mode and then that is how they do it, right?

So, in the last 18 months, most of us who have been in the power market have been surprised with, the greenfield long -term PPAs for thermal projects, those bits coming back. So clearly, you are now asking us to crystal ball, will this trend continue or not ? We have a very poor track record of calling something like this out. We would not trust our views on this, right, on a lighter note, but I would believe that the pace at which we have seen the bids , so at least it is less likely that the current states should call for, the states which have already done a bid maybe some brownfield or some additional from those, but the states which have not may come back 1 year or 2 years from now, right? So , there is no visibility. Nobody gives out these kind s of guidance , right? You pay it by the year. T

hat is how it works.

Shrinidhi Karlekar: Quite clear. And one last one if I may. So , sir, you are putting up this BESS assembly plant in Pune. Wondering is it for largely captive needs or you plan to service external demand as well?

Sharad Mahendra: See, our captive portfolio is also significant. It is for captive, but the kind of capacity which we have put a 5 GWh per annum, and it takes time to ramp up this capacity. Maybe by second year of operation we should be reaching full capacity. So , we will be open to because the way M NRE has been focusing in terms of ALMM for solar modules and then cells also which is in discussion and also for wind also which is there , so ultimately there is a focus for Make in India even in this area . So, we feel that there will be opportunities even to cater to the requirements of outside also. So, we will be open to both for our captives specifically and also if there is any requirement , then we can cater to the outside requirements.

Moderator: Our next question comes from the line of Aniket Mittal from SBI Mutual Fund . Please go ahead.

Aniket Mittal: Two small questions. One is, while we see the recovery in wind PLF, if I look at the EBITDA number for Mytrah , it is actually fallen on a YoY basis . Given that Mytrah is a wind heavy portfolio , just wanted to understand the reason for that.

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Sharad Mahendra: Can you repeat ? Mytrah , you said that despite the increase in the PLF.

Aniket Mittal: Yes, so when PLFs are higher, Mytrah is a wind heavy portfolio, but the EBITDA number on a YoY basis is actually showing a decline in your presentation.

Pritesh Vinay: By how much ?

Aniket Mittal: I think it is slightly down around 51 crores to 50 crores .

Sharad Mahendra: 5 crores. I will tell you , 5 crores . See, wind speed is better. We have to understand the Mytrah portfolio by design. It is an old portfolio which has machines starting from 850 Kilowatt . So, even with the higher wind speed, they have also demonstrated wind portfolio has performed better. But the amount of benefit of a higher wind speed and higher, what we get in larger machines , whether it is 2.7 or 3 GW as compared to that, the incremental EBITDA from wind portfolio in Mytrah is limited.

But solar, we understand that solar because of the extended monsoon, the solar CUF, in general , has been lower. But if you see H1 , H1 EBITDA of Mytrah if you compare over H1 of last year , when H1 solar was performing well is 1,021 as compared to 892 last year.

Pritesh Vinay: So we did see an improvement.

Sharad Mahendra: It is vert marginal and it is primarily , though solar is only 422 MWs, it is wind dominated, but the impact of solar because of the lower radiation and the extended monsoons, solar in general in the country has not performed well in this quarter. So , that impact is only this minor change

in quarter .

Aniket Mittal: And just on Barmer , there has been a fall in EBITDA in Barmer on a YoY basis .

Pritesh Vinay: So, Barmer , if you recall, Ani ket, the same thing happened last year with Hydro . In regulated return businesses, at the end of 12 years your rate of depreciation changes and correspondingly your capacity charge goes down, right, because debt repayments have happened and all that, right?

So, Barmer completed its 12 years, last year. So , this year onwards there is a step down under the regulatory trajectory of the capacity charge recovery because of the change in the rate of depreciation . You would have seen this in Q1 also compared to Q1 of last year, right? So , this will happen in all four quarters of this year and then this becomes the base for the next year onwards, right.

Aniket Mittal: I think the difference in 1 Q was slightly lower than this.

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Pritesh Vinay: No, so there would be backdowns .

There would be PLF changes . There would be impact of, station heat rates of consumption, all of that . Those plus minuses will happen. But fundamentally , the step changes because of this .

Moderator: Our next question comes from the line of Nikhil Jain from CRISIL . Please go ahead.

Nikhil Jain: My question is with regards to unit economics for battery energy storage system. There is the point number one, what is the current CAPEX per MWh in BESS? So , since we have read in multiple media articles that it has come down from 105 KWh to 55 KWh . So, what is the current cost which we are incurring in India, the landed cost for 1 MWh of BESS ? And the second question is, with regard to the tariffs which we charge for our standalone BESS and storage plus solar tariffs.

Pritesh Vinay: So, I am struggling how to respond to this because when there is a sourcing or a procurement decision , a lot also depends on , A-what is the prevailing price at that point of time, what is your negotiating strategy vis -a-vis multiple suppliers. What kind of framework agreements, if at all, or volume commitments if at all you can give and hence your every player's negotiation ability will be very different. I am afraid there is no one size fits all .

Sharad Mahendra: Yes. And also we have to understand that when you are asking for in terms of when the BESS supply and also in terms of BESS project , saying that this is the tariff , standard tariff is not possible because solar plus BESS which geography it is being put, whether it is a 2 hour discharge or a 4 hour single discharge or 2 hour discharge morning and 2 hour evening .

So, the project is to be designed. The battery container solution is to be designed that way. Apart from that, if my energy plant at what price I am procuring the cell pack. So , there are a lot many factors. So , maybe saying that 110 to 55 or giving any straight line number will not be possible.

There are many variables which need to be closed before arriving at a number.

Pritesh Vinay: And just to complete the second part of the question, it is a competitive bidding process, right?

So, it is like they say, beauty lies in the eyes of the beholder. So , I am sure the prices that are being discovered for the standalone battery energy storage systems where we are now seeing 15 , 20, 25 bidders in a single auction, I am sure for some of those players, those numbers are making sense, right? So , that number is publicly known . So, you know what it is, right ? But it also depends on the risk appetite and the returns .

Sharad Mahendra: Yes, and just to end what Pritesh said that we have been maintaining from the very beginning and is still maintaining very clear our benchmark hurdle rate . Any bid if it is not giving , we are just for the sake of building a portfolio , we are not going to build a portfolio . Mid-to-high-teen IRR is our hurdle rate that has to be maintained . Then only we go ahead.

Nikhil Jain: Sir, just one thing, if you can give us just upper and lower band of the CAPEX per MWh, so because we needed to check whether now whether the tariffs for BESS have been lower than

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PSP or it is still in the similar ranges or PSP is a little cheaper than BESS. So , broadly , your view on this .

Pritesh Vinay: No, I am sorry. We will not be able to do that. Yes, it's a competitive market, and it is not in our interest to speak publicly about these things.

Sharad Mahendra: Nikhil, but what I will suggest is in case you need any discussion, any more information , you can approach our IR team. They will definitely be happy to provide whatever more information or any guidance which needs to be given.

Moderator: The next question comes from the line of Mahesh Patil from ICICI Securities. Please go ahead.

Mahesh Patil: Sir, my question is on our renewable LOAs. So, out of the 2.6 GW that is

still pending for PP As,

can we expect over the next 6 months that is by the end of this year, we will be able to sign those PPAs ? How do you see that?

Sharad Mahendra: See, the thing is, as we discussed some time back also, and I replied to one of the questions that there is a pendency of 40 GW of bids which are L OA issued and PPA pending for signing. So, we cannot give any timeline for this whether it is 3 months, 6 months, 1 year. It is we are just waiting for the right time if the opportunity comes, but without that also we are well on track of our commit, reaching the 30 GW capacity , we are absolutely confident .

So, we don't see , and for us it is the total capacity for which we have received pure solar, which we see as a challenge, is only 900 MWs out of our total 4 GW which is there, which is a mix of many, but total solar, if you see, is 900 MWs of capacity which is pending, which is contracted and not signed.

Mahesh Patil: But have you seen the situation, the overall scenario here , any improvement in that compared to last quarter?

Pritesh Vinay: Sorry, can you repeat that question?

Mahesh Patil: Sir, I was asking, have you seen any improvement in the overall scenario, the situation that was repeated as for delay s in PPA planning last quarter ? Have you seen any improvement over the last, let's say, 4-5 months?

Sharad Mahendra: We are not seeing any specific improvement. It is the same what has been observed in the last 6 months slowdown in signing of PPAs. Ther mal, there is an uptake we all are seeing and also there is more keenness on solar plus battery energy storage both in the C&I segment as well as in the utility segment .

Pritesh Vinay: Operator , that was the time we had . If we can wrap it up , please?

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Moderator: Certainly, sir. We will take that as a last question for today. I now ha nd the conference over to the management for closing comments.

Sharad Mahendra: Thank you, everyone, for being with us today . And from our side, from JSW Energy side, I wish you and all your family members and close ones a very , very happy and prosperous Deepavali and New Year . And thank you once again for being with us.

Moderator: Thank you. On behalf of Motil Oswal, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Jan 2026

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Scrip Code: 533148 Scrip Code: JSWENERGY - EQ

Sub: Transcript of the Results Conference Call held on Friday , 23rd January , 202 6

Ref: Regulation s 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (Listing Regulations)

Dear Madam / Sir ,

Further to our letter s dated 19th January, 2026 and 20th January, 2026 informing about the Results Conference Call scheduled on Friday, 23rd January, 2026, at 7.00 p.m. (IST) , to discuss the Company 's unaudited Standalone and Consolidated Financial Results for the quarter and nine months ended 31st December , 202 5, we wish to inform that pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations , the transcript of the said Results Conference Call is enclosed .

Further , pursuant to Regulation 46 of the Listing Regulations, the transcrip t is available on the website of the Company at <https://www.jswenergy.in/investors/energy/jsw-energy-fy-2025-26-corporate-governance-stock-exchange-releases>

The audio recording is also available on t he website of the Company at <https://www.jswenergy.in/investors/energy/jsw-energy-fy-2025-26-financials-results>

Yours faithfully,

For JSW Energy Limited

Monica Chopra
Company Secretary
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“JSW Energy Limited
Q3 FY '26 Earnings Conference Call ”
January 23, 202 6

MANAGEMENT : MR. SHARAD MAHENDRA – JOINT MANAGING

DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. CHANDRASEKARAN PRABHAKARAN – CHIEF
FINANCIAL OFFICER
MR. BIKASH CHOWDHURY – HEAD INVESTOR
RELATIONS AND ERM

MODERATOR : MR. ANUJ UPADHYAY – INVESTEC CAPITAL SERVICES

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Moderator: Ladies and gentlemen, good day, and welcome to the JSW Energy Q3 FY '26 Earnings Conference Call hosted by Investec Capital Services. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anuj Upadhyay from Investec Capital Services. Thank you, and over to you, sir.

Anuj Upadhyay: Yes. Good evening, everybody. On behalf of Investec Capital, I welcome you all to the conference call of JSW Energy to discuss the Q3 FY '26 Results. We have with us the leadership team of the company, led by Mr. Sharad Mahendra, the Joint MD and CEO; Mr. Chandrasekaran Prabhakaran, CFO; Mr. Bikash Chowdhury, Head IR and ERM.

And with this, I would now like to hand over the call to Mr. Sharad, sir, for his opening remarks and taking the call forward. Over to you, sir.

Sharad Mahendra: Thank you, Anuj. Good evening, everyone, and thank you for joining us today for JSW Energy's Quarter 3 FY '26 Earnings Call. Before we begin our discussion on the results, I would like to wish each of you and your families a very happy new year.

I'm also delighted to warmly welcome our CFO, Chandrasekaran Prabhakaran, who joined us at the beginning of January from JSW Steel. Prabhakaran brings with him over 25 years of rich and diverse experience across corporate finance, accounting and governance gained through senior leadership roles in large listed conglomerates.

He has been associated with the JSW Group since November 2014 and was most recently serving as the Deputy Chief Financial Officer at JSW Steel Limited. His appointment also reflects the Group's strong emphasis on leadership development and internal succession planning.

Prabhakaran will be working closely with me as we continue our journey of strengthening the Company and taking it to new heights together. The third quarter of this fiscal year has witnessed a flattish power demand growth, primarily driven by an unusually long and intense monsoon season and cooler temperature, which reduced the need for cooling and irrigation pump power demand, leading to a muted overall growth.

That said, we firmly believe the long-term demand growth story remains intact, and the current softness is largely a weather-led phenomenon. Encouragingly, power demand growth in December 2025 was robust at 6.5% year on year, driven primarily by strong industrial activity. Even for the first 20 days of January 2026, power demand growth is robust at 6%. For the year-to-date period until December 2025, overall power demand growth stood at a modest 0.5% year on year.

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Another notable trend in last quarter was the all-time high December peak power demand of 241 GW, which also represented the peak power demand for the quarter. To compare, the peak power demand in the corresponding quarter of the previous fiscal stood at a much lower 224 GW.

This underscores the underlying strength of power demand when weather conditions normalize, highlighting the continued structural growth despite near-term volatility. From power sector perspective, bidding momentum during the year has been mixed, reflecting a clear evolution in sector priorities.

There is a growing recognition of the need for reliable and firm power, with thermal capacity increasingly gaining prominence. On the thermal front, bids from various states aggregated 12.8 GW during the first nine months of the current fiscal year, underscoring renewed demand for dependable baseload capacity.

In contrast, renewable energy bidding activity has moderated

with only 10.4 GW for the first nine months of this fiscal. Further, 7.6 GW of storage bids were observed in the first nine months

compared to 1.6 GW of storage bidding in FY25. Additionally, for the first 9 months of the fiscal, about 10 -12 GW of Renewable Generation PPA is estimated to have signed. Overall, the bidding landscape points to a clear transition - from plain -vanilla renewable energy towards a more balanced mix of thermal, storage, and firm power solutions, aligned with the future needs of grid stability and energy security.

Despite this broader moderation in bidding activity, our growth pipeline remains firmly intact. We have already locked in about 18.7 GW of incremental capacity in generation and 29.6 GW hour in storage, which will take our installed capacity beyond our stated target of 30 GW in generation while we are confident of achieving our 40 GW hour in storage by 2030.

During the quarter, the merchant power market remained soft, with day -ahead prices on exchanges declining both sequentially and year -on-year basis. Despite this, our merchant realizations were at 20% premium to the average exchange prices. This was possible due to strategic tying up of various back -to-back short term contracts opportunistically. Further, it is encouraging to note the improvement in the merchant tariffs by about 30% in the first 21 days of January compared to the average tariffs in the previous quarter.

Despite the last quarter's subdued merchant market environment, the impact on our business has remained limited. This resilience reflects the proactive de -risking measures we have implemented over time, including prudent portfolio diversification and disciplined contracting strategies.

Currently, our open capacity stands at approximately 8%, which will further reduce to around 5% from April 1, 2026, following the securing of a 400 MW 25 -year PPA for our Utkal plant with Karnataka discoms. Additionally, we have also signed a 115 MW Short term PPA at Utkal with Assam discom which further reduces our exposure towards merchant markets.

As a result, our portfolio continues to deliver stable and healthy returns, underscoring the strength, resilience, and flexibility of our business model, even in a challenging market

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environment. Now, I would like to share the key highlights of our performance this quarter, during which we have made meaningful progress across several fronts.

Our power sales recorded a strong 65% year -on-year growth in Q3 FY26, increasing from 6.8 billion units to 11.1 billion units. For the nine -month period ended FY26, net generation grew 62% year on year, rising from 24.4 billion units to 39.6 billion units. Notably, long -term PPAs accounted for 82% of total power sales and registered a 63% year -on-year increase in Q3, supported by our disciplined and robust portfolio de -risking strategy.

From a mode -wise perspective, we witnessed improvement across all segments. Our solar and wind portfolio net generation rose by 149% year on year, led by organic capacity additions and contributions from O2 Power. Thermal generation increased by 55% year on year, primarily driven by contributions from KSK and capacity additions at our Utkal plant. Further, Hydro generation grew by 27% year on year versus the national average increase of 13 per cent during the quarter, benefiting from improved hydrology and the contribution from Kutehr.

I would like to reiterate that our quarterly power sales growth of 65% year on year stands out against the broader industry backdrop, which recorded a demand de -growth of 0.1% year on year in Q3 FY26.

Over the past twelve months, we have added 5.2 GW of capacity, comprising 3.1 GW of renewables and 2.1 GW of thermal, which has been a key driver of our year -on-year EBITDA growth. This expansion includes inorganic capacity additions of 1.5 GW in renewables and 1.8 GW in thermal, further strengthening the scale and resilience of our portfolio.

During the quarter, we added 125 MW of new capacity, in renewables, including hybrid projects, taking our total installed capacity to 13.3 GW. Our capacity additions represents a significant year-on-year growth of approximately 64%, up from 8.1 GW in the same period last year. Building on this robustness, we have been equally deliberate in shaping the quality of our capacity mix. On the capacity front, approximately 3.3 GW which forms around 25% of our current installed capacity is secured with high -quality Group Captive and C&I customers. As we scale beyond 30 GW, this is expected to further increase to approximately 5.7 GW. Importantly, these capacities are contracted at highly remunerative tariffs - with renewables tied up at a high blended average tariff of over ₹3.65 per unit.

Turning to our recent capacity additions, I am pleased to share that the Kutehr plant has now fully stabilised and generated about 130 million units during the quarter.

We have also continued to remain at the forefront of innovation. During the quarter, we successfully commissioned India's largest green hydrogen plant at our Vijayanagar location, with a capacity of 3,800 tonnes of Green Hydrogen per annum, marking a significant milestone in the Group's decarbonisation journey. Many of you may have had the opportunity to visit this facility during the Green Hydrogen plant visit conducted earlier this month, and see firsthand

the progress we are making in this emerging area .

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I am pleased to share that, as a reflection of our strong green focus and long -term commitment to carbon neutrality, our expanding renewable portfolio enabled us to avoid approximately 14 - 15 million tonnes of CO₂ emissions in the first nine months of this fiscal alone, based on the prevailing Indian grid emission factor.

Another important milestone during the quarter was the preferential allotment of equity shares to the promoter group, involving a capital infusion of ₹3,000 crore, comprising ₹500 crore through equity and ₹2,500 crore through warrants, which will convert into equity over the next 18 months or earlier. In addition, consistent with last year, we have also received Shareholder's approval for a potential issuance of up to ₹10,000 crore through a Qualified Institutional Placement.

On the inorganic growth front, the acquisitions announced in the previous quarter -Tidong Hydro Power and GE Power India's Boiler Manufacturing division are progressing well. We expect to complete these transactions at the earliest, subject to the completion of customary processes and approvals. Further, we have also received the NCLT approval in relation to the Resolution Plan submitted by the Company for Raigarh Champa Rail Infrastructure Private Limited, which provides rail infrastructure to our KSK plant.

Further, I am also happy share couple of important strategic development post the quarter, on the thermal front.

We have placed an order for two ultra super critical steam turbine generators of 800 MW each for our Salboni Thermal Project in West Bengal, with Toshiba JSW. The turbine -generator package will be manufactured and delivered in line with the project's construction schedule, enabling timely completion and commissioning of the plant.

By sourcing critical equipment through our associate company, we are strengthening supply -chain certainty, improving coordination during execution, and mitigating risks arising from industry -wide equipment constraints. This contract represents a strategic step in enhancing supply -chain control and ensuring execution certainty for the Salboni project.

Further, at Salboni location, I am pleased to announce the signing of our second 1,600 MW PPA with West Bengal Discom for a second thermal power project at Salboni, in

creasing our total capacity at the site to 3,200 MW. This makes Salboni our largest single -location asset. The project benefits from its strategic proximity to coal blocks, as well as synergies with the existing 1,600 MW unit under construction, driving significant operational efficiencies. With this, our secured thermal capacity stands at 10.7 GW and locked -in capacity at 32.1 GW, providing ample visibility to our ambitious 2030 target.

Moving on to the financial performance, which I'm sure most of you have had an opportunity to look at already.

Revenue for third quarter increased by 61% year on year to about ₹4,255 crores, in line with the robust growth in capacity and generation. Correspondingly, EBITDA increased by 98% year on year to ₹2,202 crores for the quarter.

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With the continued capitalization of newer assets on the balance sheet, interest and depreciation were higher on a commensurate basis. Depreciation more than doubled and Interest cost jumped by almost 2.6 times on a year on year basis in Q3FY26.

The Company has recognized a Deferred Tax Asset and thereafter Profit after tax is up 150% to ₹420 Crores in the quarter. More importantly, our cash profits increased by 12% year on year to about ₹570 crores.

On the deferred taxes - JSW Energy (Utkal) has entered into a 25 -year Power Purchase Agreement with Karnataka DISCOMs for the supply of 400 MW of power commencing April 1, 2026. In view of the reasonable certainty of sufficient future taxable profits from this PPA, the Company has recognized a Deferred Tax Asset of ₹557 crore on carried forward business losses and un -absorbed depreciation. Further, on our KSK asset as well, there was a deferred tax recognition of ₹189 crore this quarter, related to carried forward business losses and unabsorbed depreciation.

Further to the above, in alignment with the changes in the labour codes recently, we have also provided for ₹65 Crores in relation to this, which is one -off provision in nature.

Turning to leverage, net debt at the end of the quarter stood at ₹63,771 crores, up from ₹61,960 crores as on September 30, 2025. Excluding Capital Work in progress debt, the pro forma

leverage ratio stands at approximately 4.9x. The net leverage is expected to come down upon full receipt of the recently completed preferential allotment proceeds. Further, our Liquidity remains strong, supported by cash and cash equivalents of over ₹7,100 crores.

On the cost of debt, as guided earlier and in line with the recent rate cuts, we continue to see a sustained reduction in the weighted average interest rate. During the quarter, our cost of debt declined by about 11 basis points quarter on quarter from 8.79% to 8.68%. We expect this declining interest cost trend to continue as and when our bank loans undergo their interest resets. Cash returns on net worth, after adjusting for our investment in JSW Steel shares, remain robust at approximately 19–20% - you may kindly refer to the slide number 14.

Finally, on receivables, total receivables at the end of December stood at approximately ₹3,000 crores, translating to debtor days of 73 days, which is a sharp reduction versus the 96 days which we witnessed in the corresponding quarter of the last fiscal.

The key takeaway is that the robust capacity additions undertaken so far have now begun translating into higher energy generation as well as cash flows, and we expect this momentum to improve, going forward.

With this, I conclude my opening remarks, and we can now open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from the line of Sumit Kishore from Axis Capital.

Sumit Kishore: My first question is in relation to the Salboni project. Could you outline the PPA details for the first 1,600 MW as well as the subsequent

1,600 MW PPA that you have entered with West

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Bengal? What is the likely capex phase out for this mega project? And how do you -- how are you looking to phase out commissioning of the units?

Sharad Mahendra: Sumit, thank you very much. The PPA timelines, which are there is from the date of notice to proceed. It's 48 months for the first unit of first phase and second unit after another 6 months, that is 54 months. So all the planning is within the same timelines. We will definitely be completing the Phase 1 within the PPA timelines, which are there.

So that we are sure because we have -- our supply chain in terms of boiler, turbine and generator, which is a challenge which country is seeing, as I said in my remarks also, that is all under control. So this is what we wanted to show.

And also in terms of the capex - we will be announcing, but yes, you can benchmark - whatever we have said in the domain is that the Phase 1 about ₹16,000 crores of investment for 2 *800 MW which we have announced earlier, so we'll be around that number only.

Sumit Kishore: Okay. And what would be the tariff arrangement here, what fixed, variable, and what are the details?

Sharad Mahendra: See, there are two bids. For the first bid the tariff is in the range of ₹3.65, which we have already announced. And the second ₹4.06. This is a fixed charge only. ₹3.6 for Phase 1 and ₹4.06 for Phase 2. Fuel is pass-through.

Sumit Kishore: Fuel is pass-through at what heat rate?

Sharad Mahendra: Those things -- those details, we will provide you, but that is as per the guideline, which is there, which is 2350 heat rate.

Bikash Chowdhury: Sumit, this is Bikash here. We will be happy to connect with you on this, if you want a detailed discussion, we can give a detailed presentation and connect with you.

Sumit Kishore: Okay, Bikash. My second question is on -- you had targeted in the second half of the year to commission about 1.5 GW, if I recollect. And broader question is that given the grid constraints for this financial year now on an organic basis, how much RE capacity, would you be able to close the year by?

And for the next financial year, you have a sizable under construction portfolio. So given grid constraints and other challenges, what is doable in FY '27 on an organic basis?

And just to close this question, if you could also there's a big ramp-up in capex that we are expecting to see in the coming financial year. So broadly, on an organic basis, your capex this year and the next financial year, how are you thinking about it?

Sharad Mahendra: Yes. See, Sumit, one is that, as we have said earlier, you rightly said that 1.5 GW of fresh capacity addition during H2 of current fiscal, out of which 125 MW we have commissioned during quarter 3. So we are well on track. And in the current quarter, the capacity additions, which are going to take place, we will be meeting the guidance what we have given for 1.5 GW in second half of current fiscal.

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And for which grid connectivity and land, everything, these projects are at advanced stage.

Second, for next year, whatever plans we are having, we'll be definitely giving the numbers later. We are in the process of finalizing our next year plans, but of course, keeping in mind the connectivity availability and land, as I've been saying, for quite some time, we are absolutely insulated for next 1 year to 2 years from connectivity challenge.

Reason is two steps what we took has secured us from this uncertainty which the country is facing is one is that we have majority of our projects coming next 2 years are STU instead of ISTS. These are intrastate and STU connectivity is available. And second is the O2 acquisition, all capacities which are going to come under that, 100% of the connectivity is available with us to reach the capacity of 4.7 GW.

And beyond that, we have to do, there is additional capacity connectivity is available beyond 4.7 GW in O2 also. So these are the factors, which gives us almost certainty that we will not be facing any challenge on these factors. Regarding the capex numbers, as and when we finalize our plan for next year—which we will be doing shortly—we will definitely make the announcement at the right time.

Sumit Kishore: Given connectivity challenges can get commissioned by, say, FY '28 end or so?

Sharad Mahendra: See, yes, FY '27 and FY '28, more or less whatever plans we have to reach our 30 GW by 2030, we are on track. And till FY '28, we have absolute clarity of the connectivity also and we will be commissioning as per the PPA because majority of our capacity, the PPAs have been signed, so we are on track to complete everything within the PPA time lines.

Sumit Kishore: Excellent. I'll get back in the queue, thank you and wish you all the best.

Moderator: Our next question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Sir, first question related to the PPA, which you tied for in Utkal with Karnataka. I think it's 400 MW -- is 400 -MW net capacity, the first subsidiary question. And second is, is it possible to help with the fixed tariff of this particular PPA?

Sharad Mahendra: Okay. See, this 400 MW is the net capacity, one. And this is a tariff at ₹5.8 at my plant bus.

Mohit Kumar: And the fixed tariff, sir, of this?

Sharad Mahendra: No, no, this is a fixed tariff of ₹5.8. Of course, scalable, but this ₹5.8 tariff is the year 1 tariff, which we are going to get from Karnataka. It is a single tariff. It is fixed plus variable, single tariff bidding, which is there.

Mohit Kumar: For 25 years, is that correct?

Sharad Mahendra: Yes.

Mohit Kumar: Understood, sir. My second question is on the Salboni. Of course, you've already given the order for the turbine generator. But for the boiler for 3.2 GW, what is the plan? Are we giving it to the GE facility which you acquired or it only source the source fuel component?

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Sharad Mahendra: See, yes, as we have announced earlier, the GE boiler manufacturing plant in Durgapur which we are in the process of acquiring, and we expect the process to be completed and the plant to be fully with us by June or July of '26.

So we will be making these boilers for our captive requirement in Durgapur only, which has a capacity of almost about 1.5 boilers of 800 -MW -- 1.5 boiler equivalent material to manufacture. And as and when required, we will increase the capacity also there. So we will be manufacturing our own requirement from Durgapur boiler unit only.

Mohit Kumar: Understood. My last question is, sir, what is the progress on conversion of our LOA into PPA?

Of course, we have a good pipeline of PPA, but still some of the LOAs on the RE side have been there for quite some time. So what is the kind of conversation happening with the counterparties?

Sharad Mahendra: Yes. See, if you see that our total capacity, which is there logged in, it's 12.6 GW of capacity, which is already contracted, already PPA signed, in the RE front, I'm talking.

Mohit Kumar: Yes, sir. My question was more about the pipeline of LOA, which is lying with us for quite some time?

Sharad Mahendra: Yes, that is about -- see, there is a total capacity, which is there is about 4.5 GW for which there are dependencies. And some we are expecting shortly to get signed and others, we are waiting, but keeping in mind that our contracted capacity and the PPA signed capacity, the gap is such that we are absolutely certain, the 30 GW number what we are telling by 2030, that is on track.

Bikash Chowdhury: So Mohit, just to add on what sir mentioned - with our current operational capacity and the projects under construction, we are already at 27.5 GW. In addition

, we have a pipeline of 4.5

GW, and the details of that pipeline are already available. There are lots of capacity like this, which is pending closure. So as and when they close out, we will let you know. And we are more than certain that we'll reach 30 GW by 2030.

Moderator: Our next question is from the line of Rajesh Majumdar from 360 ONE Capital.

Rajesh Majumdar: Yes. So in line with the questioning earlier, I had a question on the overall quantum of bidding,

while you're saying locked-in contracts is fine. But do you foresee a reduction in the total bidding space, particularly in the renewable space next year in terms of the overall market size, in which case, keeping our market share around the same, the level of additions will be limited to about 2.5 to 3 GWs per annum barring the locked-in capacity. Is that a fair assumption?

Sharad Mahendra: I think, yes, see, there are -- we have to understand that there are 2, 3 challenges, which are being faced. If you see, current year, the capacity with greenfield, as I announced, is extremely low in terms of the bidding which has taken place in the first 9 months. The unsigned PPAs, which are there close to 40 GWs of bids where the PPA signing is pending, so that is also slowing down the fresh bidding.

Second, the uncertainty is in terms of the connectivities, like we are seeing a very good greenfield capacity addition in the current year in the RE space. But will the same numbers continue for next 2, 3 years is a challenge because now from FY '27, we are seeing that the challenge of getting the fresh connectivities will be one of the major bottleneck which is going

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to be there. So all these factors put together, we definitely see that there will be a moderation in the bidding which we have been seeing till last fiscal, and this is likely to continue.

Rajesh Majumdar: But even with that, you are saying you will be -- your assumptions assume around 4 GW additions per annum. So that is you still think?

Sharad Mahendra: As I told you, you see our present operating capacity, we are ending the year maybe in the range of whatever I say, 14.5, 15 GW and then another about 12 to 13 GW capacity already tied up.

Bikash Chowdhury: And just to add - the Salboni project of 3,200 MW will come up in 2030 and '31. So it will materialize more towards the end, So it's not the capacity divided by a number of years is what we are trying to say.

Rajesh Majumdar: Yes. I understand that. My second question is, sir, on the KSK Mahanadi, what is the impact of the tariff reduction on the overall EBITDA per annum? And related question is -- in 3Q we are seeing a 30% drop in the stand-alone revenues, is that a reflection of that or is something else?

Sharad Mahendra: No. See, the reduction in revenue needs to be understood in the context of extreme weather conditions. There have been reserve shutdowns and backdowns from the states -- particularly from Uttar Pradesh -- which have led to lower revenue and generation. However, it is important to note that this is a fully tied-up capacity.

My plant availability is there, so this is not going to have any significant impact for us. Based on plant availability, we will continue to receive our fixed charges, and we are absolutely certain that this will not be a challenge. You asked one more question?

Rajesh Majumdar: KSK, tariff reduction. The tariff reduction.

Sharad Mahendra: Tariff reduction. Okay. There will be, of course, going forward in FY '27 as per the PPA terms, there will be a tariff reduction of close to about ₹1.25 from one of the DISCOMs, so that will definitely have some impact, but operational efficiencies, as I've said earlier, during the year, we have been building up a lot of operational efficiencies and which have come during the year and kept on coming, so that will give us annualized benefit next year.

To some extent, we will be definitely reducing the impact of this tariff reduction from that side. And also the sale of the reserve shutdowns and backdowns from the plants which we have started. So that we are expecting that the impact on the overall EBITDA will be there, but it will be minimal.

Rajesh Majumdar: What portion of total capacity is impacted by the tariff reduction out of 1,800 MW?

Sharad Mahendra: What capacity? 1,000 MWs, which is tied up with UP.

Rajesh Majumdar: Right, sir. And my last question is when do we see the first tranche of capital coming into the company and kind of -- and also, do you think that with the promoter stake coming in, there is a chance of credit rating improvement in our debt? Yes. That's the last question.

Sharad Mahendra: See, the thing is, as I have said, maybe you will see the numbers in December closing, we have sufficient cash flow, free cash with us to take care of our going forward capex which is required

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in the funds which are required. But as I told you that the capacity whatever capacity addition plans once we finalize for next year, capital requirement, we have the enabling approval to go for the fundraise.

As and when during the year, if we feel, definitely, we will be going. But right now, we are comfortable. And because we have got the promoter equity infusion part of that already, which will take us there.

And definitely, we expect -- just as the market does -- that the Promoter increasing their stake at current levels is a positive signal. This is being viewed favourably both by the market and by

the rating agencies

Bikash Chowdhury: And to add on to the rating part, our rating of AA is among the best in the sector. But I really appreciate your point that we will also take it to the rating agencies and upgrade it for our benefit.

Thank you very much for this idea.

Moderator: Our next question is from the line of Apoorva Bahadur from IIFL Capital.

Apoorva Bahadur: Sir, I was just curious about the Utkal PPA. You said that it was a single part -- single tariff bid. Just wanted to know in case there is a back down for the plant, how do we get paid? As in, will the state pay the entire ₹5.8 tariff or?

Sharad Mahendra: Yes. So as I told you, this is the exact tariff is ₹5.78, out of which, the fixed part is ₹4.04 and ₹1.74 variable cost. And if the plant availability is there as per the PPA, my fixed cost is assured.

Apoorva Bahadur: Okay. Understood, sir. Sure. The other thing, sir, on Salboni, the tariff for Phase 2 is -- the fixed tariff is around, what, ₹0.40 higher than Phase 1.

Sharad Mahendra: Yes, yes.

Apoorva Bahadur: In my understanding, typically, if the plant is larger, there could be utilities, which are -- which is the commonality of utilities and typically, the capex per unit or per MW goes down. So what precipitated this rise in tariffs and was the state okay with it?

Sharad Mahendra: Yes, we have to realize -- that the first phase of my Salboni project was a year back when the tariff was discovered, the fixed cost. After that, if you see all the bids which have happened have happened even at a higher price.

The state is seeing that what is the total cost, and this is still one of the lowest tariffs state is seeing this as 4 into 800. Blended, if you see, it becomes a significantly attractive tariff as compared to the almost 12 GW of bidding which has happened during last 1 year.

In thermal space, this is one of the most attractive tariffs. So state is absolutely comfortable and regulatory approval also is in place keeping in mind what has prevailed. We need to know what has happened in other bids in Assam, whether it is Bihar or whether it is MP, you see the states. So this is a very good tariff which has been discovered.

Apoorva Bahadur: Understood. Sir, I see your presentation, I believe the BESS containerization and

cell assembly

plant is about to get commissioned. We have certain BESS PPAs as well, which we need to

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execute. So will we be importing the cells and converting it and containerizing it at our facility for these PPAs?

Sharad Mahendra: Yes, exactly. Yes, we are doing that only.

Apoorva Bahadur: Okay. And have we placed the orders for the cells yet?

Sharad Mahendra: Yes, we have placed for some and the materials will start coming because the trial production plant is stabilized. We have submitted our product for necessary approvals, which we expect by March end or early April the approvals to be in place. But by the time, we will start the production sometime in February -- between February -March.

Apoorva Bahadur: Sir, can you share how much of cell capacity or cell import orders that you placed?

Sharad Mahendra: Exact number, I will get back to you, I'll let you know. But yes, we understand this, and we have already done the necessary sensitivity analysis. I understand where this concern is coming from, given the northward movement in prices. We have been fully aware of this trend, and accordingly, we have taken the necessary steps at the right time.

Moderator: Our next question is from the line of Satyadeep Jain from Ambit Capital.

Satyadeep Jain: Just wanted to check on RE contracted capacity in the PPA. In the PPA just specifically, can you give an update on FDRE IV, what is happening there?

Sharad Mahendra: That battery thing. See, we are waiting for the regulatory approval for the FDRE. We have received the letter. We're waiting for regulatory approval. That is the state. There is no further communication to us from Rajasthan on this.

Satyadeep Jain: There is no communication on cancellation or anything as of...

Sharad Mahendra: PPA has been signed. We are waiting for the regulatory approval. That's all. Nothing else.

Satyadeep Jain: That I know. But the FERC approval is still pending, right?

Sharad Mahendra: Yes.

Satyadeep Jain: And I just want to understand on the NEP also. The government has been focusing a lot on distribution side. I know historically, that is one area that you're not focused on. Is there -- anything -- are you incrementally looking at that at all or is that a no-go zone for you?

Sharad Mahendra: Nothing is no-go for us. We continue to evaluate opportunities as the sector evolves. Now we see a lot of tailwinds in this area also. We are actively assessing various options and closely tracking developments -- for example, the privatization process underway in Uttar Pradesh. We are monitoring all such opportunities, and while we will come forward with a concrete plan at the appropriate time.

Satyadeep Jain: Just confirming, you have evaluated -- you'll take a decision later on, but you have evaluated all the privatization opportunities?

Sharad Mahendra: Yes, we are in the process because efficient capital allocation is also important consideration – That influences how we prioritize opportunities and decide when to move forward or when to step back.

Satyadeep Jain: Okay. And on the DSM, just wanted to -- given you also have a very wind-heavy portfolio, have you -- you also obviously commented on that proposal for DSM. I just wanted to understand the government is also talking about DSM being at par with thermal by 2030. What is the implication basis the historical schedule generation you've analysed on your portfolio from DSM tightening?

Sharad Mahendra: See, this is an industry-wide issue we have to understand. So as an industry, we are -- definitely, we have taken up and the losses which are there at the industry level because of this is something the pooling and other various other options, which are -- as an industry, we have taken up and wind association is also actively working on these DSM se

tlement mechanism.

It would be relaxed is what we feel, let us wait for some more time on this. But yes, industry has taken this up with the Ministry.

Moderator: Our next question is from the line of Nikhil from UTI Mutual Fund.

Nikhil: Yes. Just I have a couple of questions. So we have seen a lot of renewable generation getting curtailed in the quarter wanted to understand how much was the impact of it on our financials?

Sharad Mahendra: See, the curtailment, which is there, we have to understand that, again, because of the evacuation constraints and especially being witnessed majorly in the state of Rajasthan. So what is happening, there are 2 types of curtailments. One is against the G&A, which is there, that I have the grid connectivity and still the curtailment is there for the grid stability point.

And financially, I'm protected because I'm getting the full cost full -- as per the tariff, I'm getting that. A part of our -- a small part of the capacity, which came up early and the connectivity is maybe a few months ahead, we have got the TG&A, which is a temporary connectivity.

As and when there is a pressure on the grid, this temporary grid connected -- connectivity gets curtailed wherein there is a financial impact. So our portion is significantly small as compared to the large capacity which we operate.

So -- the impact on us is negligible right now. And the positive which has happened, just maybe a week or 10 days back, the new evacuation this connectivity has got started. With this, the curtailment has significantly reduced, which has benefited us also from the temporary grid-connected portfolio.

Nikhil: Understood. And sir, any understanding also why the wind PLF have been lower because industry-wide, they are a bit better than what we have reported at 16%.

Sharad Mahendra: See, the thing is we have to understand the wind portfolio if we see asset to asset. Our wind PLF in fact, has been one of the best and significantly higher than what it was last year. We have to remember that a large portion of my acquired capacity of Myt rah, which is from 850-kilowatt machine to maybe 2, 2.3 MW of machines. So there, the PLFs are low.

Those are low PLFs by design, which all was considered at the time of acquisition, the valuation was done accordingly. So when on a blended basis you see, our PLF on a blended basis may look lower, but on all the fresh capacities which we are commissioning, there the PLF are in line or slightly better than what is there in the country. And going forward, as and when the new capacity is get added, with the newer portfolio percentage of wind increasing in the overall, our overall PLF will also improve.

Nikhil: Understood. Sir, final question on the thermal bid. I mean at 4, I mean, the returns that you'll make are very good. So any understanding as to how big can we look at our thermal portfolio, say, 5, 6 years down the line?

Sharad Mahendra: See, right now, if you see that the thermal portfolio has a time period of maybe 48 to 54, 60 months to complete the project, the greenfield project. So right now, what we are seeing is that 4 * 800 MW we have in Salboni, which we are absolutely working on. In addition to that, at KSK when we acquired, another 3 * 600 work, which is already on, is one capex because -- balance of plant was fully ready, parts work of other 3 units were done.

So this will be completing additional capacity of 1.8 GW at KSK will be coming at a much lower specific cost, capex as compared to a greenfield and tariffs, as you rightly said, what are prevailing in the market. So we are, right now, next 5 to 6 years, seeing Salboni coming in, KSK addition and maybe if any other good opportunity is there, we'll be open.

Nikhil: Okay. We have started capex on the additional 1.8 GW at KSK?

Sharad Mahendra: Yes, we have started fo

r the fourth unit, which was already 30% to 40% complete when we acquired. And also -- some of the material, which was lying in the port, which we have been able to get after the NCLT order, we have placed the orders and enabling work has started. And now very soon, the entire work will start. And we expect in about 3 years' time, we should be in a position to commission this.

Nikhil: Commission 1 unit or the 3 units?

Sharad Mahendra: 4th unit and then subsequently every 3 to 6 months the balance 2 units also.

Moderator: Our next question comes from the line of Atul Tiwari from JPMorgan.

Atul Tiwari: Sir, my question is on industry. So you mentioned that in the first 9 months, we have seen about 12 GWs of thermal bids from states. So to your mind how much more can happen over the next 1 or 2 years from the state? Are we looking at a similar number, higher numbers? And what can be your share potentially for the new thermal projects?

Sharad Mahendra: Yes. See, the Government of India has announced 97 GW of capacity addition, fresh capacity commissioning by 2034 -- '32 to '34 period. So in line with that, whatever the pipeline is and balance, so we see some bids, fresh bids definitely will be coming. Some of the states have already given their indication that they are preparing for the bidding. So we expect maybe giving an exact number will be difficult. But yes, definitely, there will be some fresh bids we expect, at least for next 1.5 to 2 years in thermal space will be coming. Regarding us. As I told you that we are absolutely full till 2031, '32, but yes, any attractive opportunity with the sufficient timelines and efficient capital allocation, we will be exploring all the possibilities and decide. Because JSW Energy Limited

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now we are secured from the material supply point of view, supply chain security with the acquisition of GE boiler plant and placing the Toshiba into -- with Toshiba JSW. So we are secured in terms of the suppliers of BTG, which has been a big constraint for the industry. So we will be evaluating the opportunities as and when the future bids come.

Atul Tiwari: And sir, my second question is on its consolidated PBT or PAT number, excluding the deferred tax sales. So obviously, your capacity growth has been quite strong and generation and cash flows are good. But your PBT has been under pressure because of depreciation and interest costs down in second quarter, I believe, and this year, it's a loss. So I mean, how do you think about those dynamics as you further ramp up capex and capacity over the next 1, 2 years?

Asking because it does impact your reported ROEs post depreciation, etc. So is that a target in your calculation at all to get the reported ROEs to a 13%, 14%, 15% kind of number or you are okay to continue at a very suppressed PBT level?

Sharad Mahendra: Yes. I'll request Mr. Prabhakaran to just reply to your question.

C. Prabhakaran: So currently, we are end up adding capacities. Initially, what happens is that as you add capacities, initially, I think if you look at the returns, it is kind of at a lower rate. And overall, once the interest and depreciation starts coming down, that is the time in which basically you will find the returns at a PBT level.

So considering that, since we are in the kind of phase where we are in the execution phase, the next 2, 3 years, we'll have -- and this quarter specifically, we will have anyway a lower PLF, both for wind and solar. So that's a seasonal one. But as and when, we kind of stabilize, I think this should kind of even out.

Bikash Chowdhury: And to add to what Prabhakaran said, we have about 5.2 GW of capacity, which is wind and hydro, right? So that on the third quarter is always muted. So we should actually look at it from -- on a year basis than just looking at 1 quarter.

Moderator: Ladies and gentlemen, we will take that as a last question.

I would now like to hand the

conference over to the management for closing comments. Over to you, sir.

Sharad Mahendra: Thank you, everyone, and thanks for being with us today. And again, wish you a very, very happy 2026 and look forward, again, meeting you all. Thank you very much.

Moderator: Thank you. On behalf of Investec Capital Services, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2026

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Sub: Transcript of the Results Conference Call held on Monday, 11th May 2026

Ref: Regulations 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (Listing Regulations)

Dear Madam / Sir,

Further to our letter dated 5th May 2026 informing about the Results Conference Call scheduled on Monday, 11th May 2026, at 4.00 p.m. (IST), to discuss the Company's audited Standalone and Consolidated Financial Results for the quarter and year ended 31st March 2026, we wish to inform that pursuant to Regulation 30(6) read with Part A of Schedule III of the Listing Regulations, the transcript of the said Results Conference Call is enclosed.

Further, pursuant to Regulation 46 of the Listing Regulations, the transcript is available on the website of the Company at <https://www.jswenergy.in/investors/energy/jsw-energy-fy-2025-26-corporate-governance-stock-exchange-releases>

The audio recording is also available on the website of the Company at <https://www.jswenergy.in/investors/energy/jsw-energy-fy-2025-26-financials-results>

Yours faithfully,

For JSW Energy Limited

Monica Chopra
Company Secretary

"JSW Energy Limited
Q4 FY '26 Earnings Conference Call "
May 11, 2026

MANAGEMENT : MR. SHARAD MAHENDRA – JOINT MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER

MR. CHANDRASEKARAN PRABHAKARAN – CHIEF FINANCIAL OFFICER

MR. BIKASH CHOWDHURY – HEAD INVESTOR RELATIONS AND ERM

MODERATOR : MR. VISHAL PERIWAL – PL CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to JSW Energy Q4 FY26 Post Result Earnings Call hosted by PL Capital. As a reminder, all participant lines will be in the 'listen -only' mode and there will be an opportunity for you to ask questions after the presentation concludes. I now hand the conference over to Mr. Vishal Periwai from PL Capital. Thank you and over to you, Mr. Periwai.

Mr. Vishal Periwai : Yeah, thanks, Michelle. Good afternoon, everyone. So, I welcome you all for the Q4 Earnings Call of JSW Energy. Today, we have leadership team of JSW Energy with us led by –

- Mr. Sharad Mahendra - Joint MD and CEO
- Mr. Chandrasekaran Prabhakaran - CFO and
- Mr. Bikash Chowdhury - Head Investor Relations and ERM.

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I would like to thank the management for giving PL Capital the opportunity to host the call. And now I am giving the speaker to Sharad Sir for the brief from him and then we will have a line open for Q&A. Over to you, Sir.

Mr. Sharad Mahendra : Thank you Vishal. Good evening and thank you all for joining us today. It is my pleasure to share the highlights of our performance for the quarter and the year gone by. FY2026 has been an exciting year where we began to translate the bold ambitions of our Strategy 3.0 into hard business outcomes. During financial year 2026, we increased our installed capacity by 2.6 GW to 13.45 GW, with generation growing commensurately by 58 per cent year -on-year. The company reported its highest -ever annual EBITDA of ₹11,041 crore in FY 2026.

Before I delve into our performance, I would like to share some sector observations. India's power sector continued its structural transformation in FY2026, though demand dynamics were different from what we saw in recent years. Total power demand for the country grew modestly at 0.9 per cent in FY2026 - the most muted growth in last five years - driven by an extended monsoon season that weighed on consumption through the first half of the year. However, from Q4 FY26 onwards we saw a fair power demand recovery, with demand growth rebounding to 2.2% in Q4. In FY27, so far, the YTD demand growth remains healthy at a growth of 4.6% YoY.

Overall, the seasonal softness that we have seen in the first half of FY 26, does not, in our view, alter the medium -term structural demand story in any way. India's growing industrialization, urbanization, and rising per capita consumption continue to underpin a 5 -6% CAGR in power demand over long term. Peak demand, on 25th April'26, reached 256 GW, and with the summer of 2026 now commenced and expected to be severe, the system is positioning to handle a new peak of approximately 270 GW - higher than the 250 GW record seen in May 2024.

On the supply side, India added 64.9 GW of new capacity during the fiscal year, of which renewable energy accounted for 50.9 GW, translating to 78% of total capacity additions. Non -fossil sources have crossed 50 per cent of total installed capacity for the first time in FY26 - a landmark moment for the sector. The ongoing West Asia crisis has further reinforced the need of energy self -reliance for India. India's coal reserves insulate us from crude volatility - an advantage the country is actively leveraging. Structural shifts toward induction heating and EVs are

expanding electricity demand, while data centres are also expected to anchor the long-term offtake in India.

The merchant market remained soft through most of FY2026, averaging approximately ₹3.86 per unit on exchanges, reflecting muted demand. Despite this, in line with what we have maintained, our FY26 merchant realizations commanded approximately 20% plus premium to average exchange prices, driven primarily by strategically executed back-to-back short-term contracts. We are already seeing tariffs firm up in FY2027 as summer cooling demand builds. As mentioned earlier, year till date power demand is up by 4.6%.

Coming to company performance - FY2026 has been defined by scale and integration. We have added 2.6 GW of installed capacity during the year, via a calibrated strategy of organic and inorganic route, taking our total operational base to 13.45 GW - making us one of the largest diversified power generation companies in the country. The additions span organic commissioning across wind (240 MW), solar (305 MW), hybrid (451 MW) and hydro (240 MW) assets, and the full integration of all the inorganic acquisitions completed in FY25 and FY26.

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The integration of O2 Power - the 4.7 GW renewable energy platform, that we acquired in April 2025 - has progressed well. O2 Power's operating capacity has grown to approximately 2 GW at the close of FY2026, with active construction underway across the remaining portfolio. Its' asset quality underpinned by diversified geography, long-term PPAs with credible counter parties supported with 100 percent connectivity and majority of the land, and rich tariffs - has met our original underwriting assumptions.

On KSK Mahanadi, our 1,800 MW operational capacity delivered robust performance during the year, driven by synergies post-acquisition. We have been focused on implementing cost efficiencies and improving plant performance, and I am pleased to report that PLF has remained healthy through FY2026, and amongst the top 10 plants in the country, in the first full operational year in our hands. The ramp-up plan for the remaining units of plant is progressing on schedule, with water and rail arrangements firmly in place, post our recent acquisition of KSK's Water and Rail SPVs.

On the organic front, we commissioned 1.2 GW of new capacity during FY2026. Notably, the 240 MW Kutehr hydroelectric project was commissioned in Q2 FY2026 in one of the fastest timelines for a project of its scale, further cementing our position as the largest private IPP in the hydro sector. We also acquired the 150 MW Tidong hydropower plant from Statkraft, which is at an advanced stage of completion. 50MW of this has already been commissioned on 8th May 2026 and balance two units are expected to be commissioned before June'26. This timely commissioning will help us catch the ongoing hydro season, adding meaningfully to the top line and bottom line.

Alongside renewables, thermal power has regained its prominence as reliable baseload, and we made rapid strides on this front as well, during FY2026. Following the signing of the 1,600 MW Salboni PPA in FY2025, we secured an additional 1,600 MW and signed the PPA for the same location, making Salboni our largest single-site asset at 3,200 MW. On the first 1,600 MW project, construction has commenced, and equipment procurement is on schedule. As we have informed, in parallel, we have taken strategic steps to de-risk our thermal supply chain through the strengthening of the Toshiba-JSW joint venture for turbine generators, and the acquisition of GE Power's boiler business, with the latter transaction expected to be consummated within the next two quarters.

Turning to our under-construction portfolio, JSW Energy is currently building 14 GW of generation projects, all of which are fully tied up under long-term Power Purchase Agreements. This high-quality, fully contracted under-construction book gives us strong visibility into future EBITDA. This Fiscal year, we are looking to add about 3 GW capacity and a capex spent of around Rs 20,000 Crores for the year. On our thermal optionality at KSK, we expect the first 600 MW to be commissioned by mid of next fiscal year. Beyond this we have a robust project pipeline of

approximately 4.6 GW where Letters of Intent have been secured. Our total locked-in capacity now stands at 32.1 GW, placing us firmly on track to deliver the 30 GW target of generation by 2030, under Strategy 3.0.

Coming to energy storage - we recognise the critical role it plays in integrating renewable energy and ensuring grid stability. Our locked-in storage capacity now stands at 29.6 GWh, of which 3.2 GWh are in Battery Energy Storage and 26.4 GWh in the remunerative Pumped Hydro space. Further, our 5 GWh battery assembly facility in Pune was commissioned in Q4 FY26, and

the commercial sales

of the battery storage have already commenced. This plant will position us to meet domestic content requirements for BESS as and when mandated by the Government of India. Energy storage is fast becoming a mainstream infrastructure investment, JSW Energy Limited

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and we are well ahead of the market in building this capability. Additionally, our Blade manufacturing facility at Halol, scheduled for commissioning in the first half of FY27, would provide advantage to us in terms of lower capital cost for wind projects due to savings in logistics cost and foreign exchange, thereby strengthening our vertical integration.

Coming to operational performance for the quarter, we have added organic Renewable capacity of 118 MW. Our Net generation for Q4 FY2026 rose by 48% YoY to 11.7 BU, driven by a 68% YoY increase in renewable generation on the back of capacity additions across wind, solar, hydro, and O2 Power assets. Before I move to thermal, I would like to mention about the power curtailment. Regarding the power curtailment, due to evacuation constraints I would like to say that about 160 million units were curtailed for us but a significant portion of this 160 MUs is under permanent recovery. So, we are getting the tariff for the same, thus not impacting our revenue. Only a small portion of this curtailment has resulted in a revenue loss of around ₹16 crores during the quarter and approximately for ₹50 crores during the year gone by. This curtailment, however, is expected to be over by July'26 with the expected commissioning of new evacuation line.

Thermal generation grew 43% YoY to 8.8 BUs, driven primarily by robust off take at our Mahanadi and Utkal plants. Our KSK plant's PLF for Q4FY26 remained robust at 93%. Further, our overall thermal portfolio maintained a healthy PLF of 78% for the quarter and 73% for the full year. Compared to this, the country's average thermal PLFs stood at 68.7% and 65.8%, in Q4 FY26 and FY26 respectively. I would also like to address one operational nuance from the quarter - KSK Mahanadi experienced some PPA back -downs, attributable to a transient demand softness in the region. However, we successfully monetized the backed -down volumes through short -term market sales, mitigating any major revenue impact. This has since normalized with the onset of summer and the consequent surge in demand. The KSK plant, in fact, registered an impressive EBITDA of over Rs. 3,300 Crore in FY26, also driven by fuel cost reduction through optimum sourcing of coal from nearby mines resulting in lower logistics cost, just like we did for our Utkal plant as well. Further, at Utkal, both of our Units are fully operational, and the plant registered a PLF of 75% in Q4 FY26. Driven by full tie -up that we had done earlier, our Vijayanagar plant's PLF also stood robust at 79% in Q4.

With open capacity now at about 5% of our installed base - and a 25 -year, 400 MW PPA for the Utkal plant at ₹5.78 per unit, and another 2 -year 115 MW PPA with Assam discom, with effect from 1st April 2026, the quality of our underlying EBITDA has improved substantially. The predominant share of our remaining open capacity is domestic coal -based, with plants closer to mine, which reduces sensitivity to global coal price volatility and keeps our merchant breakeven economics highly competitive.

Coming to the outlook - FY2027 is expected to be a year of accelerating earnings delivery. The sizeable projects commissioned during FY2026 will stabilize and contribute to full -year EBITDA, driving a meaningful step -up in our financial performance. India's power demand recovery - with the government projecting peak demand

and of 270 GW this summer and medium -term CAGR of 5% to 6% - provides a strong tailwind for our growing portfolio and remain fully on track towards our FY2030 targets of 30 GW of generation capacity and 40 GWh of energy storage.

We remain committed to disciplined capital allocation - every investment must meet our mid -teen return thresholds, and our balance sheet management continues to be guided by our leverage guardrails. While Net Debt has risen, as expected, during this phase of accelerated investment, the quality and our contracts on our growing JSW Energy Limited

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asset base means that free cash generation will improve progressively, supporting deleveraging on a path towards our 2030 Net Debt to EBITDA target of approximately 5 to 5.5x.

Finally, and equally important - on the people's front, we are proud to retain our Great Place to Work certification, a recognition that our culture and people's practices continue to keep pace with our growing scale. We have been rated amongst the Top 25 Best Workplaces in the manufacturing sector. Moving to our financial performance for the quarter - details that most of you have had the opportunity to review ahead of this call.

Revenue for Q4 FY26 grew 39% YoY to approximately **■4,851** crores, a trajectory firmly anchored in the robust expansion of our generation capacity. EBITDA followed suit, rising 72% YoY to **■2,602** crores – resulting in an all time high annual EBITDA for the Co mpany during FY26.As our newer assets continue to be capitalized on the balance sheet, depreciation and interest costs have risen commensurately. Depreciation grew almost 1.7x during the Q4 on a year -on-year basis, while interest costs increased approximat ely 2.4 times - both consistent with the scale of capital deployment underway.

On the bottom line, our Profit After Tax came in at **■574** crores, up 38% year -on-year and PAT to shareholders stood at **■308** crores. As you may know, we have already serviced a notice to exercise our call option in KSK Mahanadi to acquire the balance 26% sta ke, the minority outflow should materially reduce once we consummate the same. Further, our Cash Profit to the shareholders for the quarter remains robust at **■635** crores.

On the leverage, excluding Capital Work -in-Progress debt, our Net Debt to EBITDA stands at approximately 5.2x, well within our financial guard rails. Our, liquidity remains ample, with cash and cash equivalents in excess of **■10,000** crores. Out of the **■3,00 0** crores preferential allotment that we have done recently, **■1,125** crores has been received in Q4.

On the cost of capital: consistent with our earlier guidance, our weighted average cost of debt declined by approximately 67 basis points year -on-year - to 8.36% as of March 2026. This reflects our healthy credit profile and the sustained confidence our le nders and Rating agencies placed in us.Further, Our Cash returns on net worth, adjusted for our investment in JSW Steel shares remain strong at approximately 18%.

Finally, on Working Capital: total receivables as at March 31 stood at **■3,240** crores, translating to debtor days of 62 - a sharp and meaningful improvement from 76 days in the corresponding quarter of the prior fiscal. This reflects both improved collectio ns discipline and the evolving counterparty profile of our portfolio. The central message is the significant capacity additions we have executed over the past several quarters are now visibly converting into higher generation volumes and stronger cash flow s. We expect this momentum to build further through the remainder of the fiscal and into FY27.

That concludes with my opening remarks. I am now happy to open the floor fo

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questions. Thank you

Moderator: Thank you very much, Sir. We will now begin the question -and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Mohit Kumar from ICICI

Securities. Please go ahead.
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Mr. Mohit Kumar: Yeah. Good evening, Sir, and thanks for the opportunity. My first question is, Sir, what is your guidance for RE asset commissioning for FY27 and FY28? I think you mentioned 2-3 GW in FY27, is it possible to breakdown this between wind and solar? And also give FY28 number, if possible?

Mr. Sharad Mahendra: You see, as I have said, that approximately close to about 3 GW of capacity additions will happen in FY27, which will be a mix of solar, wind and hybrid projects. So, the breakup between solar and wind depends on what kind of project, what kind of hybrid mix is there as per PPA terms. But maybe you can say in terms of, if I have to give a percentage, maybe out of 3 GW, close to about 35% -40% will be wind, rest all is solar.

Mr. Mohit Kumar: The second question is, has the amount to be paid for minority acquisition for KSK Mahanadi, is it crystallized? If yes, can you help us with the amount?

Mr. Sharad Mahendra Yeah, Prabhakaran.

Mr. Chandrasekaran

Prabhakaran: Sure. No, it's not yet crystallized. The process is currently on, we can't comment anything at this point on time lines. I think, it is kind of probably by end of Q2 is what we will have some number out.

Mr. Mohit Kumar: Last question, Sir, how are we thinking about PPA for KSK Mahanadi? The last unit, is it likely to remain under merchant?

Mr. Sharad Mahendra See, there are demands from different states which are there and the discussions are on, meeting with our timelines of commissioning of first unit and the balance two units. So, the discussions are on. Various states want the power, so accordingly as and when the PPA requirement comes, we will be definitely participating. But, however, to note that this plant being close to mine and the low fuel cost also gives us a leverage to the merchant also. But in a longer term, we prefer and our strategy is to have a long term PPA for this.

Mr. Mohit Kumar: Understood. Thank you and all the best. Thank you.

Moderator: Thank you. The next question is from the line of Sumit Kishore from Axis Capital. Please go ahead.

Mr. Sumit Kishore: Good evening and thanks for the opportunity. My first question is, on the 3 GW that you're looking to commission in renewable in FY27, what would be the broad phase of commissioning of these capacities from Q1 to Q4, if you could give us some sense?

Mr. Sharad Mahendra See, some of our projects which are at advanced stage of commissioning, so, of course, giving exact number will be difficult, but you can say that maybe it is uniformly divided between H1 and H2.

Mr. Sumit Kishore Okay, so 1.5 and 1.5 roughly. Okay. Second question is on Capex. So, when you said about ₹200 billion of Capex, I mean, the free cashflow that you are generating right now or basically your EBITDA less your Net Interest Cost and the tax adjustment, that seems to be enough to take care of the equity requirement for ₹20,000 crores of Capex. So, is there any thought process in terms of raising equity funds beyond the infusions that are coming through preference shares and the warrant issuances to promoters?

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Mr. Sharad Mahendra Okay, Prabhakaran will speak here.

Mr. Chandrasekaran

Prabhakaran Yeah, I think, what you understood is right. Now, with the existing ₹20,000 crores, the cashflows which we generate and with the kind of Net Debt/EBITDA, I think within those ratios, we will be able to easily manage these ₹20,000 crores which we talked about. Also, we have an additional ₹1,800 crores of warrants which we can kind of avail at any point in time. So, if we have to kind of postpone or fast track this one, we have this leverage to do it.

Mr. Sumit Kishore Okay. So, just one last question, trying to understand the broad breakup of this ₹20,000 crore Capex because there is some allocation that should start happening to the Salboni project, something to the Battery Energy Storage System project that you are co-mmissioning, the Pump Storage Hydro. So, I mean, just to understand what kind of CWIP we should expect, you know, for the thermal project, pump storage hydro by the end of the financial year?

Mr. Sharad Mahendra See, when you talk of thermal, definitely yes. While Salboni work has started and also the pump storage project for which we have got the clearance from the environment and forest Stage 1 clearance, definitely some investment will go in these projects. But we have to remember that normally the Year 1 of such projects doesn't entail significantly large investments. It is only the order placement and some kind of civil work which starts. So, it is a very small percentage of the payment which flows, and then gradually it increases. So, it is not significant. But if you want the breakup, it can be like ₹20,000 crores we have said, you can say ₹4,000 - ₹5,000 crores will be for these projects, which are the thermal project and the pump storage and rest all will be in the wind and solar space, and battery energy.

Mr. Sumit Kishore Very clear. Just one book-keeping question to understand, what was the CWIP for your RE projects at the end of FY26? Because you are going to commission 3 GW, what percentage of the investment has already happened, just to understand?

Mr. Chandrasekaran

Prabhakaran So, we have a total of about ₹17,300 crores of CWIP, out of which about close to ₹11,200 is for RE and the balance is for the Thermal and others.

Mr. Sumit Kishore : Very clear. Thank you and wish you all the best.

Mr. Chandrasekaran

Prabhakaran Thank you.

Moderator: Thank you. The next question is from the line of Ketan Jain from Avendus Spark. Please go ahead.

Mr. Ketan Thank you. Thank you for the opportunity. Good evening, Sir. Sir, just wanted to understand the 2.6 GW capacity addition, how much of it is acquired from O2 and how much of it is organic?

Mr. Sharad Mahendra See, out of this 2.6 GW, it is 1.3 GW which was the acquired capacity and the rest all is organic. It is 50:50 split broadly, that is acquired and the rest all is the greenfield capacity which we have commissioned.

Mr. Ketan Jain : Understood. I understand that there are challenges here, so are you still seeing challenges to execute or commission plants on timeframe for FY27?

Mr. Sharad Mahendra See, the thing is, we have been all reading and all knowing about one of the biggest challenge, which is power evacuation and the grid curtailment; the delays are there because, the last year Government of India had planned for the evacuation networks

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of about 15,000 circuit kilometers against which the actual which happened was only 9,500 circuit kilometers. So, we see such challenges there, but, otherwise we are insulated, because the challenges - whether the land availability

or whether the

connectivity, we start the work only when we have 100% of that. Such day-to-day issues of right-of-way and others is something which is part of the project, which is

planned and nothing unexpected. So, we don't see any challenges and with large significant portion of our capacity at advanced stage of commissioning, we are confident at this time that definitely 3 GW of capacity addition will happen without any challenge.

Mr. Ketan Jain Understood. Sir, second question is, are we seeing any increase in cost of supply chain disruptions due to the West Asia conflict? And impact on our IRRs, is there any impact?

Mr. Sharad Mahendra See, one thing I would like to say here is that if we talk of whatever the commodity cycle price increases we have seen - In general and the currency impact on import related components. For wind, as I have maintained earlier, that we signed a fixed price contract for 2.4 GW of wind turbine supply from Sany Wind, China, which is fixed in terms of the pricing and fixed in terms of the currency also, which we did in around March -April 2024. We did that and signed that contract. And from that contract quantities - supplies have recently started. So, we are insulated from that for maybe next at least 1.5 years. On wind side, there is no impact to us.

Of course, minor impacts on domestic purchases like if the steel prices goes up, the tower cost goes up because that is all steel. But that is a very cyclical industry - so we do time our buying, bulk buying, accordingly when that is the best suited for us . So, we are largely not impacted. Even if there is a small impact, with the commissioning of our blade plant in India that will further help us because of the huge reduction in the logistic cost both in terms of the ocean freight from China and also the local logistics cost. So, all those things put together, we remain insulated from any cost impact for next 1.5 to 2 years.

On solar front, with what we have been seeing the increase in solar cell prices, the currency impact because of the solar imports from the cell imports from China, I like to say that even if the ALMM comes for solar cells also, for all PPAs, what we are executing next 2 - 2.5 years is all before the date on which we are allowed as per the rules and regulation, the rule that cell imports from China will continue. So, to a large extent, we are insulated. Of course, the steel also is a cost, some portion of the cost on this. So, the same as we are doing for wind tower steel purchase, we are timing our purchase to have a minimal impact on our solar projects and our benchmark return IRRs of mid -teen IRRs, that remains protected.

Mr. Ketan Jain Understood. Thanks for the great answer. This is the last question. At the industry level, is there any update on the unsigned PPAs at the country level? Are things moving? Are things moving in that case?

Mr. Sharad Mahendra No, right now, we are not seeing - because there are enough PPAs which are signed and which are to be executed in next 2 -3 years time and with the evacuation challenges which are there, which are going to ease out only by 2029, not before that. So, we are not seeing any significant movement on the signing of the PPAs for the unsigned capacities. That status remains as it is, what it was last time when we met.

Mr. Ketan Jain Understood. This is the last, if I could squeeze in, what is the BESS pack prices right now and does it impact our project execution? This is the last one.

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Mr. Sharad Mahendra See, BESS, can you repeat the question?

Mr. Ketan Jain The BESS pack prices, like the CapEx for a BESS project?

Mr.

Sharad Mahendra Yes. See, the thing is, when we are insulating, definitely we have seen that there have been price increases which have happened. But as I told you that we have been able to optimize our costs by starting the assembly plant within our facilities under JSW. So whatever impact on cell pack prices are, we remain much more competitive as compared to the best imports which are coming, with our facility commissioned in Quarter 4. .

Mr. Ketan Jain Understood. What would be the pack price right now, sir?

Mr. Sharad Mahendra It is varying. Again, if you are at Tier 1, Tier 2, very difficult to give a number. Tier 1, Tier 2, Tier 3 suppliers, whether it is a 3 -year warranty, whether it is a 5 -year warranty, it depends. So very difficult to give a specific number.

Mr. Ketan Jain: Understood, sir. Thank you. Thank you. I will get back to you.

Moderator: Thank you. The next question is from the line of Apoorva Bahadur from IIFL Capital. Please go ahead.

Mr. Apoorva Bahadur: Hi, sir. Thank you for the opportunity. Sir, just sort of delving deeper into this 5 GWh BESS cell -to-pack assembly plant that we have operationalized. Can you provide some colour on how you are thinking about the margin profile of this business? How much should be the revenue contribution as we start building in our models? And have you built any order book?

Mr. Sharad Mahendra: Yes. You see, the thing is that this is in a ramp -up stage and we will be taking care of our own captive requirements as well, because this capacity ramp -up and stabilization will take its own time, we will be going forward definitely, the in -house requirement as well as to the outside market. We will be definitely looking for outside market. We have got some order, but right now the testing of the products are going on and the necessary approval which we expect very soon and then we will be going into the marketplace. So, then only we will be in a position to come out with what is the revenue and the financial numbers on this. Maybe next time, we will definitely like to share on that.

Mr. Apoorva Bahadur: Okay. And, sir, where are we importing our cells from and which manufacturers in China?

Mr. Sharad Mahendra: There are multiple, but definitely we are concentrating only on Tier 1 suppliers and we will be importing from them only.

Mr. Apoorva Bahadur: Okay. And, sir, on the renewable capacity addition target for FY28, if you can provide some guidance over there?

Mr. Sharad Mahendra: See, as we have said that we have to reach 30 GW by FY30 and if we add maybe 3 GW this year. So, maybe 3 GW approximately from the RE front, you can say maybe about 3 GW to 3.5 GW something is the number which definitely will continue to add.

Mr. Apoorva Bahadur:

So, sir, we would expect a sharp uptick in capacity addition in FY29 and FY30?

Mr. Sharad Mahendra: Yes, because what will happen is beyond FY27, it is the thermal capacity also will contribute which is the KSK 1.8 GW. And also, by FY30, partial capacity of Salboni JSW Energy Limited

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commissioning is also planned. So, all those things put together, thermal will also be a capacity which will be added.

Mr. Apoorva Bahadur: Fair enough. Thank you so much, sir. I will get back in the queue.

Moderator: The next question is from the line of Aniket Mittal from SBI Mutual Fund. Please go ahead.

Mr. Aniket Mittal: Thank you. I joined the call a bit late. So, apologies if any questions are repeated. But on Mytrah, what is the reason for the increase in EBITDA this quarter on a YoY basis?

Mr. Sharad Mahendra: Yes Prabhakaran.

Mr. Chandrasekaran

Prabhakaran: Yes, Mytrah, actually

Is there is one in this quarter like you must have also read the Supreme Court has given order on the generation -based incentive, right? And that

is the increase which you will be able to see.

Mr. Aniket Mittal: What is this number?

Mr. Sharad Mahendra: It is 50 paise per unit is what the generation -based incentive and it is in excess of 200 crores.

Mr. Chandrasekaran

Prabhakaran:

Yes, 210 crores.

Mr. Aniket Mittal: So, this is a one -off. So, this includes certain past recoveries as well?

Mr. Chandrasekaran

Prabhakaran: Yeah that's right. Yes.

Mr. Sharad Mahendra: Yes, that is right. Yes, And for now, going forward, which was not being given, every year we will be getting the generation -based incentive based on this order which was not being given earlier.

Mr. Aniket Mittal:

Got that, got that. And for a commission wind and solar portfolio, which is almost 6 GW, what would be the annual steady state EBITDA?

Mr. Sharad Mahendra: Just see, you can say that almost INR 75 lakh MW is what you can take as the steady state EBITDA for full year capacity available.

Mr. Aniket Mittal: Understood, understood. And just to understand KSK, I recollect I think next year there is supposed to be a slight drop -off in the tariff at UPPCL. So, this year we have obviously done a fairly good amount of EBITDA, but how does that move heading into FY27 and FY28?

Mr. Sharad Mahendra: See, we have to remember two things. One is that in FY25 March when we acquired, the full year EBITDA that plant made from the operations was around 2,650 crores. Against that we have made almost in excess of 3,300 crores this year. Of course, lot of efficiency improvements in terms of the cost efficiencies improvement what we have done is one which will continue. Of course, there will be some impact because of the tariff reduction from UPPCL. But a part of this will be compensated by maybe two, three steps what we have taken.

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One is that after the acquisition of the rail and water SPVs, especially the rail one, the efficiency improvements and the cost reduction there also is going to contribute too.

Second is in terms of the fuel allocation which we have optimized by sourcing majority of the fuel from the mines which are closest to our plant and replacing the fuel which was coming off from far off places. So, fuel logistic cost reduction is one of the main drivers, efficiency improvement during the last year.

But during the year we took lot of steps in terms of operation and maintenance cost reduction. So, those steps which have been taken during the year will also give us full year benefit in the current year, will help us to mitigate the reduction in the margins because of the UP PPA. So, but definitely it will continue to perform significantly better than what it was in FY25.

Mr. Bikash Chowdhury: Aniket, if I have to add, this is Bikash here. If I have to add, we have always said that please consider a steady state EBITDA of 2,700. So, the idea also is that please assume that a good year is what we are highlighting and the reasons for what we are highlighting. But viewing this fall in trajectory, we have said that please assume 2700 as our base case EBITDA.

Mr. Sharad Mahendra: And with the steps we are taking, we are confident that we will be delivering better than the steady state EBITDA what Bikash just said of 2, 700 crores, we can say that.

Mr. Aniket Mittal: That is helpful. I just have one last question. So, when I looked at the standard entity, the overall debt over there is almost 15,000 crores there. So, a lot of Holdco debt coming over there. Just to understand

how this is panning out from a maturity point, what is the maturity profile over here, what is the average interest rates at the Holdco level?

Mr. Chandrasekaran

Prabhakaran: See, at the Holdco level, so basically out of this, some of them are kind of the short term, because some of the acquisitions that we have done, right, in terms of the KSK rail and all. So, these are kind of, some of them are temporary as well. So, once we take over these assets, we will kind of refinance it through the major entity or the actual entity which we do. So, in terms of, if you look at it from an overall perspective, I think all of them are close to more than kind of 3 years, except for about close to 4,500 crores, which is in the form of short-term, the others are all long-term.

Mr. Aniket Mittal: And what would be the average interest rate right now at the Holdco level, for these debts?

Mr. Chandrasekaran

Prabhakaran: For the Holdco level, we are at about close to 8.2% is what we will have. But as a whole consolidated, we are at about 8.36%

Mr. Bikash Chowdhury: See, Aniket, to add to what we just said, you know, we would like to have a project finance-based financing, which means that from maturity, the maturity as long as possible for borrowing. Now, Holdco level, like you mentioned, is obviously short tenors and for us, the overall cost of debt is about 8.36%, including working capital, right. So, what we are saying is that obviously the short tenor borrowings are there and they will be obviously at a lower cost. But overall, if you look at the interest rate trajectory, it has come lower.

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Mr. Aniket Mittal: Understood. Those were my questions. Thank you.

Moderator:

Thank you. The next question is from the line of Nikhil Nigania from Bernstein. Please go ahead.

Mr. Nikhil Nigania:

Hi, thanks. Thanks for taking my question. I have two questions. Number one was any plans to set up a Merchant Battery Energy Storage Plant?

Mr. Sharad Mahendra:

See, right now, we are in the process of executing the Battery Energy storage project for which we have signed the PPA. But going forward, wherever we have the solar capacity and keeping in mind how the evening peak demand shapes up, we will definitely keep exploring. But immediately in the current year, if you ask, we will be focusing on our projects under the PPA. But going forward, we will keep exploring that merchant option for especially where we have the connectivity, we have the solar plants, we are coupling the same connectivity for the evening peaks, is one option which the team is working on. We keep evaluating.

Mr. Nikhil Nigania:

Understood. But what I understand from your peers is some of them are preponing

the battery part of a PPA to use it in the merchant in the interim till the PPA starts. Would you have any such plans like that to prepone your Battery for the solar?

Mr. Sharad Mahendra:

See, when I compare with what others are doing, see, if you see that we don't have any merchant or open capacity in our solar portfolio. All is tied up whatever is commissioned and what we are doing is also and today we see that there are curtailments happening for especially the capacities which are open untied merchant capacities in solar are facing a very high curtailment is what we are seeing. So, that is where it's a sunk cost as per me. So, putting a Battery using that power where which is getting curtailed, charging the Battery and using the evening peak option, is something maybe others may be thinking on. But I feel that this curtailment issue is a matter of three to four years. Whether for the long term

I can do the investment

on the basis of this principle, somehow doesn't fall in our scheme of things because we look for at least a Battery life of 12 years and based on that if the returns are protected is a better option, rather than going immediately only temporarily for us. So, for us it will be no... because we don't have any open capacities in solar. So, we are evaluating by setting up charging the batteries by solar and evening peak. Once that model is financially definitely giving my benchmark returns then only, we will be moving ahead to this.

Mr. Nikhil Nigania:

Understood. Appreciate your response. The other question I had was on the DSM regulation in case it is implemented as per the CERC document says and given you have a good quantum of wind as well in your portfolio, what is the impact you envisage on your financials?

Mr. Sharad Mahendra: See, with this new DSM regulations we expect a total impact which we have budgeted in our plan is between 1.5% – 2%.

Mr. Nikhil Nigania : Just like a 1.5% – 2% of revenues of the renewable assets?

Mr. Sharad Mahendra: Yes, yes, yes. Which was not zero, mind it. It was not zero earlier also. It will move up to 1.5% to 2%. It used to be there today also, but now it will be slightly more.

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Mr. Nikhil Nigania Would it be fair to assume as that X factor in the DSM rule changes by 2030 this number goes up further?

Mr. Sharad Mahendra: See, the thing is now when it is known that this is going to happen everyone now is going to be designing the project, building the project, the tariff bidding, everything, the discovery will be accordingly. So, that is definitely, but yes whatever, the tariffs have already been discovered, the project being executed, definitely this is going to impact but there are options and tools available to minimize this. One of the things which is being talked of is that at a particular substation grouping all the maybe other producers who are in the same substation at a group level to see, to do the settlement rather than individually. Because someone may be at a particular moment excess, someone may be down. So, it is more from the grid point of view this is being done, grid stability. So, we are absolutely certain industry has made the representation. At a group level this will be assessed not at an individual level is what we are confident of.

Mr. Nikhil Nigania Got it. I appreciate your answers. Those are my questions. Thank you so much.

Mr. Sharad Mahendra Thank you.

Moderator:

Thank you. The next question is from the line of Abhishek Nigam from Motilal Oswal Financial Services. Please go ahead.

Mr. Abhishek Nigam :

Yeah, Hi. Thank you so much for the opportunity. So, just two questions.

One is Andhra based, Andhra generation -based incentives, is that included in other income? That is my first question.

Mr. Chandrasekaran

Prabhakaran:

Yeah, I think certain of it is part of revenue and certain of it is, so I think you can say about 100 crores is one is part of revenue, the other 100 is part of other income .

Mr. Abhishek Nigam:

Okay. Okay. So, I think the increase in other income is because of, I mean there is some reason for that, for that, obviously.

Mr. Chandrasekaran

Prabhakaran:

Yeah.

Mr. Abhishek Nigam:

So, that is one. And second, on the deferred tax asset, if you can give us some clarity, I think we have seen in the past also one of the quarters and going forward also, could there be more such Tax creation, passive creation?

Mr. Chandrasekaran

Prabhakaran: Yeah, I think the Deferred Tax asset is primarily on account of two things.

One is that if y

ou see that Utkal, where actually we had a certain unabsorbed depreciation and business losses which were there. Now, with the PPAs being signed for the entire capacity, there is visibility in terms of recoverability of this tax losses. And that is why this year, when we signed the PPA, we said that we will be able to kind of recognize this deferred tax. So, this is a one of , I think mostly in both, Utkal is the major one, the second one is in the KSK.

The second one is in terms of, because currently with the new tax regime, everybody would kind of transition to the new tax regime. The current tax would be similar to what it was like 17 %-18%, because you will have to adjust 25 % of the Max credit available. So, I think going forward, that will be this one, I think we will be inching close to the effective tax rate of 23 %- to 24% going forward.

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Mr. Abhishek Nigam:

Okay. Okay. That is it from me. Thank you so much.

Moderator:

Thank you. The next question is from the line of Satya deep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain:

Hi. Thank you. The first question is on the RE commissioning you talked about 3 GW this year. How much would be CTU? How much would be STU? And generally, are you seeing maybe faster commissioning for STU versus CTU? And do you expect any changes there this year?

Mr. Sharad Mahendra: You see, whatever we are commissioning, it is a mix of CTU and STU, and also the C&I customers also under the Group C aptive . So, connectivity is available for whatever we are 3 G W we are planning, whether it is STU or CTU. So, it does not make any difference whether it is STU or STU, which one happened earlier. And as I said that this time, as compared to the previous year, in H1, we will be seeing almost close to 50% of the capacity coming up, which means that the project is at an advanced stage, connectivity is available. So, we do not see, this does not make any difference whether it is a CTU and STU, it is a mix of CTU and STU projects. And also, as I told you, the Group C aptive also.

Mr. Satyadeep Jain:

And secondly, just on the return profile for RE, I am sorry if I missed it. What kind of curtailment do you build in the projects when you bid for a project for long term? And when you mentioned DSM, just clarifying, you mentioned about 2% revenue hit. Is that fact X is equal to 0? And is it assuming grouping at the substation or is it without grouping at the substation?

Mr. Sharad Mahendra:

See, one thing is curtailment, I will just like to bifurcate into two. One is that a significant portion of our capacity is under Group C active, which is off-grid. So, I am insulated from the curtailment on those capacities, which are almost a GW of capacity, which is operational. And further, we are going to add in the current year also. And next two years, three years, we will be continuing to add off-grid Group Captive capacities. So, there we are insulated from this DSM regulations. In addition to that, next question.

Mr. Satyadeep Jain: The question was, when you look at, How you calculate DS M

Mr. Satyadeep Jain:

When you calculate DSM

Mr. Sharad Mahendra:

Yeah, yeah continue

Mr. Satyadeep Jain:

That 2 % to 2.5% of revenue hit is that when you consider X is equal to 0 and assuming grouping, or this is without grouping at the substation?

Mr. Bikash Chowdhury :

So, Satyadeep, Bikash here, sorry, I intervened. You know, what we were saying is that is the worst -case scenario that we have seen, considering the, what has been announced as of now, if there is grouping, obviously, everyone benefits and we benefit out

of it.

Mr. Sharad Mahendra:

And what we see is not as 2 % to 2.5% what we said, it is 1.5% to 2% is what I said. And also, it is not 0 to this, that we do not have to make it from 0 % to 1.5%. There is some which is there also. It has become stricter now. So, it is without grouping is what I have said. After that, we expect that things can improve. But with grouping, this will reduce.

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Mr. Satyadeep Jain:

Just one more, if I can squeeze on Pump storage. You mentioned 2030 for one and 2031 for another. Do you expect groundbreaking this year? And then what is the typical construction timeline you are looking at for the PSP project?

Mr. Sharad Mahendra:

See, normally, for Pump storage projects, we see that from the zero day, maybe 36 months. And as I told, maybe in my opening remarks, we have got the forest stage one clearance just two days back. And work in the non -forest area has already started. The contracts have been awarded; the electro -mechanical ordering has already been placed. So, we are confident that that will be in time. This will be 36 months, you can say.

Mr. Satyadeep Jain:

Moderator:

Okay. Thank you so much.

Thank you. Ladies and gentlemen, due to paucity of time, we will request all the participants to kindly limit their questions to only one. We will take the next

question from the line of Mohit Pandey from Citi. Please go ahead.

Mr. Mohit Pandey:

Yeah, good evening, sir. Is it possible to give any colour on our merchant realizations in April and May so far? Yeah.

Mr. Sharad Mahendra:

See, Mohit, as we have been saying that normally in the merchant when we sell our open capacity, we normally are, it is through bilateral contracts. And I can say whatever merchant tariffs are being discovered in the market, we will definitely maintain at least minimum 20% premium and we are continuing with that. What we have demonstrated last year also, overall discovered price, we have more than 5% to 20% premium. We are continuing to sell even in the current quarter.

Mr. Mohit Pandey:

Okay, sir. And are there any risks to the performance of our Hydel portfolio due to possible El-nino?

Mr. Sharad Mahendra:

No, we don't see that. The reason is that if you see when the temperature increases, right now when we have been seeing onset of summers and the temperature increasing, we are seeing because snow melting was slightly lower last year. But now with the good snow melting, the river flow is better. And with the power what is required, even if there is, in past also data clearly shows that even if there is 6%, 7%, 8% below normal monsoons, the water flow required to run at full capacity and to grow as per the design energy is sufficient. So, we have reviewed and we have evaluated this and we are absolutely certain that we don't see any significant impact on our hydro operations because of this weather impact.

Mr. Bikash Chowdhury:

So, just to add, there are broadly two ways. One is obviously snow melt, the other is rainfall. So, like sir was saying that last time the rainfall was there, this time there will be snow melt if there is, like you said, going to be higher heat. Therefore, for run of the river, it is not a concern and this we have highlighted earlier as well and we reiterate the same.

Mr. Mohit Pandey:

Understood, sir. Thank you so much and wish you all the best.

Moderator:

Thank you. The next question is from the line of Atul Tiwari from J.P. Morgan. Please go ahead.

Mr. Atul Tiwari:

Yeah, sir, will it be possible to at least qualitatively share how much was of KSK's Rs. 930 odd crore EBITDA was due to merchant in the quart

er?

Mr. Sharad Mahendra:

Merchant? What we will see, maybe we will divide and we will come back. My IR team will definitely get back to you and we will give you the number.

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Mr. Atul Tiwari:

Okay. And, sir, broadly speaking, I mean, obviously, your PAT has been held by Deferred Tax creation

Moderator:

Sir, I am sorry to interrupt you. Mr. Tiwari, I would request you to kindly limit to only one question, please.

Mr. Atul Tiwari:

Okay.

Moderator:

There are others who are waiting for that. Thank you so much, sir. We will take the next question from Rajesh Majumdar from 360 ONE Capital . Please go ahead.

Mr. Rajesh Majumdar:

Yeah, sir, thanks for the opportunity. Sir, you are talking about additions of roughly 2.5 GW to 3 GW per annum as I understand. And if you see that pipeline for next year FY27, it consists of other than Group C aptive , GUVNL, then two or three transfers of SECI and I think SJVN, if I am not mistaken. Do you see any kind of delays in these projects, any of these which can happen or I mean, your installed capacity is like falling short of our targets ? And in future as well.

Mr. Sharad Mahendra:

See, the thing is, what you have pointed out is very, very correct. We definitely see the delay in this because we have deliberately delayed the execution and investment in these projects because the availability of the allotted connectivity is getting delayed. So, we are aligning our investment and commissioning with the commissioning of the evacuation. We do not want to invest, make the asset ready and then wait that I am not able to commission because of this curtailment issues and the connectivity issues. So, we are particular, we are insulated from any kind of penalties or anything because of the delays. So, we are absolutely certain , Yes.

Mr. Rajesh Majumdar: I mean, I missed it probably earlier. Did you reduce your earlier increase of 2.5 GW to 3 GW per annum, or you still maintain that based on orders that we have, which is a lot SE CI heavy?

Mr. Sharad Mahendra:

Can you repeat the question?

Mr. Rajesh Majumdar: I said the addition for this year is about 3 GW, which includes a substantial amount of SE CI orders. Do you see any delay in this kind of addition for FY27, which will get postponed to next year?

Mr. Sharad Mahendra:

No, we do not see at all. As I said earlier also, we are absolutely certain because the challenges for which the projects have been getting delayed are not there in terms of connectivity, in terms of land availability, in terms of execution, the various stages the projects are. So, we are certain that the current 3 GW in the current year, we are absolutely certain that this will be there.

Mr. Rajesh Majumdar:

Okay. Just one follow -up question, sir.

Moderator:

Sir, I am sorry to interrupt you. I am so sorry to interrupt you, sir. There are others who are waiting.

Mr. Rajesh Majumdar:

Okay, okay. Fine. No problem.

Moderator: Thank you so much, sir. We will take the next question from Nikhil from UTI Mutual Fund. Please go ahead.

Mr. Nikhil:

Just one question, sir. What has been the impact of curtailment on our EBITDA, if you can quantify that in terms of Rupees , crores or something?

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Mr. Sharad Mahendra:

Yeah. As I told in my opening remarks also, during the quarter, as I told you, the curtailment was not signif

icant because a portion of the curtailment was under permanent grid network access connectivity. So, my plant was available, the power was offered, but couldn't flow. So, I have been getting the tariff for that. Some portion which was under temporary grid network access because of the delay in the connectivity, permanent connectivity execution. So, we have about there has been

a loss of around 15 crores during the quarter and full year approximately 50 crores, the impact. And it is in two of our assets in the state of Rajasthan and where this evacuation capacity is getting commissioned maybe sometime in July. So, we expect after this this will not be there.

Mr. Nikhil:
Sure. Thank you.

Moderator:
Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Thank you and over to you sir.

Mr. Sharad Mahendra:
Yeah. Before I close, maybe Atul from JP Morgan asked for what was the merchant EBITDA on Mahanadi. During the quarter the EBITDA from the merchant sale was 203 crores. I just wanted to give that number.

Moderator:
Okay. Thank you , sir.

Mr. Sharad Mahendra:
Right. Thank you everyone, and thanks for being with us and maybe we hope to meet you all very soon again. Thank you.

Moderator:
Thank you, members of the management. On behalf of PL capital, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.